General Ledger Accounting

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Tax Processing

⚠ Caution

If tax authority audits are still outstanding for the business year, please ensure that the current archiving processes in the context of Data Privacy do not archive data relevant to these tax audits. Archiving prevents the tax auditor from accessing the data. In compliance with Data Privacy, archiving for a tax year may only take place after the audit has been concluded.

ℹ Note

Important information regarding the impact of Brexit on your tax processes has been collected and published in several SAP Notes. The most important of these are referenced below and contain links to other important SAP Notes regarding Brexit. SAP strongly recommends that you read these Notes and any other Notes that contain information relevant to your business needs.

Related Information

SAP Note 2885225
SAP Note 2768412

Tax on Sales/Purchases, Sales Taxes, and Additional Taxes

The Accounts Receivable Accounting (FI-AR), Accounts Payable (FI-AP) and General Ledger (FI-GL) components provide the following support for the calculation and posting of taxes:

- The tax amount can be determined upon request.
- The tax amount is checked by the system at document level.
- The tax accounts are automatically posted with the tax amount.
- If desired, tax can be adjusted automatically for cash discount postings and other deductions.

These transactions are controlled using the system configuration. In addition, you have to make the following specifications:

- To determine the tax amount, the system calculates a **base amount**. How the individual base amount is made up differs according to the country/region. You specify whether the base amount is to be included for the tax calculation of the cash discount amount or not. You specify this for each company code.
- To enter the tax and determine it automatically, you require a **tax code**. For the tax code, you specify the legally prescribed tax rate, among other things.

  For more information about predelivered tax codes, see the relevant Accelerators in the SAP Best Practices Explorer under SAP Best Practices for SAP S/4HANA Cloud Public Edition.
- The **tax amount** is generally **posted automatically**. For the posting, you specify in the system the tax accounts to which the individual taxes are to be posted.
- In the **master data of a G/L account**, you can specify if the account is a tax account, and which type of tax (input tax or output tax) can be posted to the account. For all other G/L accounts, you can specify a tax rate and a tax type in the master record, or specify that the account is not relevant for taxes.

Create Advance Return on Sales/Purchase Tax

This topic tells you what you can do with the **Create Advance Return on Sales/Purchase Tax** app.

App ID: S_ALR_87012357

Use

With this app, you can create the advance return for tax on sales and purchases. If necessary, you can also create a batch input session for making an automatic transfer posting for the tax payable. If you're processing large volumes of data, use the **Advance Return for Tax** job template in the **Schedule Tax Jobs** app instead.

Key Features

- **Display**

  You can display the return for each tax type per line item and restrict the results by selecting various criteria, for example:

  - Company Code (or Tax on Sales/Purchase Group)
  - Document Number
  - Fiscal Year
  - Posting Date

- **Output**

  The output lists show the following information:

  - Tax balances for each or all company codes
  - Tax differences per line item
  - Input and output tax for each or all line items

    For more information, see Input Tax from Parked Documents.

To ensure that business partner master data are included in the report output, where applicable, you must make sure that the **Read Address Data** option is selected. You access this option in the **Output Control** section.

Note

Users in France who need to create repeat runs should consult SAP Note 2474533.

Joint Venture Accounting Split

The Joint Venture Accounting Split (JVA Split) functionality permits tax lines of documents to be split by ventures and equity groups before being output to display or being posted. The JVA Split functionality is based on the output of the GL splitter. The GL splitter splits tax lines during original document posting based on rules that you maintain in your customizing. The batch input posting for the tax payable is generated based on the GL splitter output. The resulting output of the report is the same as with deactivated JVA splitting, except that in this case, the lines are split by ventures and equity groups according to the GL splitter rules that you initially maintained.

If joint venture accounting (JVA) is installed on your system and you have at least one company code with JVA active, a new selection group called **JVA parameters** is shown. You can make the following selections:

- **Activate JVA Splitting**: Selecting this checkbox allows you to enable the JVA-specific functionality.
- **Joint Venture, Equity Group**: You can use this option to narrow down your selection to certain ventures or equity groups.
- **RI of Substitute Cost Object**: When this field is filled, the selected recovery indicator is used to derive cost objects for posting. This parameter is ignored if the original cost objects are used for posting, that is, if **Post to Original Cost Object** is selected.
- **Post to Original Cost Object**: If this box is selected, then cost objects from the original documents are used for posting.

Supported Device Types

Desktop

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

See Also

Here's where you can find more information:

- Read the system documentation or application help. In the app, choose **More** > **Program Documentation** or **Help** > **Application Help**.
- Advance Return for Tax
- Post Tax Payables
- Tax Reconciliation Account Balance
- Tax Declaration Reconciliation

Related Information

SAP Note 2474533

Create Additional List for Advance Return on Sales/Purchase Tax

Create an additional list for the advance return for tax on sales/purchases.

The **Create Advance Return on Sales/Purchase Tax** app takes the tax base amounts from the tax items (or, in the case of down payments, the subledger line items) of documents. In contrast, the **Create Additional List for Advance Return on Sales/Purchase Tax** app takes the tax base amounts from the G/L account items of documents.

You can limit the volume of documents to be processed by using the posting date or the posting period (fiscal year and fiscal month). You can also specify specific output lists.

The **Create Additional List for Advance Return on Sales/Purchase Tax** app displays the following data a line-item level:

- Company code
- Document number and reference document number

- G/L account
- Line item
- Posting period and posting date
- Tax base amount in local currency
- Tax on sales/purchases code

The following tax type overview (output tax and input tax summary) is displayed for each tax type:

- Base amount
- Company code
- A note indicating whether the tax amount is contained in the base amount
- Output tax amount or input tax amount in local currency
- Tax name
- Tax on sales/purchases code
- Transaction key

Create Proposed Tax Postings from Goods Movements

Run this job to create a list of proposed tax postings for your goods movements transactions.

This job scheduling template allows you to create a list of posting proposals for your tax-relevant goods movements. These goods movements, such as stock transfer orders or consignment processes, can sometimes be subject to tax depending on the departure and destination countries/regions.

By default, if the departure country/region and destination country/region are different and are both EU member states, the system determines that the transactions are tax-relevant. Under certain circumstances, you may need to specify whether transactions are tax-relevant at the transaction level. In this case, you can implement the **Designate Tax Relevance** BAdI to be able to specify whether transactions are tax-relevant at the transaction level.

This job also determines whether simplified consignment is permitted based on the departure and destination countries/regions. This job doesn't determine whether transactions are simplified or standard consignments at the transaction level. Under certain circumstances, you may need to designate specific transactions as simplified consignments. In this case, you can implement the **Designate Simplified Consignment** BAdI to allow you to designate specific transactions as simplified consignments at the transaction level.

To schedule this job, open the **Schedule Tax Jobs** app, then select **Create** to create a new job. Select the **Create Proposed Tax Postings from Goods Movements** job template, then define your scheduling options.

In the **Parameters** section, you have two sets of options. The **Create Tax Proposal** parameters allow you to define the parameters for the tax proposal. The **Company Code** field is mandatory, and you have four period options to select from. You can select for goods movements created in the current month, goods movements created in the previous month, or goods movements created in both the current and previous months. You can also select **Manual Input**. Selecting this **Manual Input** allows you to enter the fiscal year and posting period for which you want to generate proposed tax postings for your goods movements.

You can also enable automatic posting of the tax proposals. For this, you must select the **With Auto Posting** option. You can choose to enable automatic postings for goods movements based on the **Actual Goods Movement Date** or on the **Job Run Date** by

selecting the corresponding option. Please note that once you enable automatic posting, the **G/L Account** and **Document Type** fields are enabled and are mandatory.

Once you've set your parameters, you can either **Check** the job to see whether there any errors that you need to correct or simply **Schedule** the job.

Once the job is complete, the icon in the **Log** column indicates the most severe message category. In most cases, this will be an **Information** icon. You can open the log to see more information about the job. The log includes, for example, the goods movements that the system flagged as tax-relevant. It also tells you the process type, such as stock transfer, consignment, or simplified consignment. The log also contains the tax-relevance designations or consignment type designations made using the BAdIs.

Currency Translation for Country/Region

Business Context

Business transactions often involve multiple currencies. Document currency, company code currency, and country/region (reporting) currency can all be different within a single business transaction. But it's still important that tax base amounts and tax amounts are translated correctly, including for reporting purposes.

Additionally, a number of common business transactions involve changes to the original tax base amount of prior transactions. Examples of these kinds of transactions include cash discounts, credit notes, or rebate agreements. Because each of these transactions can change tax base amounts, the corresponding tax amounts likewise need to be updatable. For transactions that subsequently change the tax base amount, this means that the tax amounts are either recalculated using the original currency translation rates or are converted using the translation rates when the follow-up transactions are posted.

Please note that the **Currency Translation for Country/Region** feature isn't available for all countries/regions or currencies. For information about which countries/regions are enabled, please see Countries/Regions Where Currency Translation Is Enabled. You can activate currency translation only for countries/regions that are enabled by SAP. To use currency translation for one of these countries/regions, please create an incident for component **FI-GL-GL-F-2CL**.

ℹ Note

The **Currency Translation for Country/Region** is currently available for selected business processes. It is vital that you read and understand SAP Note 3232739 before proceeding. It is also advisable to read other SAP Notes linked from this SAP Note that pertain to the scope of your planned use of **Currency Translation for Country/Region**.

How the Historical Translation Factors Are Derived

For information on how the historical translation factors are calculated, see Information on Currency Translation Where RITA Is Active.

Related Information

SAP Note 3232739

Business Transaction Types for Currency Translation

Describes the business transaction types for which you can activate currency translation.

ℹ Note

The business transaction types that you need in your system must be activated by local legal and reporting requirements. Repeated activation and deactivation of business transaction types can lead to data inconsistencies in your system.

Once currency translation is active in your system for a country/region, you can use the **Specify Currency Translation for Country/Region** app to select the business transaction types for which you want to enable currency translation for that country/region. For more information on how to do this, see How to Activate Business Transaction Types for Currency Translation.

Translation of Tax Amounts and Tax Base Amounts

When RITA is active, the tax amounts and tax base amounts are translated and reported in the reporting country/region currency. The following processes use derived translation factors, which are used to translate the tax amounts and tax base amounts in reporting country/region currency. For more information on this, see Information on Currency Translation Where RITA Is Active.

Related Information

Sales Rebates Goods-Related
Purchase Rebates Goods-Related
Subsequent Posting (Credit/Debit) in Settlement Management
Cash Discount in Finance
Currency Translation Based on Services Rendered Date

Sales Rebates Goods-Related

For the **Sales Rebates Goods-Related** process and when RITA is active, the currency translation customizing is used to check whether the process uses derived translation factors. If so, the **T2Country** factor is used and later multiplied with the document currency amounts to calculate the tax amounts and tax base amounts. For more information, seeCurrency Translation for Country/Region in Settlement Management.

Because RITA is active at the company code level, you may have a mix of both RITA and non-RITA company codes for a specific country/region. If this business transaction type is activated for a country/region, for company codes for which RITA is not active, the translation into company code currency is performed uising the **T2Company** factor. This factor is then multiplied by the document currency amounts to calculate the amounts. For more information on the translation factors, please see the information on How the Historical Translation Factors Are Derived under Currency Translation for Country/Region.

Viewing the Factors

It's possible to view the calculated factors in the **Manage Journal Entries** app. Open a document in that app, then, in the **Line Items** section, click **Currency Translation**. The popup shows the **Tax Amount Factor in Local Currency** (**T2Company** factor) and the **Tax Amount Factor in Reporting Currency** (**T2Country** factor).

Purchase Rebates Goods-Related

When RITA is active, the **Purchase Rebates Goods-Related** process uses the **Sales Rebates Goods-Related** process. Here, the currency translation customizing is used to check whether the process uses derived translation factors. If so, the derived translation factors for tax amounts and tax base amounts are copied directly into the respective database tables. For more information, see Currency Translation for Country/Region in Settlement Management.

Subsequent Posting (Credit/Debit) in Settlement Management

When RITA is active, the currency translation customizing is used to check whether the process uses derived translation factors. If so, the **T2Country** factor is used and later multiplied with the document currency amounts to calculate the tax amounts and tax base amounts. For more information, see Currency Translation for Country/Region in Settlement Management.

Cash Discount in Finance

In some Finance processes, tax amounts need to be calculated using a derived historic translation factor. This is the case if the current posting is a correction of a former posting, such as a cash discount. In this case, the invoice has already been posted and the discount corrects the previously invoiced account. In the case of cash discounts, the tax amount in reporting currency is translated with the exchange rate at the time of payment. The **Specify Currency Translation for Country/Region** app offers an alternative translation logic for this case.

Please note that the **Cash Discount in Finance** business transaction type is only relevant when RITA is active for the company code. This business transaction type only affects currency translation into country/region (reporting) currency. It doesn't affect currency translation into company code currency. The historical translation factors are calculated at runtime and stored in the relevant database tables. The calculated factors are only used when the **Currency Translation for Country/Region** is active for the respective country/region. Information on how the historical factors for currency translation are derived can be found in the chapter on Calculation of Historical Translation Factors.

Tax Amount Correction at Payment Using the Historical Translation Rate

The tax amount correction at payment using the historical translation rate is valid when the reporting currency differs from the company code currency and the transaction currency. It is also valid when the reporting currency is the same as the company code currency, but has a different currency type. In case the reporting currency is the same as the company code currency, and they have the same currency type, the tax amount and the tax base amount in reporting currency from the company code currency are used. This logic is used when the following conditions aren't met:

- Reporting currency and transaction currency are identical
- Reporting currency and company code currency are identical, and the exchange rate type of the reporting country/region is "M"
- Reporting currency and second or third company code currency are identical, and the exchange rate type of the second or third company code currency is "M", and the exchange rate of the reporting country/region is "M", and the currency type is 10, 30, 40, 50, or 60

Normal Cash Discount Line

The cash discount amount in company code currency is split considering the cash discount relevance of the different invoice lines and the tax attribute combination. When the cash discount amount is split, the tax amount and the tax base amount are calculated. The tax amount and the tax base amount in company code currency are then multiplied by the historical translation rate to convert the tax amount and the tax base amount into reporting currency for the corresponding tax attribute combination.

Cash Discount Clearing Line and Lost Cash Discount Line

The net amount of an invoice is posted with the cash discount clearing line when the document type is net as well. This line is completely cleared by the payment. The tax amount is then corrected at payment, and the tax amount is corrected in reporting currency for the cash discount clearing line and is calculated with the translation rate between the document currency and reporting currency of the whole invoice on the invoice date. If the payment includes a higher or lower cash discount amount than the amount of the cash discount clearing line, a lost cash discount line is created automatically for the difference. The tax amount and the tax base amount in reporting currency for the lost cash discount line are handled and calculated as normal cash discount lines.

Posting Line with other Payment Differences

The tax amount and the tax base amount in reporting currency for other payment difference lines that are not relevant for cash discount are calculated using the translation rate from the tax amount in the document currency at the time of payment.

Cash Discount Line in a Residual Item

When paying a residual item with cash discount, the cash discount amount and to-be-corrected tax amount for this cash discount are calculated in relation to the amounts in company code currency and reporting currency of the original invoice and not in relation to the most recently created residual item. If the residual item is paid with a currency different from the document currency of the invoice, the cash discount amount in payment currency is first translated into the document currency of the invoice using the translation rate of the original invoice date. This translated cash discount amount is then used for the tax calculation.

Special Handling When Cash Discount Amount in Company Code Currency is Zero (0)

When the cash discount amount in company code currency is 0 but is not 0 in the transaction currency in payment, the tax amount and the tax base amount to-be-corrected in reporting currency are calculated using the exchange rate between transaction currency in payment and reporting currency as of the payment date. This is the case when the exchange rate in the company code currency of the invoice is rounded to 0 with the currency translation. The logic used here is described in Determining the Date for Translating Tax Amounts into Reporting Currency.

As an example, you are going to post an invoice using different currencies. The transaction currency is HUF, the company code currency is in EUR, and the reporting currency is GBP. All exchange rates used for this example are fictional.

Exchange rate HUF/EUR at invoice time: 100000/1

Exchange rate HUF/GBP at payment time: 1/20

	Transaction Currency	Company Code Currency	Reporting Currency
Cash Discount	10,00 HUF	0 EUR	
Tax Amount	1,00 HUF	0 EUR	20,00 GBP

Currency Translation Based on Services Rendered Date

Billing Documents (in Sales)

In Finance, you can activate line-item-based calculation for **billing documents (in Sales)** of a specific country/region. For these countries/regions, the system calculates tax amounts on item level with a translation rate for each services rendered date. All line items of the document are converted using the translation rate at the services rendered date of each line item. The customer line is calculated using the sum of all the other line items of the document. In case of a credit memo, the services rendered date is taken from the reference invoice line item.

Line-item-based calculation of translation rates is active for the country/region of the company code

The amounts of all line items in the document are translated into company code currency using the translation rate of the services rendered date of each line item. The customer line item is calculated as the total of all the other line items in the document. Follow-up documents of the billing document, such as credit memos, use the translation rate of the referred billing document item for translation into company code currency.

In the case of an existing down payment, each invoice line item is split into a line item per down payment and a line item for the remaining amount. The line item per down payment uses the translation rate of the corresponding down payment item for translation into company code currency. The remaining amount of the invoice line item is translated using the translation rate of its services rendered date. If there are several down payment items, the parts covered by each credit memo are calculated in proportion to the amount of each down payment.

Line-item-based calculation of translation rates is active for the tax country/region (only when RITA is active)

The country/region tax amounts are translated using the rate as of the services rendered date of each line item. Follow-up documents of the billing document, such as credit memos, use the translation rate of the referred billing document item for translation into reporting currency.

In the case of an existing down payment, each invoice line item is split into a line item per down payment and a line item for the remaining amount. The country/region tax amount of the line item per down payment uses the translation rate of the corresponding down payment item. The remaining country/region tax amount of the invoice line item is translated using the translation rate of the services rendered date.

Advanced Intercompany Billing

In case of **Advanced Intercompany Billing**, the translation rates for the tax amount calculation of the supplier invoice follows the determination of translation rates for the tax amount calculation of the billing document.

Line-item-based calculation of translation rates is active for the respective country/region

When the company code currencies of the billing document and the supplier invoice are identical, the tax amounts in company code currency are copied from the billing document to the supplier invoice.

If the company code currencies of the billing document and the supplier invoice are different, the tax amounts in company code currency in the supplier invoice are translated using the translation rate of the date of the services rendered date of the corresponding billing document item.

Line-item-based calculation of translation rates is active for the tax country/region (only when RITA is active)

If the reporting currencies of the billing document and the supplier invoice are identical, the tax amounts in reporting currency are copied from the billing document to the supplier invoice.

If the reporting currencies of the billing document and the supplier invoice are different, the tax amounts in reporting currency in the supplier invoice are translated using the translation rate of the date of the services rendered date of the corresponding billing document item. Otherwise, the tax amount must be calculated. In this case, the system uses the translation rate at the time of the services rendered date. For further information, please see Currency Translation for Country/Region in Intercompany Supplier Invoices.

Calculation of Historical Translation Factors Using the Services Rendered Date

The logic described in the following is only relevant for documents originating from Sales.

The tax amount for cash discount in a payment for a billing document can be translated into reporting currency based on the services rendered date. The currency translation is done when either company code country/region, or tax country/region, or both, are using the services rendered date.

For more information on how the historical translation factors are calculated, see Calculation of Historical Translation Factors.

When the customer/supplier item has a valid tax code, the company code factor is calculated by dividing the amount in company code currency by the amount in transaction code currency of the customer/supplier item.

Note

The line items used for the calculation of the historical translation factors of a tax code are discount-relevant items. When no such lines exist or the sum of all line items is zero (0), then all lines are considered for the tax code.

Viewing the Factors

It's possible to view the calculated factors in the **Manage Journal Entries** app. Open a document in that app, then, in the **Line Items** section, click **Currency Translation**. The popup shows the **Tax Amount Factor in Local Currency** (**T2Company** factor) and the **Tax Amount Factor in Reporting Currency** (**T2Country** factor).

Countries/Regions Where Currency Translation Is Enabled

You can activate currency translation only for countries/regions that are enabled by SAP. To use currency translation for one of these countries/regions, please create an incident for component **FI-GL-GL-F-2CL**.

Country/Region	Country/Region-Specific Documentation
Czech Republic	Czech Republic
Denmark	Denmark
Finland	Finland
France	France
Germany	Germany
Hungary	Hungary
Malaysia	Malaysia
Netherlands	Netherlands
Norway	Norway
Ireland	Ireland
Romania	Romania
Slovakia	Slovakia
Spain	Spain
Sweden	Sweden
United Kingdom	United Kingdom

Display Tax Information per Country

App ID: S_ALR_87012365

With this app, you can display the tax information for a selected country.

To display information, you enter the country code (DE for Germany, for example) and a chart of accounts. You can then see all existing tax codes for this country in an overview list. When you click a tax code, additional information is displayed.

Key Features

This app provides the following key features:

- Display tax codes, tax types, EU codes, and condition types
- **Display details immediately**: The details about all tax codes are displayed (one tax code per page). This display type is especially suited for paper printouts. If you wish to display tax accounts for specific account keys, you must enter the chart of accounts.

Information for Jurisdiction Code Countries

This report also displays tax information for tax jurisdiction code countries, such as the United States and Canada. To use this report to see your tax information in these countries, you must make sure that the internal tax calculation procedure is assigned. Running this report if you have an external tax calculation procedure returns faulty information, because the system expects that tax data to be returned by your external tax provider. For the United States, for example, you can use this report if your tax calculation procedure is set to **TAXUSJ**, but not if your tax calculation procedure is set to **0TXUSX**.

If you're unsure which tax procedure you've assigned, use the **Assign Country to Calculation Procedure** configuration activity to check the tax procedure assignments.

When you run the report by entering the required parameters, you can then select a tax code to see the jurisdiction levels to which this code is applied. Selecting the top jurisdiction level shows you only the top-level jurisdiction information. Selecting a lower jurisdiction level shows you all of the impacted jurisdiction levels as you scroll down through the tables.

Supported Device Types

Desktop

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

See Also

For more information, see the system documentation or application help. In the app, choose **More** > **Program Documentation** or **Help** > **Application Help**.

Electronic Advance Return for Tax on Sales/Purchases

Use

You can use this function to create your advance return for tax on sales/purchases and then send the data encoded and electronically to the tax authorities.

Example

Example: In Germany, as of 2005 you are required by law to send your advance return for tax on sales/purchases to your tax authorities electronically. The system uses the tax authorities' predefined XML interface. This is structured in the same way as the official form.

Prerequisites

To use the apps, you must have made the settings and have the appropriate permissions.

Procedure

The electronic advance return for tax on sales/purchases consists of a two-step procedure:

1. **Creating an Advance Return for Tax on Sales/Purchases**

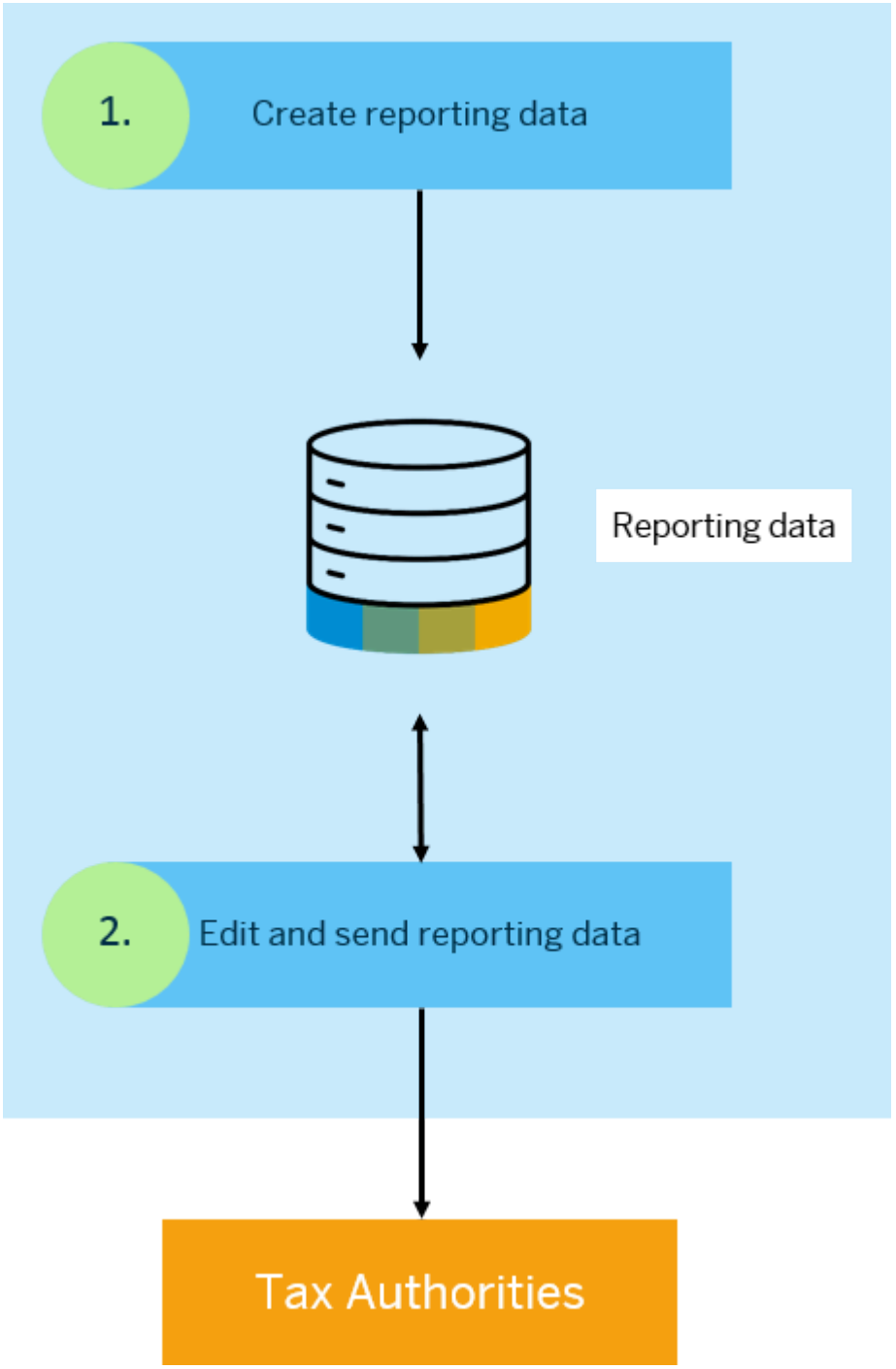
   You first determine your data that you are required to report. To do this, use the **Create Advance Return on Sales/Purchase Tax** app. The reporting data for a period are indicated as a return. You are able to correct reporting data that has already been created and use this app to recreate the reporting data (corrected return).

2. **Editing and Sending Reporting Data**

   Use the **Prepare Electronic Tax Return** app to verify, maintain, and send the previously created financial data to an authority. You can then view the corresponding transfer and receipt log.

The following image illustrates the **two-step procedure for the electronic advance return for tax on sales/purchases**:

This image is interactive. Hover over each area for a description. Click highlighted areas for more information.



Please note that image maps are not interactive in PDF outputs.

Electronic Data Transmission to Authorities

Use

You can transfer encrypted data to an authority with the **Prepare Electronic Tax Return**. For example, you can select and edit reporting data for the advance return for tax on sales/purchases and transfer it to the tax authority.

Prerequisites

- You need to have set up electronic communication with tax authorities.
- If you use this function to send your advance return for tax on sales/purchases electronically, you first need to create reporting data that you want to use. For more information, see Create Advance Return on Sales/Purchase Tax.

> **Note**
>
> For more information on the process of the electronic advance return for tax on sales/purchases, see Electronic Advance Return for Tax on Sales/Purchases.

- You have assigned the authorizations to edit and transfer returns to the user of the report.

Key Features

The Electronic Data Transmission to Authorities (FOT_B2A_ADMIN) administration report is available for this function.

Once you have selected the returns to be transferred, the following functions are available in the output list:

- Display details on the contents of the returns and perform a comparison of the parameters with Customizing
- Change return amounts in the details for the advance return for tax on sales/purchases

  You can change the return amounts or add new IDs for the return type **advance return for tax on sales/purchases** if **no** external data exists in the SAP system.
- Select and transfer returns
- Display receipt logs in XML format to check whether the authority has received the packages
- Display/change the status for individual returns and analyze and correct errors

Activities

1. Open the **Prepare Electronic Tax Return** app.

   If you can't find it on your SAP Fiori launchpad, add the app to your launchpad via the App Finder.
2. Enter the following data on the selection screen:

- **Leading Company Code**
- **Return Type** (for example, 0001 advance return for tax on sales/purchases)
- Reporting period divided into **reporting period** and **reporting year**
- Whether you want to select all returns or only new returns to be transferred
- Choose the output layout and whether the change information should be displayed

You can also automate the process of transferring data by scheduling the report in the background. In the report log or later in online mode, you can get status management to inform you whether all data was transferred successfully.

How to Set Deviating Tax Codes in Down Payment Requests for Intracommunity Supply

Different European Union (EU) countries have different requirements for the taxability and reporting of down payments for the delivery of goods across EU borders. In general, a tax statement requirement exists upon the delivery of goods to a foreign EU country, but not upon receipt of the down payment request. This document describes how to maintain a tax code for down payment requests (billing type FAZ) that deviates from the tax code of the corresponding clearing invoice. The clearing invoice represents the final settlement of the delivery of goods.

Business Context

Within the EU, down payments on future goods movement between countries are not taxed the same way in all countries. In some countries, down payment requests are not taxed at all. To cover this range of country-specific requirements, a different EU tax code may be needed for the down payment request than for the final clearing (settlement) invoice of that same transaction.

Solution

In Sales, a tax specialist (that is, a user with the same authorizations as business role template SAP_BR_TAX_SPECIALIST) can make the required changes for a specific key combination (that is, a condition table) of condition type TTX1.

These changes enable the system to determine a different tax code (for example, tax code A0 for non-taxable) in a down payment request than the tax code used in the subsequent clearing invoice.

To make the required changes, you as a tax specialist can proceed as follows:

1. On your SAP Fiori launchpad, open the app **Set Tax Rates – Sales**.
2. Enter condition type TTX1, press Enter, and choose key combination **Export Taxes Depending on the Billing Category**.
3. Select the origin country, (location of the company issuing the down payment requests), the destination country or region, and billing category P for down payment request. Choose **Execute**.
4. In the condition table that is now displayed, you can maintain condition records. In the tax code column, you can enter the tax code that fulfills your local legal requirements regarding the taxation of down payment requests.
5. During tax code determination for the down payment request, the system then determines the appropriate tax code depending on the origin and destination country or region.

Example

Your sales organization is based in Germany, which doesn't require tax reporting for down payment requests. Therefore, you maintain tax code A0 (0% output tax) in the appropriate row of the condition table. This ensures that no output tax is applied to the down payment request, while the clearing invoice can be taxed using a different tax code..

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Related Information

Maintaining Prices and Tax Rates

Input Tax from Parked Documents

An App that allows you to display and validate deductible input tax amounts entered in document parking. You can use it to efficiently manage and validate input tax data for tax on sales/purchases.

App ID: S_ALR_87012362

Use

With this app, you can display the deductible input tax amounts that were entered in the document parking. You can also use batch input to ensure that the amounts are included in the advance return for tax on sales/purchases.

Key Features

Display data

To view data, select a company code and an **input** tax code. The following data is displayed:

- Input tax per invoice and tax code
- Deductible and nondeductible portions of input tax
- Tax basis value that is used for posting

Configuring the Validation of Input Parameters for Batch Input Runs Using BRF+

You can use the Business Rules Framework Plus (BRF+) to validate parameters for the accounts entered by the accountant during the creation of the batch input session. If BRF+ is set up, accounts are included in the batch input only for the configured parameters. The parameters that you can configure are:

- Clearing Account
- Credit Posting Key
- Debit Posting Key
- Tax-Relevant Payables Account

To configure these parameters using BRF+, proceed as follows:

1. In your development tenant, identify/create a package classified as transportable to lock the custom BRF+ application.
2. In your development customizing tenant, create a customizing transport, recommended to be marked as default customizing Transport Request (TR).

   ### ℹ Note

   In a two-system landscape, you need an open business change project (BCP) to transport your changes.

3. In your development customizing tenant, navigate to the configuration activity, **Configure Business Rules (BRF+)**.
4. In the simplified **BRF+ Workbench**, search for the SAP reference system ID:

SAP Delivered Reference System Application ID
0B72AAECFAFA1EEE98A5F0E29154AAB5

5. Copy the SAP-delivered reference package into a custom application with application name starting with **ZOT**. Lock the object in the package identified/created in step 1.
6. Activate the changes. Verify all the underlying data objects/expressions/functions are successfully activated.
7. Application is included in the default customizing TR, which can then be exported to test or production. It must be ensured that the package is exported prior to this.

ℹ Note

You can maintain only one active copy of the standard reference application. The system throws an error when you try to create duplicate copies. SAP recommends not making any changes to the structures in the custom application. Settings can only be made or changed in the **Decision Table**.

Supported Device Types

Desktop

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

See Also

Here's where you can find more information:

- Read the system documentation or application help. In the app, choose **More** > **Program Documentation** or **Help** > **Application Help**.

Maintain Client-Specific Tax Settings

You can use the **Maintain Client-Specific Tax Settings** (`106587`) configuration activity to change client-specific tax settings. One example is the functional area authorization check in tax reports. When this setting is activated, the check of the functional area authorization is done in the associated tax reports.

Check Functional Area Authorization in Tax Reports

This check controls the functional area authorization check in the following tax reports:

Tax Report Name	App Title	Job Template
RFUMSV00	Create Advance Return on Sales/Purchase Tax	`SAP_FIN_TAX_RFUMSV00`
RFUMSV10	Create Add. List for Advance Return on Sales/Purchase Tax	`SAP_FIN_TAX_ADV_RETURN_TAX`
RFASLD20	EC Sales List in DME Format	`SAP_FIN_EC_SALES_LIST`
RFUTAX00	Prepare Tax Report	`SAP_FIN_TAX_PREPARE_TAX_REP`
RFUMSRVG00	VAT Refund	`SAP_FIN_TAX_RFUMSRVG00`

ℹ Note

All the job templates listed above can be accessed using the **Schedule Tax Jobs** app.

Check Tax Item Consistency

This check controls plausibility validations during accounting postings. If the check is active, the error message **Tax code & does not appear in any G/L account item** is shown for documents where the tax information between the tax and tax-relevant base items is inconsistent.

The document entered contains a tax item with tax code. This does not occur in any of the G/L account or material items. Note that such postings are incorrect, meaning that there are tax items for which there are no tax-relevant base items in the accounting document. As a consequence, this document is displayed incorrectly or not at all in the tax reconciliation apps, and it is displayed incorrectly or not considered at all in tax reports. You must check the document and correct the tax information accordingly.

ⓘ Note

You can define the appearance of this message in your system according to your requirements. To do so, use the **Maintain Client-Specific Tax Settings** (`106587`) configuration activity.

Check Tax Code Consistency

This check controls plausibility validations during accounting postings. If this check is active, the error message **Tax code & does not appear in any G/L account item** is shown for documents where the tax code is entered on a customer, or a vendor item, that does not appear in any of the G/L account or material items.

The document entered contains a customer or vendor item with tax code. This does not occur in any of the G/L account or material items. Note that such postings are incorrect, meaning that there are tax notification items for which there are no tax-relevant items in the accounting document. The tax notification items are derived from the accounting document. As a consequence, if you have not entered the cash discount base manually, the system will set it to zero in this item. If this item was paid with cash discount deduction and the cash discount amount contains a tax portion, the tax code entered is used for the backdated tax calculation. An automatic breakdown does not take place on the basis of the offsetting items. Also, tax notification items that cannot be explained by the accounting document appear in reporting.

Check whether the tax code was set correctly. If necessary, you must correct it or enter "**".

There are, however, also situations in which it makes sense to enter a tax code that differs from the offsetting items manually, for example, during data acquisition. If you deactivate the error message, you allow this type of inconsistent postings. SAP is not accountable for this. The posting items of an accounting document should always be able to explain the tax notification items of the accounting document, which is not the case if this error message is raised.

ⓘ Note

You can define the appearance of this message in your system according to your requirements. To do so, use the **Maintain Client-Specific Tax Settings** (`106587`) configuration activity.

Manage Proposed Tax Postings

Manage the proposed tax postings returned for your goods movements.

App ID: `FOT_TXA_MTP`

Intra-company stock transfers and customer consignments are common ways to manage inventory. Companies that carry out cross-border deliveries of goods between physical locations can be subject to specific tax and reporting regulations. In these cases, you can use the Create Proposed Tax Postings from Goods Movements job to generate a list of proposed tax postings for your goods movements transactions. You can then use the **Manage Proposed Tax Postings** app to review and accept these proposals, or amend them if necessary.

Use

To use this app, log on with a user with the same minimum authorizations as the G/L Accountant (SAP_BR_GL_ACCOUNTANT) business role template.

To view a list of proposed tax postings for goods movements, fill the mandatory fields. Enter a company code, G/L account number, and document type. The system returns a list of proposed tax postings for review.

Double-click on a tax proposal to open up the proposal details. This screen shows you the Tax Proposal: Item. Tax Proposal: Tax Detail, and Tax Proposal: Tax Aggregation information.

Editing Proposed Postings

Proposals with the status Initial/In Progress can be edited. You can, for example, change the posting date. By default the posting date in the proposal is the posting date of the material document. The posting date can be edited at the line-item level for a specific tax proposal or can be edited for multiple entries simultaneously.

When you edit proposals and select Update, your changes are highlighted on the screen. You can then Save Update or Undo Update to keep or to discard your changes.

→ Remember

You can only edit proposed postings that have the status Initial/In Progress. Attempting to edit proposals with any other status generates an error.

Posting Proposed Postings

You can likewise post proposals one at a time or several at a time. When you select the proposals to post, their status changes to Post to Accounting. This status indicates that the proposals have been posted successfully and can no longer be edited. When proposals are posted, the accounting document number and fiscal year are automatically updated in the results table if necessary.

→ Remember

You can only post proposed postings if they have the status Initial/In Progress. Attempting to edit proposals with any other status generates an error.

Reversing Postings

Postings that have the status Post to Accounting can't be edited. If they need to be changed, you must reverse the postings first. To do this, select one or several postings with the status Post to Accounting, then select Reverse and Create New Proposal. Enter a Reversal Reason and the Posting Date for the reversal document. Successful reversals have the reverse code 1 (Reversed). When you reverse a document, two new documents are created. A new proposal document with the reversal status is created, as is a new tax proposal item with the status Initial/In Progress.

Pricing Analysis

Because the intention of the Manage Proposed Tax Postings app is to help your accountants and potential auditors to understand the tax calculation, the app also enables you to understand how the system has determined the tax proposals. You can call up the pricing analysis from a proposed tax posting for a selected item. The pricing analysis result provides detailed information about, for example, which tax condition types were used. In addition, you can navigate to the details of the successful access and get information, such as the tax classification of the material or customer or how the tax base amount was determined.

ℹ Note

An authorization check is available. This check allows users to create proposed tax postings and to manage proposed tax postings for the respective company code and document type.

In Case of Errors

In some cases, proposed postings may have the status **Billing Simulation Error** or **Billing Simulation Warning**. In these cases, please create an incident for component `SD-BIL`.

Post Tax Payables

App ID: F1597

You use this app to pay tax amounts by posting the balances of input and output tax accounts to a tax payable account. The app does not require entry of a tax code, enabling you to make manual adjustments to tax accounts directly. Postings can be made in all relevant ledgers for the accounts that you are responsible for, but this applies only to accounts that are configured to allow direct postings.

Key Features

- Save a draft before posting an entry
- Post the balances of tax accounts to a tax payable account
- Add attachments and enter notes to explain the reason for the posting

ℹ Note

- The tax payable account itself must **not** be tax-relevant.
- The tax amounts are not included in the advance report for the following month, since the generated journal entries do not contain any tax information.
- If you want to activate negative posting for automatically created items for posting, you can select **Negative Posting** in the **Edit Options for Journal Entries** app. For more information about the option, see Edit Options for Journal Entries.
- The settings in the **Manage G/L Account Master Data** (ID: 150001) configuration activity determine whether you can find the G/L accounts in the **Post Tax Payables** app. The search result doesn't include accounts in any one of the following cases:
    - The account is blocked for posting.
    - The reconciliation type has a value.
    - The account is automatically posted.
    - The account is not automatically posted and the tax category has a value other than > and <.

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Registration for Indirect Taxation Abroad (RITA)

Registration for Indirect Taxation Abroad (RITA) enables indirect tax calculation and reporting for multiple countries/regions within a single legal entity.

Business Context

Legal entities operating in multiple countries/regions must satisfy the tax and reporting regulations of the countries/regions in which they do business. Under some circumstances, you're permitted to register legal entities for indirect taxation abroad without having to create a company code for that country/region. Registration for Indirect Taxation Abroad (RITA) allows you to maintain a tax registration country/region that is different from the company code country/region. This registration helps you link taxable transactions in foreign countries/regions for indirect tax reporting and tax payments.

> ⚠ **Caution**
> Registration for Indirect Taxation Abroad (RITA) is currently available in your testing system for testing purposes. It is vital that you read and understand SAP Note 2907372 before proceeding. It is also advisable to read other SAP Notes linked from this SAP Note that pertain to the scope of your planned use of RITA.

It's important to note that you can't use RITA where you maintain an establishment in a foreign country/region and are required to create a company code for that permanent presence. You also can't use it in any instance when you're required to create a company code. It's your responsibility to verify whether the laws of the respective countries/regions require establishment of a company code.

Neither of these cautions refer to the default company code that you receive when you activate a country/region in SAP S/4HANA Cloud Public Edition. Further, under certain circumstances, you may want to activate RITA without activating the foreign country/region solution for which you want to use RITA. This option is available for specific countries/regions and requires the activation of specific scope items. For more information, see the country-/region-specific RITA information. You can find links to the respective country/region information here: Countries/Regions Where RITA is Enabled.

Important Information for RITA in Pricing

To calculate the statistical indirect taxation values abroad, the system uses the predelivered condition type **GRWR** (Statistical value).

For your own pricing procedures in Sales that use the condition type **GRWR**, you must replace the routine number `008` with routine number `091` in the **Requirement** field.

Please note that if you've created your own condition types for indirect taxation abroad, you must use the same routine number `091` in the **Requirement** field.

Important Information for RITA in Sales

Cancellations created for billing documents that were created prior to activating RITA will reflect the company code country/region as the tax reporting country/region of the cancellation document.

Billing documents created in your system before you activate RITA do not contain a designated tax registration country/region. If you cancel these billing documents once RITA is active in your system, the cancellation documents are assigned the company code country/region as the tax registration country/region.

Important Information Regarding Down Payment Clearing

For down payment clearings arising from within Finance, using apps such as Post Outgoing Payment or Clear Incoming Payment, two sets of logic apply. For full clearings, all selected down payment items (special G/L indicator "A") with the same tax attributes are read and aggregated to calculate the total tax amount and tax base amount in reporting currency. Examples of the relevant tax attributes are the tax country/region, tax code, and valid-from date of the respective tax rate.

For partial clearings, the system logic operates differently. For foreign transactions between countries/regions using the same currency, the Tax Amount in company code currency is copied over as the tax amount in reporting currency. For transactions between countries/regions using different currencies, then the translation rate of the original down payment is applied to all subsequent down payments.

Additionally, if the system can't determine the translation rate of the down payment documents, it uses the document date of the down payment documents, unless the Foreign Currency Translation for Tax Items parameter is maintained in the respective company code settings. If this parameter is maintained, and the value is '5', and the VAT date is maintained, then the VAT date is used to determine the exchange rate. If this parameter is maintained, and the value is '6', and the fulfillment date is maintained, then the fulfillment date is used to determine the exchange rate.

Please note that this logic is only used when the down payments and down payment clearing document have the same document currency. If the down payments and the down payment clearing document have different document currencies, then the system uses the standard conversion logic based on the system date of the down payment clearing document.

For down payment clearings arising from Sales or Sourcing and Procurement, the system logic is as follows. For foreign transactions between countries/regions using the same currency, the Tax Amount in company code currency is copied over as the tax amount in reporting currency. For transactions between countries/regions using different currencies, then the translation rate of the original down payment is applied to all subsequent down payments.

If the system can't determine the translation rate of the down payment documents, then the system uses the standard conversion logic based on the system date of the down payment clearing document.

Some countries/regions have special rules regarding how taxes are calculated as part of down payment clearing. For more information on these rules, and the system logic that applies in these cases, see Countries/Regions Where RITA is Enabled.

Use of Currency Translation Factors

In some cases, you may need to use historically derived currency translation factors for reporting purposes. Depending on the reporting requirements of the specific country/region, this may be the case, for example, for cash discounts or other processes and may apply at the line-item level. Generally, to use RITA for non-Euro countries/regions, you'll need to contact SAP to have the Currency Translation for Country/Region feature activated for you. For information on how translation factors are calculated in general, see Information on Currency Translation Where RITA Is Active

Related Information

SAP Note 2907372

Activating Registration for Indirect Taxation Abroad (RITA)

Explains how to migrate your data when you activate the registration for indirect taxation abroad.

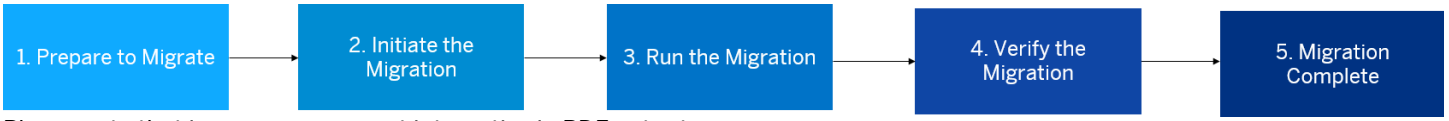
Registration for Indirect Taxation Abroad (RITA) is active at the company code level. When you activate RITA, you must migrate your tax-relevant transactions to new tables in your SAP S/4HANA Cloud Public Edition system. To activate RITA, you must either first activate the respective local versions in your SAP S/4HANA Cloud Public Edition system. Alternatively, if you want to use RITA without activating the additional country/region for which you would use RITA, you must activate that respective scope item.

⚠ Caution

Registration for Indirect Taxation Abroad (RITA) is currently available in your testing system for testing purposes. It is vital that you read and understand SAP Note 2907372 before proceeding. It is also advisable to read other SAP Notes linked from this SAP Note that pertain to the scope of your planned use of RITA.

The Migration Process

This graphic is interactive. You can hover over each element to see more information about that step, or click on an element to navigate to the topic with the information for that step.



Please note that image maps are not interactive in PDF outputs.

The data migration and RITA activation process passes through a sequence of up to five statuses as you complete the process. It might be helpful to think of these as statuses 1 through 5. The following description of how you carry out the migration refers frequently to these statuses, as do the accompanying graphics.

Status 1	**Migration initiated (but not yet started)**
Status 2	**Migration running**
Status 3	**Error(s) occurred during migration**
Status 4	**Migration partially complete (pending customizing)**
Status 5	**Active**

This migration and activation process comprises several steps and involves your configuration expert and your general ledger accountant. Your configuration expert needs the same minimum authorizations as the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template. Your general ledger accountant must have the same minimum authorizations as the **General Ledger Accountant** (SAP_BR_GL_ACCOUNTANT) business role template.

The steps in the graphic generally match the system statuses in the table. The exception is status 3 - **Error(s) occurred during migration**. In most cases, you don't enter status 3. In the event that your system does enter status 3, information on how to resolve the errors is provided at step 3 in the process descriptions linked in the graphic. You can hover over each element in the graphic for more information, or select the element to link directly to the information relevant to that stage in the process.

Please note that the company codes that you're migrating are closed to postings in statuses 2 and 3. You can make postings for these company codes in your testing systems in status 4 for testing purposes. In your production system, postings can't be made in statuses 2, 3, or 4. You likewise can't perform any tax account maintenance in statuses 2, 3, or 4. Further, you shouldn't perform such maintenance if your system reverts to status 1, as is explained in the corresponding sections.

⚠ Caution

Currently, you may not change the status from status 4 - **Migration partially complete (pending customizing)** to status 5 - **Active.** This is to prevent potentially serious data inconsistencies in your system. If you want to change your RITA status from status 4 to status 5, this can only be done via the service center. This restriction is in place for all systems except starter and demo systems. Once this is done and your system status is 5, you can no longer undo the migration.

Ideal Migration and Activation Sequence

The ideal migration sequence consists of the following steps. It must be performed in all systems in which you test or develop before being performed in your production system:

1. Use the information provided in How to Prepare for the Migration to make sure that your system is ready for the migration.
2. Your configuration expert uses the **Activate Registration for Indirect Taxation Abroad** app to set the migration status in your development or testing system to 1 - **Migration initiated (but not yet started)**. See How to Initiate the Migration to Registration for Indirect Taxation Abroad.
3. Your general ledger accountant uses the Schedule Migration of Registration for Indirect Taxation Abroad (RITA) job template to schedule the migration. Scheduling this job sets your system to status 2 - **Migration running**. Once the job completes, your system typically is in status 4 - **Migration partially complete (pending customizing)**. For information on this step, including how to deal with any errors, see How to Schedule and Run the Migration to Registration for Indirect Taxation Abroad.
4. When the migration is complete in your testing system and the migration status is 4 - **Migration partially complete (pending customizing)**, test to verify that your data has been migrated correctly. See How to Verify and Complete the Migration to Registration for Indirect Taxation Abroad. At this point, if your data is correct and consistent, you should undo the migration or decide to use RITA productively.
5. If you decide to use RITA productively and have completed the migration and activation process in all systems in which you test or develop, you can then create an incident for component **FI-GL-GL-F-2CL** for your production system. With the incident, provide the user ID's that should activate RITA in all your systems (changing the status from 4 - **Migration partially complete (pending customizing)** to 5 - **Active**). It is vital that you read and understand SAP Note 2907372 before proceeding. You must confirm this in the incident. It is also advisable to read other SAP Notes linked from this SAP Note that pertain to the scope of your planned use of RITA. Follow the procedure in How to Verify and Complete the Migration to Registration for Indirect Taxation Abroad.

   #### → Remember

   It is not necessary to create an incident to activate RITA in your starter or demo system.

   Once RITA is active in your production system, you may need to make some configuration settings to ensure that RITA functions properly. You can also add new tax registration countries/regions to company codes in countries/regions for which RITA is active in your production system. How you do this, see How to Configure and Maintain Your System After the Migration and Activation.

ⓘ Note

There are some variances in this process, depending on which system the migration and activation process is for. These differences are explained in the respective how-to topics.

The migration process for two-system landscapes and for three-system landscapes differs only in the number of system landscapes involved. That is, for two-system landscapes you need to activate RITA sequentially in your quality and then your production system. For three-system landscapes, you need to activate RITA sequentially in your development, then test, then production systems. The activation processes are otherwise identical.

Before You Initiate the Migration

Please see How to Prepare for the Migration.

How to Prepare for the Migration

Find out how to get ready for your migration to registration for indirect taxation abroad (RITA).

Prerequisites

- Make sure you're logged in with a user with the same minimum authorizations as the **Configuration Expert** (SAP_BR_BPC_EXPERT) business role template.
- Make sure you have read and understood SAP Note 2907372. We recommend you also read the other SAP Notes linked from this SAP Note that pertain to the scope of your planned use of RITA.
- Prepare for the master data changes you need to make once the RITA migration is complete. For more information, see RITA Enablement for Tax Classification.

⚠ Caution

Registration for Indirect Taxation Abroad (RITA) is currently available in your quality system for testing purposes.

Context

This graphic is interactive. You can hover over each element to see more information about that step, or click on an element to navigate to the topic with the information for that step.



Please note that image maps are not interactive in PDF outputs.

Activating RITA essentially consists of populating the **Tax Reporting Country/Region** field in a number of tables.

ℹ Note

This procedure is based on default content and UIs. Depending on your configuration settings, the procedure may be slightly different.

Procedure

1. Ensure that you don't have active migrations for RITA and for time-dependent taxes (TDT) running concurrently. Use the **Maintain Migration Status for Time-Dependent Taxes** app to check the **Migration Status** of the countries/regions for which you want to activate RITA. Make sure that the status is either **5 Active (manual verification complete)** or **6 Active (via content deployment)** in all systems in which you develop or test as well as your production system. If you migrate RITA first, make sure that the migration is complete in all of your systems and the system status is **5 Active** before running the TDT migration.

   #### → Remember

   The TDT migration must be complete in any system you use for development or testing and in your production system before initiating the migration to RITA, and vice versa. If you migrate for RITA first, then the RITA migration must be complete in any system you use for development or testing and in your production system before initiating the TDT migration.

2. Make sure that all payment proposals are processed before initiating the migration.
3. Ensure that you have no open transports pertaining to any country/region that you would use as either the company code country/region or the foreign registration country/region. Complete any transports involving content for any such country/region in any system that you use for testing and in your production system before initiating the migration to RITA. Additionally, if you later activate any additional country/region versions, ensure that all relevant transports are fully complete before performing any RITA-related configuration or maintenance.
4. In some cases, you may need to make specific configuration settings before initiating the migration and activation. If this is the case, the system prompts you to the configuration settings that need to be made.

Results

You're now prepared for the migration.

Next Steps

How to Initiate the Migration to Registration for Indirect Taxation Abroad

How to Initiate the Migration to Registration for Indirect Taxation Abroad

The first phase of your migration to registration for indirect taxation abroad (RITA) is initiating the migration process.

Prerequisites

- Make sure you've prepared your systems for the migration. For more information, see How to Prepare for the Migration.
- Make sure you're logged in with a user with the same minimum authorizations as the **Configuration Expert** (SAP_BR_BPC_EXPERT) business role template.

Context

The first phase of your migration to registration for indirect taxation abroad is initiating the migration process.

This graphic is interactive. You can hover over each element to see more information about that step, or click on an element to navigate to the topic with the information for that step.



Please note that image maps are not interactive in PDF outputs.

ℹ Note

This procedure is based on default content and UIs. Depending on your configuration settings, the procedure may be slightly different.

Procedure

1. Open the **Activate Registration for Indirect Taxation Abroad** app.
2. Select **New Entries**.
3. Enter the company code that you want to migrate.
4. Under **TXA Status**, select **Migration initiated (but not yet started)**.

This status (status 1) enables the G/L accountant to schedule and begin the migration.

Results

You, as the configuration expert, have initiated the migration.

Next Steps

How to Initiate the Migration to Registration for Indirect Taxation Abroad

How to Schedule and Run the Migration to Registration for Indirect Taxation Abroad

Once you initiate the migration to registration for indirect taxation abroad (RITA), you can schedule and run it. You can also resolve errors that might occur.

Prerequisites

- Make sure you have fulfilled the following prerequisites:
    1. Make sure you have prepared your systems for the migration. For more information, see How to Prepare for the Migration.
    2. Make sure you have initiated the migration. For more information, see How to Initiate the Migration to Registration for Indirect Taxation Abroad.
    3. Make sure that you're logged in with a user that has the same minimum authorizations as the **GL Accountant** (`SAP_BR_GL_ACCOUNTANT`) business role template.

Context

This graphic is interactive. You can hover over each element to see more information about that step, or click on an element to navigate to the topic with the information for that step.



Please note that image maps are not interactive in PDF outputs.

Once your configuration expert initiates the migration and sets the migration status to status 1, your general ledger accountant can schedule the migration. The migration can also be scheduled from status 3, as is described in the following, but generally is run from status 1.

ℹ Note

This procedure is based on default content and UIs. Depending on your configuration settings, the procedure may be slightly different.

→ Tip

Select the little arrow in front of every step to get more information on the respective steps.

Procedure

1. Schedule the Migration:

    a. Log on to the SAP Fiori launchpad, go to the **Tax Processing** group and select the **Schedule Tax Jobs** app.

    b. Choose the plus sign (+) to create an entry.

    c. Select the **Schedule Migration of RITA** job scheduling template.

    d. In the **Migration Company Code** field, enter a company code corresponding to a country/region that is in scope for RITA.

    For your information: SAP recommends first scheduling a **Simulation Run**. This option is selected by default. The simulation tells you how long you can expect the migration to take. It also tells you whether it has identified any errors in your transaction data or in your custom-created data. You can use the information from this report to correct any such errors before scheduling the migration. During the simulation, the system checks for any technical errors that would impact the migration, such as database consistencies in existing data or duplicate keys.

    e. Once you've resolved any identified errors to your satisfaction, you can schedule the migration.

    f. Uncheck **Simulation run** when you initiate the migration.

    For your information: Initiating the migration also initiates the migration report. This report contains technical information, including the status the migration was started from, that is, whether it was status 1 or status 3, which are the only statuses from which you can schedule migration. This status information is important if there are any errors in the migration of your custom-created data.

    As a result, once the migration report is initiated, the system then triggers status 2 - **Migration running**. This migration runs without further input. When your migration status is 2, the company codes being migrated are locked in your system. This lock prevents problematic data inconsistencies.

    > **Note**
    > You can't manually revert your system status to status 1 while the migration is running. Any attempt to do so returns an error message. If you need to reopen your system to postings, or if you discover that you needed to perform other maintenance before scheduling the migration, you must let the migration finish. You can then undo the migration (see **Verifying the Migration**) and rerun it, or verify and complete the migration.

2. Run the Migration:

    Once in status 2, the system first migrates your custom-created data. There are two components to this portion of the migration.

    First, custom-created data is migrated at the country/region level. That is, when you activate a company code, or assign a country/region to a company code for which RITA is active, the tax box mappings for the country/region corresponding to that company code are migrated. This happens the first time that country/region is activated or assigned. It's important to note that once you migrate a company code for a country/region for which RITA is in scope, then all other company codes for that country/region use the migrated tax box mappings.

    Second, all tax account determinations are migrated the first time a company code is activated.

    If there are no errors in this phase of the migration, then the system migrates your transaction data. If there are no errors during the migration of your transaction data, then the system moves to status 4 - **Migration partially complete (pending customizing)**. This is the expected result. In this case, the next section isn't relevant. In status 4, you verify the migration.

How to Resolve Errors

If the system encounters any errors during either phase of the migration, there are a number of things that you can do.

Procedure

1. Have your configuration expert check the migration status using the **Activate Registration for Indirect Taxation Abroad** app.

   In exceptional cases, the migration report shows errors but the system doesn't progress to status 3 - **Error(s) occurred during migration**. Instead, the system remains in status 2. In this case, contact the SAP support by creating an incident for component **FI-GL-GL-F-2CL**.

2. Rerun the migration.

   Normally, if any errors are encountered, the system status changes to status 3. If you reach status 3, you should rerun the migration. In most cases, simply rerunning the migration resolves the error. If it doesn't, undo the migration and rerun it. If you still have errors, undo the migration to open your company codes to new postings and create an incident for component **FI-GL-GL-F-2CL**.

   Once you undo a migration, you shouldn't perform any tax account maintenance until you complete your migration. If time-dependent taxes are active for the country/region for which a company code is being migrated, you likewise shouldn't perform any tax box mappings until you complete the migration. As with a reversion to status 1, any tax account maintenance or tax box mappings performed after undoing a migration aren't included in a subsequent migration.

   a. To undo the migration, simply open the **Schedule Migration of RITA** job scheduling template.

   b. Enter the **Migration Company Code**.

   c. Make sure that **Simulation Run** is unchecked.

   d. Check **Undo Migration**.

      Scheduling this job reverts the migration of both your custom-created and your transaction data.

      Typically, however, issues flagged in the migration report are information messages, not errors. These messages are generated in cases where there are inconsistencies or missing data that you may wish to correct in your production system.

Next Steps

How to Verify and Complete the Migration to Registration for Indirect Taxation Abroad

How to Verify and Complete the Migration to Registration for Indirect Taxation Abroad

Once you have scheduled and run the migration to RITA, you need to verify and complete the migration.

Prerequisites

- Make sure you've fulfilled the following prerequisites:

  1. Make sure you've prepared your systems for the migration. For more information, see How to Prepare for the Migration.

  2. Make sure you've initiated the migration. For more information, see How to Initiate the Migration to Registration for Indirect Taxation Abroad.

  3. Make sure you have scheduled and run the migration. For more information, see How to Schedule and Run the Migration to Registration for Indirect Taxation Abroad.

ℹ Note

The information in this topic pertains to migration and activation processes in your developmental and testing systems. In your production system, once you reach status 4, create an incident for component **FI-GL-GL-F-2CL** to activate RITA. Do not perform

the tests described in this topic in your production system. Doing so will cause potentially serious data inconsistencies or is otherwise blocked by the system.

Context

This graphic is interactive. You can hover over each element to see more information about that step, or click on an element to navigate to the topic with the information for that step.



Please note that image maps are not interactive in PDF outputs.

Typically, when you schedule the migration and run the migration report, the system is in status 4 - **Migration partially complete (pending customizing)**. In this phase, you can test to make sure that the migration completed successfully.

One way to test would be, for example, to add foreign registrations and make test postings or run tax reports in your testing system. If a tax code exists in both countries/regions, the configurations necessary for testing can be made using the Define Tax Accounts configuration activity. If the tax code exists only in the tax country/region, then you can create a dummy tax code with the same name, e.g. **A1**, in the company code country/region.

Tax codes that you create for testing must not be transported to the productive system. You must delete any tax codes you created for testing purposes.

⚠ Caution

Making test postings in your testing or development system in status 4 and then undoing the migration to RITA can create data inconsistencies in your system. Undoing the migration removes the RITA registration country/region information from your transactional data tables. Without the RITA registration country/region information, your system defaults to using the company code country/region for tax determination purposes, which can cause the data inconsistencies.

For example, let's say you make test postings with Germany as the company code country/region and the Netherlands as the RITA registration country/region. Let's also say that your test postings use tax code **V1** for Germany and **A6** for the Netherlands. If you undo the migration, the Netherlands info is removed from your data tables, and your system takes Germany as the country/region for tax determination. In this example, the tax rate information doesn't match and creates data inconsistencies in your system.

ℹ Note

This procedure is based on default content and UIs. Depending on your configuration settings, the procedure may be slightly different.

Procedure

- At this point, if your data is correct and consistent, undo the migration or decide to use RITA productively. If you want to use RITA productively, please open an incident for component **FI-GL-GL-F-2CL** for your production system. With the incident, provide the user ID's that should activate RITA in all your systems (changing the status from 4 - **Migration partially complete (pending customizing)** to 5 - **Active**). It is vital that you read and understand SAP Note 2907372 before proceeding. You must confirm this in the incident. It is also advisable to read other SAP Notes linked from this SAP Note that pertain to the scope of your planned use of RITA.

  The **Currency Translation for Country/Region** feature enables an alternative translation for company code and country/region (reporting) currencies for specific business processes. If you want to use a non-Euro country/region in your RITA activation, you must also activate the **Currency Translation for Country/Region** feature. This can be done with your RITA activation. Before you do this, it is vital that you read and understand SAP Note 3232739 and confirm it with the incident for component **FI-GL-GL-F-2CL**. It is also advisable to read other SAP Notes linked from this SAP Note that pertain

to the scope of your planned use of **Currency Translation for Country/Region**. You can use this feature after activating and migrating the currency translation process. For more information, see Currency Translation for Country/Region.

- If there are any inconsistencies in the migrated data, please either open an incident for component **FI-GL-GL-F-2CL** or undo the migration and then open an incident.

Next Steps

How to Configure and Maintain Your System After the Migration and Activation

Related Information

Countries/Regions Where Currency Translation Is Enabled
Currency Translation for Country/Region
SAP Note 3232739

How to Configure and Maintain Your System After the Migration and Activation

Once the migration is complete and RITA is active in your system, you need to make several configuration settings. You may also want to add additional foreign country/region registrations where RITA is active.

Prerequisites

- Make sure you've fulfilled the following prerequisites:

  1. Make sure you've prepared your systems for the migration. For more information, see How to Prepare for the Migration.
  2. Make sure you've initiated the migration. For more information, see How to Initiate the Migration to Registration for Indirect Taxation Abroad.
  3. Make sure you've scheduled and run the migration. For more information, see How to Schedule and Run the Migration to Registration for Indirect Taxation Abroad.
  4. Make sure you've configured verified and completed the migration. For more information, see How to Verify and Complete the Migration to Registration for Indirect Taxation Abroad.
  5. Make sure that you've prepared for the master data changes you need to make now that the RITA migration is complete. For more information, see RITA Enablement for Tax Classification.

ℹ Note

This step is only relevant once you've contacted SAP to activate RITA productively. To use RITA productively, please open an incident for component **FI-GL-GL-F-2CL**, as described in How to Verify and Complete the Migration to Registration for Indirect Taxation Abroad.

This graphic is interactive. You can hover over each element to see more information about that step, or click on an element to navigate to the topic with the information for that step.



Please note that image maps are not interactive in PDF outputs.

⚠ Caution

Registration for Indirect Taxation Abroad (RITA) is currently available in your testing system for testing purposes. It is vital that you read and understand SAP Note 2907372 before proceeding. It is also advisable to read other SAP Notes linked from this SAP Note that pertain to the scope of your planned use of RITA.

Once the migration is complete and RITA is active in your SAP S/4HANA Cloud Public Edition systems, you can make necessary configuration settings. Here are some sample configuration settings that you need to check once RITA is active. To make these configuration settings, you need to have the same minimum authorizations as the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template.

Make these configurations each time you add a new foreign country/region registration.

Example

Let's say you have RITA active in your system for Germany and began by adding the Netherlands as a foreign country/region registration. Once you make these configuration settings for the Netherlands, you then add Spain as an additional foreign registration. You now need to make these configuration settings for Spain as well.

The process for adding new foreign country/region registrations follows the description of the configuration settings.

Defining Tax Accounts

Once you complete the initial migration, you need to define your tax accounts before making any postings. There are two basic scenarios here:

1. In the first scenario, the company code country/region and RITA registration country/region have different tax code IDs. This is the more straightforward of the two scenarios. In this case, you must define accounts for these new tax codes using the Automatic Account Determination (Two-System Landscape) configuration activity.

2. The second scenario presents a greater possibility for error. In this scenario, your company code country/region and RITA registration country/region use the same IDs for the tax codes.

   For example, let's say your company code country/region and tax registration country/region both have tax code **A6**. You must use the Automatic Account Determination (Two-System Landscape) configuration activity to define a tax account for the tax registration country/region **A6**. If you don't, then your system uses the account currently defined for tax code **A6**, which is the account defined for **A6** in you'rer company code country/region. In other words, unless you define an account for the "foreign" A6, your system uses the account associated with the "domestic" **A6**.

Once the account assignments are complete, the migration process for this company code is also complete.

→ Remember

When you're using the **Automatic Account Determination** configuration activity to define accounts for your tax codes, remember that **Country/Reg.** refers to your company code country/region. **Tax Ctry/Reg.** is your tax reporting country/region.

Maintaining Tax Box Mappings

Once RITA is active, you need to perform tax box mapping so that your foreign transactions are reported in the specified location on your tax reporting forms. For more information, see Tax Box Mapping.

Correctly Setting the Net Discount Base and Net Tax Base Indicators

For countries/regions for which you have RITA active with at least one company code, you must select whether the tax base or the discount base should be taken as the net value for tax calculation. Use the **Define Countries/Regions** configuration activity to set the appropriate flag for either **Tax base is net value** or for **Discount base is net value**.

Once you've made this setting, you need to make sure that it's consistent with the respective company code configuration. In your company code master data, you can select whether tax should be calculated based on the **Net Discount Base** or based on the **Net Tax Base**. Where RITA is active, tax is calculated based on the country/region, not the company code, so these settings no longer factor into your tax calculation. It's nevertheless important to maintain consistency between your company code settings and your country/region settings to avoid potential system errors. This means that once you set the correct flag using the **Define Countries/Regions** configuration activity, you must check to verify that the settings for the corresponding company code are consistent with your country/region settings.

Example

Let's say you have RITA active for Germany and assign Belgium (BE) as a foreign registration country/region to your German company code (1010). For Belgium, you're using company code 2510. The settings indicated by the flags must be consistent for company code 2510 and the country/region settings for Belgium to prevent errors.

Cash Discount in Payment Run

In some countries/regions, tax codes are required for posting cash discount payments. In other countries/regions, the cash discount is posted without a tax code in payment transactions. When you activate RITA in one of the latter countries/regions, you can encounter inconsistencies in some of your transactions. This can be due to the fact that the cash discount account is derived based on the company code, not the tax reporting country/region, so you may need to maintain the cash discount tax setting for different combinations of company code and RITA registration countries/regions.

To maintain this setting, use the **Manage G/L Account Master Data** configuration activity. Select the account to which cash discounts are posted for the respective company code, then set the **Posting Without Tax Allowed** flag to permit cash discount postings to be posted without a tax code.

Exchange Rate Type

In the **Define Countries/Regions** configuration activity, select a country/region for which RITA is active, then check the entry in the **Exchange Rate Type** field. By default, the value here is **M (Standard translation at average rate)**. You can change the exchange rate type for a country/region as long as you don't have any RITA postings in your production system for that country/region. Once you have RITA postings in your production system for that country/region, you can no longer edit the exchange type field for that country/region.

Adding New Foreign Country/Region Registrations

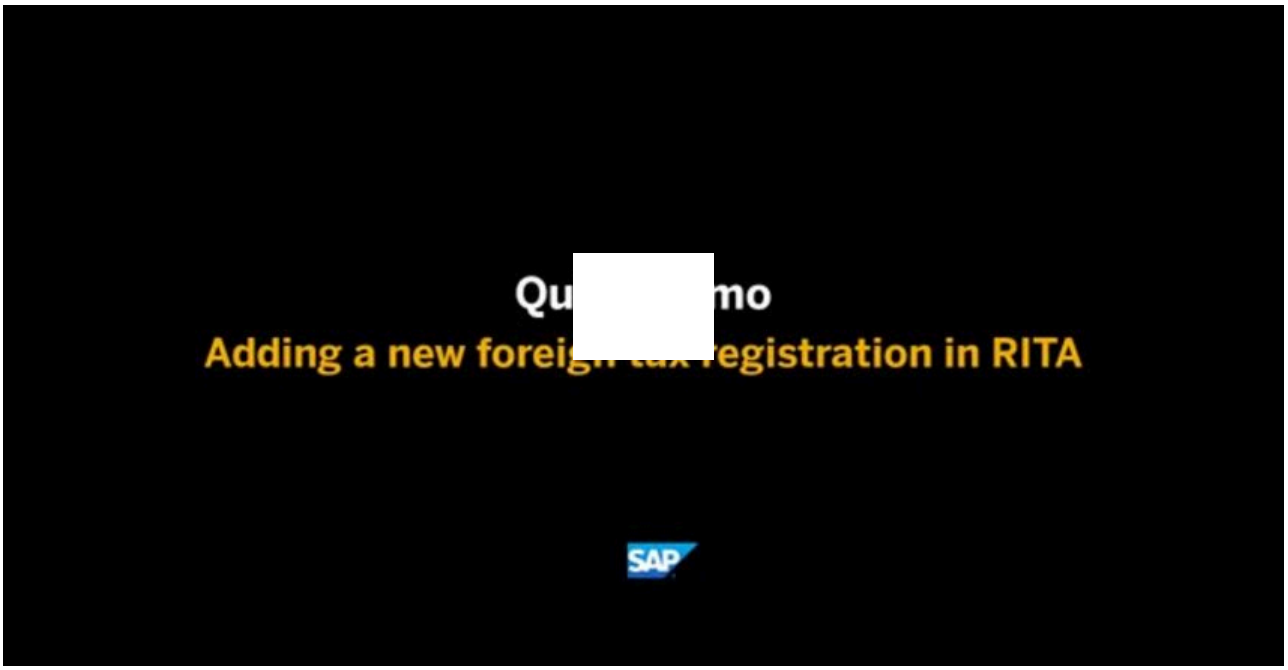
Once RITA is active for a company code, you can add new foreign registrations to that company code.

Open the **Activate Registration for Indirect Taxation Abroad** app. Select a company code that is active for RITA and double-click the **Maintain Foreign Country Registration(s)** option. Select **New Entries**, then use the search help to select the country/region that you want to register. Select OK, then save your changes.

Note, however, that you can only do this for company codes showing the **TXA Status 5 Active**.

The following quick demo shows how to add a new foreign registration as described here. Please note that the following multimedia content displays screens and interfaces in English only. It shows sequences based on the UI as delivered standard by SAP and is best viewed in full screen.





Open this video in a new window

Preventing RITA Activation

In the **Manage Prevention for RITA Activation** configuration activity, you can specify a country/region for which RITA is not allowed to be activated and select a reason for this prevention based on legal requirements.

Making Settings for Electronic Communication with Authorities

Once RITA is active in your system and you added foreign country/region registrations, you may also need to make some settings for electronic communication with the respective tax authorities. Whether you need to do this depends on the return type and the country/region.

If you need to make these settings, open the **Make Settings for Electronic Communication with Authorities** configuration activity. Select a return type, such as **Electronic Advance Return for Tax on Sales/Purchases**.

The table displays the reporting country/region registrations for each dominant enterprise. For each country/region for which RITA is active, the registered reporting country/regions appear corresponding to the company code of the dominant enterprise.

If you need to set up electronic data transmission, select the required transfer type from the dropdown in the **BCXI (Transfer Type)** column. Select the frequency for the data submission, whether monthly, quarterly, or annually, in the **Period** column, then select the box in the **Transfer** column.

There are several system checks in place to prevent you from selecting an incorrect submission method. For example, the submission method **CP Cloud Platform Integration** is available only for Germany (**DE**) and for report type **0001 (Electronic Advance Return for Tax on Sales/Purchases)**. It's your responsibility, however, to ensure that the correct submission method and frequency are selected and saved here.

Example

Let's say that you have RITA active for Germany and have added Spain, the Netherlands, and Belgium as reporting country/region registrations. In this case, the entries appear in the table as **1010** in the **Dominant Enterprise** column and as **ES**, **NL**, and **BE**, respectively, in the **Reporting Country/Region** column. In this example, there are three line items for company code 1010, one for each registered reporting country/region.

Setting the Correct Billing Document Form

Generally, your settings for the invoice form are based on the country/region of the sales organization. If RITA is active, however, you may need to adjust these settings so that the tax departure country/region is the basis for the invoice form.

For example, let's say that you have a company that is based Germany and whose invoices are typically taxed in Germany. Your company then follows the respective German laws regarding the information that must appear on an invoice form. Now, let's say you've added a foreign registration for Belgium, means that invoices can now be taxed in Belgium. You must verify whether the German and Belgian tax authorities require the same information on invoices. If the German and Belgian tax authorities require different information on invoices, you can select the appropriate invoice form depending on whether the invoice is taxed. That is, rather than using the country/region of the sales organization, in our example, Germany, you can instead use the **Tax Departure Country/Region** in the **Output Determination**. In our example, this is Belgium.

Log in with a user with the same minimum authorization as the **Administrator** (`SAP_BR_ADMINISTRATOR`) business role template and open the **Output Parameter Determination** configuration activity. Under **Select Business Rules**, show the rules for **Billing Document**. Then select the **Form Template** for the **Determination Step**. You can now maintain your rules based on **Tax Departure Country/Region**.

For more information, see Output Parameter Determination.

Information on Currency Translation Where RITA Is Active

When RITA is active, taxes are generally reported in the reporting currency, that is the tax currency of the respective country/region for which you're legally obligated to submit reports. Tax amounts and tax base amounts are either copied from the corresponding amounts in document/company code currency, or they're translated from the document currency.

If you manually enter a translation rate in the invoice, then the tax amount and tax base amount are translated based off of this entered rate, depending on the translation. The tax amount is translated from document currency into company code currency. Both the tax amount and the tax base amount are translated from document currency into reporting currency.

Tax amounts and tax base amounts in the reporting currency are copied from the amounts in the transaction currency or in one of your local currencies if any of the following conditions are met:

- Reporting currency and transaction currency are identical
- Reporting country/region and company code country/region are identical (domestic transactions)
- Reporting currency and company code currency are identical, and the exchange rate type of the reporting country/region is "M"
- Reporting currency and second or third company code currency are identical, and the exchange rate type of the second or third company code currency is "M", and the exchange rate of the reporting country/region is "M", and the currency type is 10, 30, 40, 50, or 60

In all other cases, the amounts in the transaction currency are translated into the corresponding amounts in the reporting currency. The system logic that governs this translation is described in Determining the Date for Translating Tax Amounts into Reporting Currency. Please note that for certain countries/regions, specific logic may apply. For more information, see Country/Region-Specific Currency Translation with RITA.

Note that in all cases, the company code currency must be identical to the country/region of the company code. That means, for example, that you cannot use Australian dollars as the company code currency for a company code in Spain.

For information on the exchange rate type within RITA, see Maintaining the Exchange Rate Type under How to Configure and Maintain Your System After the Migration and Activation.

ℹ Note

For the company codes for which you've activated RITA, historical translation factors are calculated and stored at runtime when invoices are posted. These factors are calculated for the needed corrections to tax amounts or tax base amounts in case of differences arising due to payment conditions, such as cash discounts. These factors are the ratios between amounts in the tax reporting currency and the company code currency. How these factors are calculated is described in the **Calculation of Historical Translation Factors** section of this document.

The **Currency Translation for Country/Region** feature enables an alternative translation for company code and country/region (reporting) currencies for specific business processes. It is vital that you read and understand SAP Note 3232739 before proceeding. It is also advisable to read other SAP Notes linked from this SAP Note that pertain to the scope of your planned use of **Currency Translation for Country/Region**. You can use this feature after activating and migrating the currency translation process. For more information, see Currency Translation for Country/Region.

Currency Translation Using a Manually Entered Exchange Rate

When RITA is active for a company code, it's sometimes possible to manually enter an exchange rate for the translation of amounts in the transaction currency into the reporting currency. If all of the line items in an accounting document have the same tax country/region, then the manually entered exchange rate is used to calculate the tax base amounts and tax amounts in the reporting currency. Manual entry of exchange rates can be made in the **Create Incoming Invoices**, **Create Outgoing Invoices**, and the **Create Supplier Invoice - Advanced** apps.

ℹ Note

The **Rate for Tax Values in Reporting Currency** field is only available if both of these conditions are true:

- The transaction currency and company code currency both differ from the reporting currency, and
- The document contains only one tax country/region.

Determining the Date for Translating Tax Amounts into Reporting Currency

Several different dates are used for translation from transaction currency to reporting currency. The date taken for translation is based on settings that you maintain using the **Edit Tax Information for Company Codes** configuration activity. To maintain these settings, you must log in with a user with the same minimum authorizations as the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template.

The possible values in the **Tax Currency Translation** column are:

- **Exchange Rate According to Document Header (Default)**
- **1 Manual Exchange Rate Entry Possible**
- **2 Exchange Rate Determined Using Posting Date**
- **3 Exchange Rate Determined Using Document Date**
- **4 Exchange Rate Determined According to Posting Date with Distribution of Differences**
- **5 Exchange Rate Determination According to Tax Reporting Date**
- **6 Exchange Rate Determination According to Service Date**

These are the possible settings for translation into company code currency. Where RITA is active, the important consideration is the setting for translation into reporting currency. The relevant settings for this are:

- 3 Exchange Rate Determined Using Document Date
- 5 Exchange Rate Determination According to Tax Reporting Date
- 6 Exchange Rate Determination According to Service Date

For any other value, the posting date is used as the date for translation into reporting currency.

When the Translation Date is Used

For transactions that originate outside of accounting, you have the option to manually enter a translation date in those transactions. This date then is used as the translation date. If you don't manually enter a translation date for these transactions, then the system calculates the date for translation into reporting currency based off of the Translation Date element that you can maintain in your country/region customizing. The Translation Date is also used for all original documents originating from sales. If the Translation Date is not filled for a specific document, then the system follows the logic as described above to derive the date to use for translation into reporting currency. Here too, the only relevant values are 3, 5, and 6. For any other value, the posting date is used as the date for translation into reporting currency.

Please ensure that you review postings for follow-on processes that refer to an original document, such as credit memos or reversals. It's important to remember that the daily translation rate may vary between the initial posting and the follow-on posting, such as an invoice and a subsequent credit memo. Further, the Translation Date value can be changed in the custom settings between the initial posting and the follow-on posting. If either scenario applies, there may be a discrepancy between the initial tax posting and its correction (see Example Scenario 2 below).

To maintain consistency, especially in cases where subsequent credit memos cover 100% of the original invoice amount, you must maintain the translation for the original document at the beginning of the business day, so that the current rate is already set up in the system before that day's postings are made.

If the timely maintenance of the translation rate in the system cannot be guaranteed, for whatever reason, then additional postings may be required to reconcile the discrepancies.

Example Scenario 1

A sales invoice dated November 1 is entered. The translation rate associated with the Translation Date is USD 1.1:1 EUR. A subsequent credit memo is posted on December 15, when the translation rate associated with the Translation Date is USD 1.125:1 EUR. The resulting difference in the tax and tax base amounts in the reporting currency needs to be cleared with another posting if the local legal requirements stipulate that the credit memo posting has to be based on the translation date of the invoice document.

Example Scenario 2

Your configuration expert maintains the translation rate in your system at 10:30 am on November 1, and sets a USD 1:1 EUR translation rate. The previous rate in the system was USD 0.9:1 EUR.

A different user posts a sales invoice at 9:45 am on November 1, with a tax amount of 1000 USD. This translates into 900 EUR.

On December 15, a credit memo is posted for the full invoice amount. The translation rate as configured is USD 1:1 EUR, so the tax amount as translated into reporting currency is now 1000 USD = 1000 EUR. The result is a 100 EUR difference from the rate as translated when the invoice is posted. To prevent such differences from arising, you must ensure that the translation rate for the original document is maintained at the beginning of the business day. In this example, the translation date should have been maintained before the user posted the invoice document.

ℹ Note

This default calculation logic is not used in all countries/regions, some of which have logic that corresponds to their legal requirements. For more information on those countries/regions and how translations are calculated, see Country/Region-

Specific Currency Translation with RITA.

It's also important to note that special consideration needs to be taken if you have the **Tax Reporting Date** active in your company code configuration, you use this date for your tax reporting, and you have reversals after the period was completed. In these cases, please see important information under Country/Region-Specific Currency Translation with RITA and in SAP Note 2825513.

Calculation of Historical Translation Factors

The historical translation factors are defined as the calculated currency translation ratio between the amounts in tax reporting currency and the company code currency. These factors are only used in payment transactions to calculate the tax corrections in tax reporting currency for payment differences in cash discounts when the business transaction type **Cash Discount in Finance** in **Currency Translation for Country/Region** was activated. The historical translation factors are calculated at runtime during the posting of an invoice and are written into the relevant database tables.

ℹ Note

The historical translation factor is only calculated when RITA is active for the company code. Statistical documents that don't contain any taxes are ignored when historical translation factors are calculated.

The invoice must have customer/supplier items, so down payment items and automatically generated clearing items are ignored. Any exchange rate difference items are ignored as well.

Documents are filtered and compiled based on the conditions described above, and once the relevant items are collected, two factors are calculated: the **country/region factor** and the **company code factor**. For the **country/region factor** (**T2Country**), the total amounts in the reporting currency are divided by the total amounts in the transaction currency. Tax items are used as the basis for this calculation.

$$\text{Country/Region Factor} = \frac{\text{Amounts in tax reporting currency}}{\text{Amounts in transaction currency}}$$

For the **company code factor** (**T2Company**), the total amounts in company code currency are divided by the total amounts in the transaction currency. Items that are relevant for a cash discount are used as the basis for this calculation. When the customer/supplier invoice line item has a valid tax code, the **T2Company** factor is calculated by dividing the amount in company code currency by the amount in transaction currency of the customer/supplier item.

$$\text{Company Code Factor} = \frac{\text{Amounts in company code currency}}{\text{Amounts in transaction currency}}$$

In both cases, the debit/credit indicator is considered when calculating the total tax amounts. In cases where the tax amounts are 0, the tax base amounts are used to calculate the factors.

These two factors are then used to calculate the historical translation factor, which is the**country/region factor** divided by the **company code factor**:

$$\text{Historical Translation Factor} = \frac{\text{Country/Region Factor}}{\text{Company Code Factor}}$$

All of the factors above are calculated per tax attribute, such as tax code, tax country, and tax rate valid-from date. When the customer/supplier item has a valid tax code, the **T2Company** is calculated by dividing the amount in company code currency by the amount in transaction code currency of the customer/supplier item.

> **Note**
>
> Whenever you manually enter a translation rate in an invoice, the tax amount and the tax base amount are always calculated based off of this entered rate for translations into reporting currency.

The behavior described above applies generally for all company codes for which RITA is active. For more information on how the relevant factors are used where alternative currency translation is active, see Cash Discount in Finance.

Related Information

SAP Note 2825513

How-To Videos for RITA

Videos showing you how to migrate and activate RITA.

For your convenience, we've created several how-to videos showing you how to migrate and activate RITA.

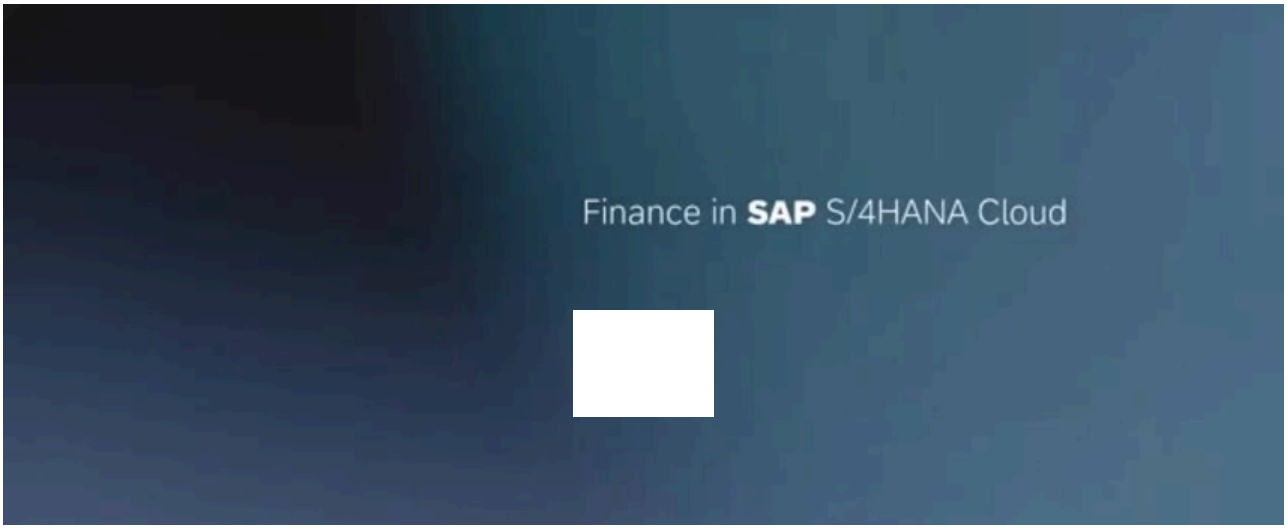
Part 1 shows you how to migrate RITA in your systems, including an example of how you can test the migration.

Part 2 shows you some examples of configurations that you might need to make once RITA is active in all of your systems.

Part 3 is a sample use case, with the example of a sell from stock process.

The videos are included here in English. To view the videos in Czech, Dutch, French, German, Italian, Spanish, or Swedish, simply follow the respective links.

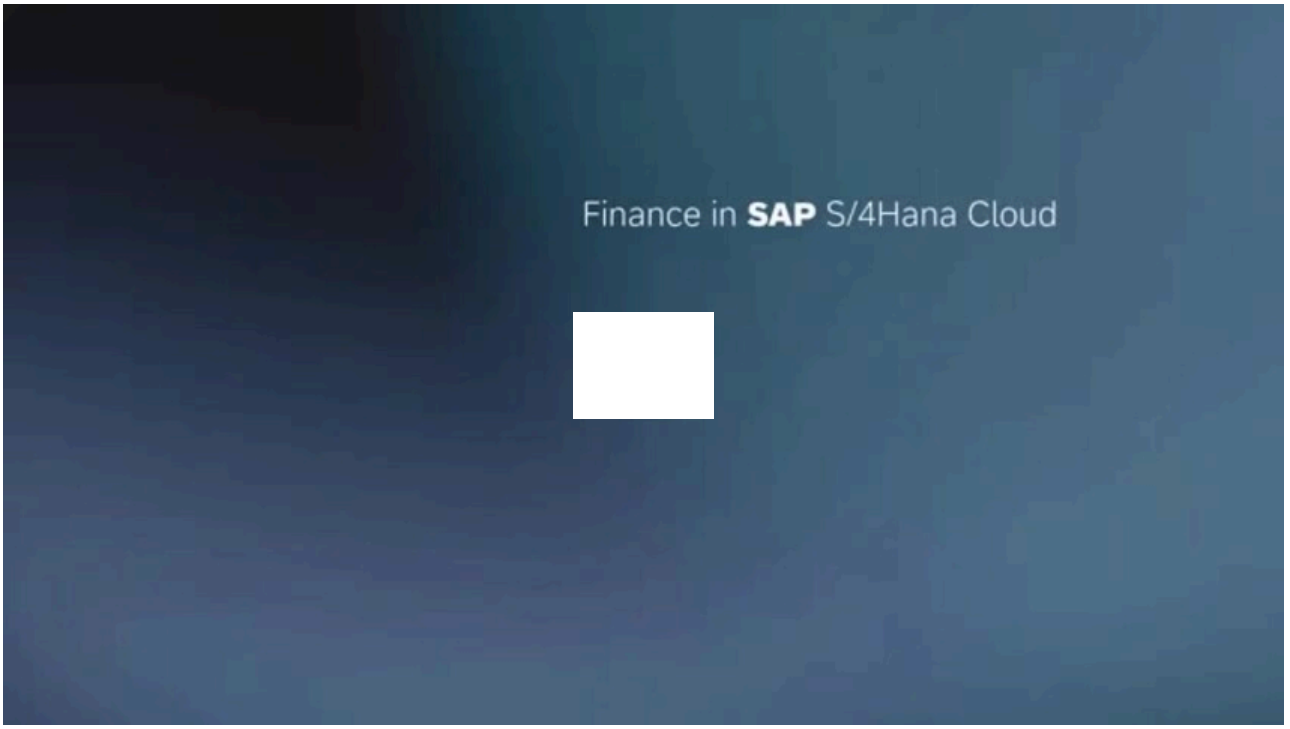
Migrating and Activating RITA: Part 1





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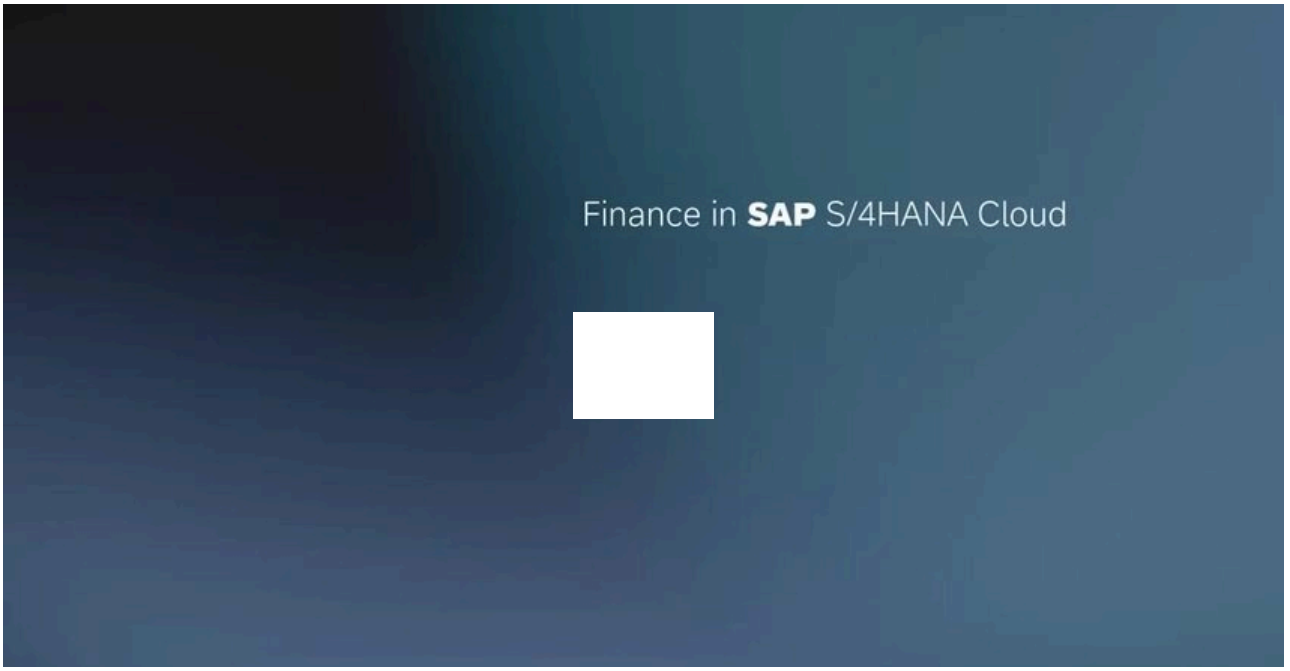
Migrating and Activating RITA: Part 2



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Migrating and Activating RITA: Part 3





Open this video in a new window

You can also view this video in Czech, Dutch, French, German, Italian, Spanish, or Swedish.

Countries/Regions Where RITA is Enabled

Registration for Indirect Taxation Abroad (RITA) is enabled for the following countries/regions.

Country/Region	Link to Description
Austria	Austria
Belgium	Belgium
Czech Republic	Czech Republic
Denmark	Denmark
Finland	Finland
France	France
Germany	Germany
Hungary	Hungary
Ireland	Ireland
Italy	Italy
Luxembourg	Luxembourg
Malaysia	Malaysia
Netherlands	Netherlands
Norway	Norway
Poland	Poland
Portugal	Portugal
Romania	Romania
Slovakia	Slovakia
South Africa	South Africa
Spain	Spain
Sweden	Sweden
Switzerland	Switzerland
United Kingdom	United Kingdom

Country/Region-Specific Currency Translation with RITA

For certain countries/regions that are enabled for Registration for Indirect Taxation Abroad (RITA), country/region-specific currency translation is necessary, for example, to meet local legal requirements. For all other countries/regions that are enabled for RITA, the standard currency translation process applies.

Currency Translation for Foreign Trade

For foreign trade, country/region-specific logic applies to the translation of tax amounts and tax base amounts for the countries/regions listed in the table. The logic applies to all types of documents including invoices and down payments.

Countries/Regions	Basis for Translating Tax Amounts and Tax Base Amounts	Description
Czech Republic, Hungary, Slovakia, Switzerland, Romania	VAT date	The system uses the exchange rate that is valid on the tax reporting date (that is, the VAT date entered in the document) to translate the tax amounts and tax base amounts from the document currency into the reporting currency. If the **Tax Crcy Translation** parameter is set to **6 (Exchange Rate Determination According to Service Date)**, the system uses the exchange rate that is valid on the tax fulfillment date instead.
United Kingdom	Configured tax determination date	If the **Tax Determ.with Doc.Date** checkbox is selected in the **Assign Company Code to Document Date for Tax Determination** configuration activity, the system uses the exchange rate that is valid on the document date to translate the tax amounts and tax base amounts from the document currency into the reporting currency If this checkbox isn't selected, the standard behavior applies. That is, the system translates the amounts using the exchange rate that is valid on the tax posting date.

Currency Translation for Domestic Trade

For domestic trade, standard currency translation logic applies to the translation of **tax amounts** for all countries/regions. For the countries/regions listed in the table, country/region-specific logic applies to the translation of **tax base amounts**. The logic applies to all types of documents including invoices and down payments.

Countries/Regions	Basis for Translating Tax Base Amounts	Description
Hungary, Ireland, Poland, Romania, United Kingdom	Tax exchange rate that was used for the tax amount	The system uses the exchange rate that was used for the tax amount to translate the tax base amount from the document currency into the reporting currency.
Slovakia	Tax exchange rate	The system uses the tax exchange rate that is entered in the document to translate the

Countries/Regions	Basis for Translating Tax Base Amounts	Description
		tax base amount from the document currency into the reporting currency. If the tax exchange rate is not available, the system uses the exchange rate that's valid at the time of posting.

Down Payment Clearing in Finance

For full clearing, no currency translation is involved because the system uses the amounts from the original down payment document.

For partial clearing, the system uses the standard process to translate the amounts in down payment clearing documents except for the countries/regions listed in the table.

Countries/Regions	Exchange Rate for Partial Clearing
Hungary, Ireland, Poland, Romania, United Kingdom	The system uses the exchange rate from the original down payment document to translate the document currency into the reporting currency for down payment clearing documents.
Slovakia	The system uses the exchange rate that is valid on the date that the down payment clearing document is posted. If the tax exchange rate is not available, the system uses the exchange rate that's valid at the time of posting.

Splitting of Down Payment Amounts in the Reporting Currency (Relevant for Full Clearing)

If a down payment document has multiple down payment items (special G/L indicator A) that all have the same tax attributes (tax country/region, tax code, tax rate, and valid-from date), the system aggregates the tax amounts into one tax line item. The system doesn't calculate the tax amounts individually in the reporting currency for each down payment line item.

If a user then clears a single down payment item in the original document, the system splits the tax item in the reporting currency proportionally for each down payment item.

For each down payment item with the same tax attributes, a weighted average is calculated:

- Weighting of tax base = Amount in transactional currency / ∑ (Amounts in transactional currency)
- Weighting of tax = Tax amount in transactional currency / ∑ (Tax amounts in transactional currency)

The tax amounts for the down payment item are then calculated using the weighting from above:

- Tax base = Tax base in reporting currency * Weighting of tax base
- Tax = Tax in reporting currency * Weighting of tax

Any rounding differences that are generated due to these calculations are then added to the first down payment item of the tax group.

This splitting process applies to full clearing and only in the following cases:

- Domestic trade in the following countries/regions: Hungary, Ireland, Poland, Romania, United Kingdom, Slovakia

- Foreign trade between the tax country/region Slovakia and a company code country/region with the same currency as Slovakia, for example, Germany or France

Down Payment Clearing in Sales and Materials Management

For foreign trade, the standard process is used for down payment clearings.

For domestic trade, the following country/region-specific logic applies to the translation of the tax base amount in down payment clearings:

Countries/Regions	Exchange Rate for Tax Base Amount
Hungary, Ireland, Poland, Romania, United Kingdom	The system uses the exchange rate from the original down payment document to translate the tax base amount from the document currency into the reporting currency in clearing documents.
Slovakia	The system uses the tax exchange rate that is entered in the document to translate the tax base amount from the document currency into the reporting currency. If the tax exchange rate is not available, the system uses the exchange rate that's valid at the time of posting.

Related Information

Information on Currency Translation Where RITA Is Active
Countries/Regions Where RITA is Enabled

Schedule Tax Jobs

App ID: F3690

Use this app to schedule tax jobs using the templates provided, for example, **Annual Tax Return**.

Key Features

You can use the scheduling options to carry out the following periodic activities:

- Advance Return for Tax
- Display a List of Documents for the External Tax System
- EC Sales List in Data Medium Exchange Format
- External Tax Jurisdiction Code Mass Update
- Generic Withholding Tax Reporting
- Input Tax from Parked Documents
- Post-Migration Check Report
- Preparation of Tax Report
- Schedule Migration of Registration for Indirect Taxation Abroad (RITA)

- Schedule Migration of Time-Dependent Taxes
- Update VAT Registration Number in Documents for Northern Ireland
- VAT Refund (EU)
- Year-End Adjustment of Pro Rata VAT

In addition, the app supports the following technical features and options:

- Scheduling Options
  - Define the start date and the recurrence pattern for the job.
  - Define if the system dynamically sets the valuation key date each time the job runs.
- Output Control

  Define settings for output control, for example, increase the base amount by non-deductible input tax, Bolle Doganali, or read receipt data.
- Posting Parameters

  Define settings for posting parameters, for example, posting date, due date of the tax payable, alternative tax payable account, or create DME file.
- Output Lists

  Define settings for your output lists, for example, VAT line item display or input tax line item display.

Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

More Information

For more information about Job Scheduling apps, see Application Jobs.

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Advance Return for Tax

Use

This job creates the advance return for tax on sales/purchases, and, if required, also creates a batch input session for automatic transfer posting of tax payable. The program can also fill out the tax return, if required.

You can display the return at item level for each tax type (output and input tax). Note, however, that even when you suppress the line item information, the data is still taken from the individual documents.

If you select the **Update Documents: Update Run** checkbox, only document tax items without an entry for the date/time of a previous run are selected. The date and time of the tax return program run are noted on these tax items.

When the batch input session for the tax payable transfer posting is being created, a document is prepared for each country code selected. In this document, one item for the posting to the tax account, and one item for the posting to the tax payable account is created for each tax account.

The program can also make preparations for filling out the advance tax return for tax on sales and purchases, if required. It enters the tax balances per company code, the tax on sales/purchases code, the transaction key, and the total/debit/credit indicator, as well as the specific time period in the tables. The print program then uses these tables to determine the data required for printing the tax return.

In addition, the report provides data for the electronic advance return for tax on sales/purchases. To use the electronic advance return for tax on sales/purchases, make the necessary settings in the screen area **Posting Parameters** under **Electronic Advance Tax Return**.

The administration report for electronic tax returns then submits the return to the relevant tax authority.

Under Output Lists, you can configure user-specific output lists.

Output

The tax data can be output in lists with different summarization levels:

- VAT Line Item Display
- Output Tax: Totals List
- Input Tax: Line Item Display
- Input Tax: Totals List
- Tax Control
- Company Code Totals List
- Local Currencies: Totals List

Display Advance VAT Return Update Runs

This report displays the tax items that were processed in an update run of the **Advance Return for Tax** report.

Access

You can access the **Display Advance VAT Return Update Runs** job template using the **Schedule Tax Jobs** app.

Use

Log in with a user with the same minimum authorizations as the G/L Accountant (SAP_BR_GL_ACCOUNTANT) business role template.

Open the Schedule Tax Jobs app. Use the Create button to add a new job. Select the Display Advance VAT Return Update Runs job template, then define the scheduling options. Enter a valid Company Code or a Taxes on Sales/Purchases Group, and a Run Date. Other parameters can be entered to add more filters to the job selection.

When you use the Date field in the General Selection section, you can either select the Tax Reporting Date, the Posting Date, or the Document Date button to filter the tax items for the job run.

In the Output Control section, you have the possibility to choose between the Sum View, and the Detail View.

The Sum View option displays the number of tax items processed in each update run. It also displays the earliest and latest date of the selected date type per update run. You can select the Show Run Parameters option to display in the result list if Tax Payable Posting or Electronic Advance Return were selected in the Advance Return for Tax update run. The Advance Return for Tax update run is determined based on the run date, the run time, the company code, or the tax group. If more than one update runs were found for the same parameters, the first update run is used. If no update runs are found, the Parameters Not Found column is displayed.

The Detail View option displays a list of single tax items with additional information. For this option, you can check the Show Date Columns to display the related dates for a document.

i Note

When RITA is active in your system for a company code, an additional column Tax Country is displayed in both views. The tax country of the reported tax items can lead to a split of the update run in the Sum View.

→ Tip

The columns Run Date and Run Time are displayed in system date and system time. It is possible to provide these parameters to the fields Date of Tax Return and Time of Tax Return in the Further Selections section to repeat an Advance Return for Tax job run.

Display a List of Documents for the External Tax System

Use

This job displays a list of the documents that are sent to the external tax system to update the audit files and tax registers. You can use the job to determine the status of a document used to update an audit file in the external system.

The system displays a list of the selected documents, and specifies the type of update made and, where applicable, the most recent error message.

EC Sales List in Data Medium Exchange Format

Use

This job creates a form for the EC sales list. The report must be created quarterly or annually but can also be issued at different intervals (for testing purposes or if the appropriate tax authorities allow this).

The job deals with standard documents whose output VAT code was marked as an EC code with value "1" or "3".

If the VAT registration number of the customer is missing in the document, a detailed error message is issued. In this case, information is not listed in the report.

If required, you can select the **Line Item Display** checkbox under **Output Control** to request a line item list which lists the information to be reported at document level and totals the following:

- Total per subcontracting indicator (0/1)
- Total per VAT registration number of the customer
- Total per company code

Information about Brexit

For important information about the impact of the Brexit on this job scheduler, see SAP Note 3001298.

Related Information

SAP Note 3001298

External Tax Jurisdiction Code Mass Update

The mass update for the external tax solution for the United States comprises two services that run in sequence as part of ongoing tax maintenance. First, the **Get Changed Jurisdiction Code List** service communicates with your tax partner to retrieve a table of tax jurisdiction codes that have changed within a specified period. Then, the **Mass Redefine Tax Jurisdiction Code** service sends your tax partner a list of address information for those items where the jurisdiction information was found to have changed. This means that rather than sending all of the address information in the master data, the second service uses the results of the first service and sends only changed items. The updated jurisdiction information provided by your tax partner is then used to update the corresponding master data in your SAP system.

Please note that this mass update is part of ongoing tax maintenance. It isn't used to switch tax providers or to switch from internal to external tax calculation.

Business Context

Here's a sample business case in which you would use the mass update. Let's say that legal changes going into effect in August mean that some jurisdiction codes change. You need to update these jurisdiction codes in the corresponding master data in your SAP system. You can do this most easily using the mass update job to call the **Get Changed Jurisdiction Code List** and **Mass Redefine Tax Jurisdiction Code** services.

In this example, let's say that you previously updated your master data on July 3. Running this job now with **July 3** as the last-changed date retrieves all jurisdiction code changes after that date, and the master data in the SAP system is updated accordingly. Naturally, you can use any date they wish as the last-changed date, but a longer time frame may mean a larger data volume and a longer time to completion.

How It Works

Log in with a user with the same minimum authorizations as the **G/L Accountant** (`SAP_BR_GL_ACCOUNTANT`) business role template. For the job to run correctly and update the relevant business partner master data with the information returned by your tax partner, you also need to have the **Master Data - Business Partner** (`SAP_CMD_BC_BP_MAINT_PC`) business catalog assigned to your user.

Open the **Schedule Tax Jobs** app. Use the **Create** button to add a new job. Select the **External Tax Jurisdiction Code Mass Update** template, then define the scheduling options. Enter the **Last Changed Date**, and if you want to narrow your update according to **Cost Center**, **Business Partner**, or **Profit Center**, simply check the corresponding box. Then check to see that everything is ok, and you can schedule the job.

For optimal system performance, you will want to run this job on a regular cadence, such as monthly. This will help prevent too many items from needing to be updated in any single run.

> **Note**
> This function requires proper iFlow configuration and implementation from your respective tax partner. Please verify with your partner that they can support this function before using it.

Generic Withholding Tax Reporting

Use

This job can perform the following:

- Prepare withholding tax reports
- Prepare withholding tax returns (either on paper or as a DME file)
- Print withholding tax certificates for vendors or customers

Features

Printouts

The program creates all printouts using Smart Forms.

Where withholding tax certificates are concerned, it produces one certificate per vendor, for all of the tax that you have withheld, and it records in each withholding tax item which certificate it was included in, for future reference. If you want, it also numbers the certificates for you.

DME Files

The program creates all DME files using the DME format from the DME Engine. The system saves the file on your PC, under the name and path you specify on the selection screen.

Sample Content

Sample content is provided for a number of countries/regions. The content includes Smart Forms, DME formats, output groups, and standard selection variants for executing the program. For more information about the sample content, see the local version documentation.

Certificate Numbering

The **Generic Withholding Tax Reporting** job can assign the withholding tax certificate a number at the time that it prints them out. The system offers you two different ways of numbering withholding tax certificates. You can generate a withholding tax certificate number whenever you enter a withholding tax item, which ensures that the withholding tax items are numbered in the order that you post them. You can use different numbers for each withholding tax type. For more information about this procedure, see Configuring Certificate Numbering for Withholding Tax .

Periodic Processing

When you execute the **Generic Withholding Tax Reporting** job, fill out the **Numbering and Updating** group. Here, you can either enter the number range that you previously defined, or you can manually specify the number of the first withholding tax certificate. The program numbers the certificates sequentially.

If you select **Record Certificate Numbers**, the program records the withholding tax certificate number in each withholding tax item.

Input Tax from Parked Documents

App ID: S_ALR_87012362

Use

This job displays the deductible VAT amounts which were entered in the document parking, and if necessary creates documents by batch input to enable the inclusion of the amounts into the advance return for tax on sales/purchases.

Once you have made an entry in the field **Due Date for Net Payment**, this job does not select any documents whose due date for net payment is further than six months in the past, since the input tax for these documents cannot be considered.

Once you have made an entry in the field **Due Date for Net Payment**, the system only selects documents whose due date for net payment is after the date you have entered.

Output

- The totals sheet displays the cumulative tax amounts by tax indicators. These values are displayed corrected in the deductible taxes column. The adjustment contains the following:
    - The decrease by the non-deductible portion
    - The display of the tax total zero (for example, for tax rates of zero percentage or for acquisition tax) even if the determined tax amount displays another value

  Furthermore, a calculated tax basis value which is used for posting is output.
- A line item list can be requested if required. In addition to some document header data (document number, posting period and posting date), the following information can be read:
    - Invoice amount, determined from the vendor items
    - Tax amount for each input tax code, determined from the tax line items or the line items

  If the document is to be posted in foreign currency, the foreign currency amounts are displayed on a separate line. If the option to calculate the tax was selected in the document, a note appears stating that this document is ignored in the totaling.
- If batch input is required, then documents are created using the totals sheet. Brief information on these postings can be found on the last printed page, error messages for the posting interface are output in the log.

Post-Migration Check Report

This job analyzes the data that was migrated during the migration run for time-dependent taxes to verify that all records were migrated.

When you enable time-dependent taxes (TDT) and migrate your tax-relevant postings, your system remains locked to new postings until you verify the migration. You can run the **Post-Migration Check Report** to verify the migration of tax-relevant information from transactional tables before completing manual verification of the migration.

This report contains information on all of the transactional tables that were migrated. If the report returns no data for a transactional table, then all of the items in that table were migrated correctly. If there were any errors in the migration, or if items did not migrate, then they are shown for the corresponding table.

To begin, open the **Schedule Tax Jobs** app. Select the plus (+) sign to create a new entry, then select the **Post-Migration Check Report** template. Enter the **Country Key**, such as DE. The **Country Key** is mandatory. You can also enter a **Company Code** to verify your migration results at the company code level rather than at the country level.

Select **Check** to make sure that there are no errors in preparation and that the job can be scheduled, then select **Schedule**. The job runs in the background according to the scheduling parameters you select under **Scheduling Options**.

Scheduling the job brings you to the log screen, where you can see the status of the job. If the Status column shows that the job is **In Process**, you can select **Go** to refresh the table. Once the job status is **Finished**, you can view the results of the job.

Depending on the parameters you used to schedule the job, you see reports for all of the transactional tables that contain tax-relevant line items for that country or country and company code. Tables are listed individually with an accompanying report in table format. If the report says that the `List does not contain any data`, then all of the tax-relevant line items were successfully migrated. If the report contains information about line items, then these items were not migrated successfully. In this case, you should use the **Schedule Migration of Time-Dependent Taxes** configuration activity to undo the migration and create an incident for component **FI-GL-GL-F-2CL**.

Preparation of Tax Report

Use

This job is a reference for the reporting of sales tax or use tax in the United States or VAT in Canada.

The documents are displayed per customer or supplier account and are totaled by tax code and jurisdiction with reference to the tax base and amount in question.

Schedule Migration of Registration for Indirect Taxation Abroad (RITA)

This job template allows you to simulate and schedule the migration of your data as part of the process of activating registration for indirect taxation abroad (RITA).

This graphic is interactive. You can hover over each element to see more information about that step, or click on an element to navigate to the topic with the information for that step.



Please note that image maps are not interactive in PDF outputs.

The information provided here for this job template is relevant to step 3 of the migration to RITA. For a fuller description of this step, see How to Schedule and Run the Migration to Registration for Indirect Taxation Abroad.

⚠ Caution

Registration for Indirect Taxation Abroad (RITA) is currently available in your quality (Q) system for testing purposes. It is vital that you read and understand SAP Note 2907372 before proceeding.

When you activate registration for indirect taxation abroad (RITA) for your target country/region, you can use this job template to schedule the migration of your tax-relevant postings for specific company codes. These company codes must correspond with countries/regions for which RITA is in scope and which you can use as tax registration countries/regions. For more information, see Registration for Indirect Taxation Abroad (RITA).

To begin, open the **Schedule Tax Jobs** app. Select the plus (+) sign to create an entry, then select the **Schedule Migration of Tax Abroad** template. Enter the **Migration Company Code**. The migration company code is mandatory. You can define the scheduling options and then select **Check** to check whether your settings are correct. If they are, the system prompts you that the job can be scheduled.

By default, **Simulation run** is checked. SAP recommends that you perform a simulation run before scheduling the migration. The simulation report provides you important information about the expected duration of the migration. The simulation also tells you the date as of which RITA will be active in your system for this company code. It also indicates whether there are any errors that you need to resolve before scheduling the migration. Once you complete the simulation run and resolve any errors, you can uncheck **Simulation run** and schedule the migration.

During the migration, your system is locked to new postings. If you encounter any problems with the migration, you may want to unlock your system so that you can resume day-to-day business while you resolve the issue. In this case, you can use this template to undo the migration. Set up the job as before, make sure that **Simulation run** is unchecked, and check **Undo Migration**. This undoes the migration and opens your system to postings.

For further information about simulating and scheduling the migration, see How to Schedule and Run the Migration to Registration for Indirect Taxation Abroad.

Schedule Migration of Time-Dependent Taxes

This job template allows you to simulate and schedule the migration of your data as part of the process of activating time-dependent taxes (TDT).

When you activate time-dependent taxes (TDT) for your target country/region, and you've previously activated that target country/region in SAP S/4HANA Cloud Public Edition, you use this job template to schedule the migration of your tax-relevant postings.

To begin, open the **Schedule Tax Jobs** app. Select the plus (+) sign to create an entry, then select the **Schedule Migration of Time-Dependent Taxes** template. Enter the **Migration Country**, such as DE. The **Migration Country** is mandatory. You can define the scheduling options and then select **Check** to check whether your settings are correct. If they are, the system prompts you that the job can be scheduled.

By default, **Simulation run** is checked. SAP recommends that you perform a simulation run before scheduling the migration. The simulation report provides you important information about the expected duration of the migration. The simulation also tells you the date as of which time-dependent taxes will be active in your system and whether there are any errors that must be resolved before scheduling the migration. Once you complete the simulation run and resolve any errors, you can uncheck **Simulation run** and schedule the migration.

During the migration, your system is locked to new postings. If you encounter any problems with the migration, you may want to unlock your system so that you can resume day-to-day business while you resolve the issue. In this case, you can use this template to undo the migration. Set up the job as before, make sure that **Simulation run** is unchecked, and check **Undo Migration**. This undoes the migration and opens your system to postings.

For further information about simulating and scheduling the migration, see Schedule Migration of Time-Dependent Taxes.

Tax Register Validation

This job template allows you to validate the tax register once you activate it.

You can use this job template to validate your entries in the tax register.

→ Tip

To use this template, you need to log in with a user with the same minimum authorization as the **G/L Accountant** (`SAP_BR_GL_ACCOUNTANT`) business role template. Additionally, this user needs to have either the **Tax Management - Tax Operations** (`SAP_FIN_BC_TAX_OPS_PC`) business catalog or the **Tax Management - Display Tax Item** (`SAP_FIN_BC_TAX_DISP_TXITM_PC`) business catalog assigned to them.

To begin, open the **Schedule Tax Jobs** app. Use the **Create** button to add a new job. Select the **Tax Register Validation** template. Then, under **2. Scheduling Options**, schedule the job as best suits your business needs.

Then set the parameters for the validation under **3. Parameters**. In the **Main Selections** section, the **Company Code**, **Fiscal Year**, and **Tax Reporting Country/Region** fields are mandatory. You can also use the optional **Document Number** field to further specify your validation job. Then, in the **General Selections** section, specify the date range for the records to be validated, as well as the type of date that the system uses to validate, such as **Posting Date** or **Tax Reporting Date**. In this section, the **Select Only Allowed Postings** box is checked by default. This flag means that the results list only includes entries for transactions that are recorded in the tax register. Other transactions that may be tax-relevant but aren't relevant for the tax register aren't shown.

In the **Further Selections** section, you have the option to enter a **Tax Code**, to narrow the range of entries that the system validates.

The final section under **3. Parameters** is **Output Control**. Here you make two settings. First, you select which currency you want to see the displayed amounts in, whether company code, tax reporting, or transaction currency. Second, you select whether you want to see the validation report broken down by **Total Difference** or **Line Items**. In either case, the results list is empty unless there are discrepancies in your records. That is, any results returned by this job indicate an error that you need to look into and correct.

If you select **Total Difference**, then any results are displayed aggregated by tax attributes, such as company code, tax reporting country/region, tax code, and the valid-from date. The tables show the total differences between your documents as written into the standard tax tables and as recorded in the tax register. The **Tax Base Amount** and **Tax Amount** columns contain the aggregated amounts as recorded in the standard tax tables, and the **TR Base Amount** and **TR Tax Amount** columns contain these amounts as recorded in the tax register. Where there are discrepancies, you might, for example, see amounts recorded in the first two columns but nothing recorded in the second two columns. This indicates that the standard tax tables contain these tax base amounts and tax amounts, but that they haven't been recorded in the tax register.

To see this information in greater detail, you can rerun the job and select **Line Items**. In this case, the report returns a document number for each item returned. Those documents marked with an "X" in the **Difference** contain errors, and you can then go check and resolve the errors and the discrepancies.

Update VAT Registration Number in Documents for Northern Ireland

Use this job template to update the VAT registration number for postings for customers in Northern Ireland.

Ordinarily, the VAT registration number field is maintained in the customer master data and is filled in your customer documents. In some cases, however, it may be empty in your documents. In these cases, you can run this report to fill this field in your customer documents. Select the company code, invoice number, or fiscal year for which you want to run the report, set the other

parameters as you need, and run the report. The system then fills in the VAT registration number field for records pertaining to debit accounts.

The VAT registration number is no longer derived in the accounting interface if the customer has a region in Northern Ireland. However, you may be legally required to have the VAT registration number filled for tax reporting purposes. You can use the **Manage Journal Entries** app to enter the VAT registration number manually. Alternatively, you can use this report to fill the VAT registration number for those documents that no longer get a VAT registration number at posting from the accounting interface.

This report can determine VAT registration numbers if:

1. The document is a customer item, not a supplier item,
2. The customer is located in Northern Ireland, and
3. The document wasn't originally created in billing

You can simulate the report before running it. Simulating the report shows you potential errors or problems that you can then correct before running the update report.

The report results show you two sets of information. The Updated (or Simulated) Records section shows you a list of changed records. You can check the company code and new VAT registration number here. These new VAT registration numbers are pulled from the customer master data.

The Messages section shows you information pertaining to records that were skipped and not updated. This typically happens for any of several main reasons:

- The region isn't Northern Ireland
- The record contains both customer and supplier numbers
- The company code country/region and customer country/region are identical
- All EU tax codes in the document are in the following: 2, 4, 5, B, T, U. EU tax codes 2, 4, and 5 refer to services, and codes B, T, and U are for non-EU transactions.

Records are also skipped if they're sales or settlement management documents that were subsequently added into the accounting interface. In these cases, the VAT registration number is never derived in the accounting interface and resides with the original document.

Changes made using this job template are documented using change documents. You can see these change documents in the **Related Documents** view in **Manage Journal Entries**.

Related Information

SAP Note 3001298

VAT Refund (EU)

App ID: FBTR_TRAN

Companies in Austria, Germany, and Spain can use this job to create an overview of the FI documents that are relevant for a VAT refund. The job also creates a list of the incurred amounts for each company code, tax reporting country/region, and tax refund country/region.

Access

You can access the VAT Refund (EU) (SAP_FIN_TAX_RFUMSRVG00) job template using the Schedule Tax Jobs app. You can also use the VAT Refund app. If you can't find the VAT Refund app on your SAP Fiori launchpad, add the app to your launchpad using the App Finder.

Use

You can use this application to create an overview of the FI documents relevant for VAT refund. The application also creates a list of the incurred amounts for each company code, tax reporting country/region, and tax refund country/region.

Depending on the selection parameters, the documents are written to a reporting portfolio in the Prepare Electronic Tax Return app. Here you can supplement the document data with missing information and combine it in a refund declaration.

Requirements

The VAT refund directive requires mandatory data for each invoice that is included in the VAT refund application. This includes the identification of a line item according to the nature of the acquired goods and services. To select documents that are relevant for VAT refunds, the corresponding documents must be posted in the Define Tax Code as Refund-Relevant Value Added Tax (103491) configuration activity, and the tax codes used in those documents must have the relevant indicators for the VAT refund.

You define the VAT Refund ID in the Define Code for Goods and Services for Each VAT Refund Country/Region (103490) configuration activity. To avoid having to assign a VAT refund code manually for each line item, you can make the assignment to a G/L account in the Assign Code for Goods and Services to a G/L Account (103492) configuration activity.

If you use the Prepare Electronic Tax Return app, you must make the corresponding changes in the respective configuration activities for message type VAT Refund (0003). These configuration activities are in the Define Parameters for Electronic Communication with Authorities (102367) configuration activity.

Features

You can limit the volume of documents using the following selection criteria:

- Company code, document number, fiscal year, posting date, reference number, document date, tax reporting date, and refund country/region.
- If you use the Prepare Electronic Tax Return app, select the parameter Create Reporting Portfolio, the reporting portfolio is only updated then. If a reporting portfolio is created, the reporting period selected must match the corresponding posting date, document date, or tax reporting date.

After you have run this application, you get a list of FI documents, travel receipts, and accumulated amounts on various tab pages.

Selection

If a reporting portfolio is created, the system first sets a lock on the reporting periods that were created from the data selected, so as to prevent data inconsistencies.

Example

1. At event A, the application creates a reporting portfolio, for example, for company code 0001, tax reporting country/region AT, tax refund country/region IT, year 2009, and periods 1 - 3. You now enrich this data in the Prepare Electronic Tax Return app with additional data and do not send this data.
2. At event B, you run the application again with the selection criteria above. This results in the loss of the old reporting portfolio with all your manual changes.

3. If the data created under item 1 is flagged as submitted and the report is executed at event B with the selection criteria from item 1, a delta report is created. The system only selects the documents that have not already been reported.

Selection of Reversal Documents

As a rule, reversed documents are not selected.

When documents have reversed another document, the system checks whether the reversed document is already listed in the reporting portfolio. If so, the reversed document is also selected.

Related Information

Define Tax Code as Refund-Relevant Value Added Tax
Define Code for Goods and Services for Each VAT Refund Country/Region
Assign Code for Goods and Services to a G/L Account

Year-End Adjustment of Pro Rata VAT

Companies that apply pro rata VAT calculation may need to adjust the pro rata VAT postings at the end of the calendar year using the final pro rata coefficient. This adjustment is required in Spain, for example. You can use this job to adjust the postings.

The job calculates the differences between the actual deductible amounts (calculated using the final pro rata coefficient) and the posted deductible amounts. It posts these differences to the relevant G/L accounts.

Prerequisites

The key user for configuration has configured the final pro rata coefficient, and the tax code and G/L accounts for the adjustment postings.

Selection

In addition to parameters such as the company code, country/region, and the year for which you want to adjust the postings, specify the following:

- Tax code for the adjustment postings

  You must specify an input tax code with one input condition type with a tax rate of 100%.

- G/L accounts for posting the adjusted amounts

  You must specify accounts for the non-deductible portion of the VAT (credit and debit) and the deductible portion. Theses accounts must allow postings without tax. The G/L account for posting the deductible VAT must be an input tax account.

The job selects all tax lines with tax codes for which a final pro rata coefficient has been defined in the configuration settings, according to the company code, country/region, and year.

If required, you can do a test run to simulate the postings without posting any documents.

Output

You can view a detailed summary per tax code with details such as the account key, rate, posted amount, final coefficient, new amount, and the difference.

For a test run, you can check the log for errors. For a production run, you can check the posted document number in the log.

Note the following critical system messages:

Short Text	Diagnosis/System Response	Procedure
Pro rata VAT: Document <document ID> has already been posted for adjustment	The system can't repeat the posting of this document.	If you want to repeat the posting, reverse the document first.
Pro rata VAT: Final coefficient missing for ctry/reg <ISO code>, CoCd <company code> yr <calendar year>	The system can't determine the amounts for the year-end adjustment.	Ask your key user for configuration to define the final pro rata coefficient to be used to adjust the postings.
Pro rata VAT: Pro rata coefficient or final coefficient is missing	One of the following pro rata coefficients is missing for the specified country/region, company code, and calendar year: • Coefficient for calculating pro rata VAT during the year • Final coefficient for adjusting pro rata postings at the end of the year You have therefore used a tax code with a pro rata coefficient either for calculating VAT during the year or for adjusting VAT at the end of the year, but not for both. The system determines the adjustment amounts, but the tax codes for these amounts are different to the tax codes that were used during the year to calculate the VAT.	If you want to use a pro rata tax code for both the VAT calculation during the year and the year-end adjustment, ask your key user for configuration to check and update the configuration of the coefficients.

ℹ Note

For more information about pro rata VAT, go to SAP Help Portal for SAP S/4HANA Cloud Public Edition under **Product Assistance** > **Country/Region-Specific Functions** > **<your country/region>** > **Finance** > **Financial Operations** > **Tax Calculation/Tax Management** > **Processing VAT** > **Pro Rata VAT Processing**.

Schedule Tax Jobs for Cross-Border Transactions

App ID: F8218

Use this app to schedule tax jobs using the **Create Proposed Tax Postings from Goods Movements** job scheduling template.

In addition, the app supports the following technical features and options:

- Scheduling Options
  - Define the start date and the recurrence pattern for the job.
  - Define if the system dynamically sets the valuation key date each time the job runs.

- Output Control

  Define settings for output control, for example, increase the base amount by non-deductible input tax, Bolle Doganali, or read receipt data.

- Posting Parameters

  Define settings for posting parameters, for example, posting date, due date of the tax payable, alternative tax payable account, or create DME file.

- Output Lists

  Define settings for your output lists, for example, VAT line item display or input tax line item display.

More Information

For more information about Job Scheduling apps, see Application Jobs.

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Tax Box Mapping

Maintain your tax box mappings when using Time-Dependent Taxes (TDT) and/or Registration for Indirect Taxation Abroad (RITA).

ℹ Note

When you work with a parallel line, these configuration activities need manual maintenance once in the main line and then again in the parallel line. For activities that require double maintenance, please refer to SAP Note 3399850 and SAP Note 3399785.

Tax Box Mapping for Time-Dependent Taxes

Once time-dependent taxes (TDT) are active for a target country/region, you can use the **Maintain Tax Box Mapping for Advanced Tax Return** configuration activity to maintain your tax box mappings, tax groups, and tax box structures. Please note, however, that you can use this configuration activity to perform tax code maintenance only in system status 5 or 6. For more information on these system statuses, see Activating Time-Dependent Taxes.

This activity may not be necessary or available, depending on your local tax requirements. It is your responsibility to verify whether this activity is necessary.

Tax boxes specify in which item of the tax return form the amount is posted. This amount can be the tax base amount, the total tax amount, or the sum of the tax base amount and the tax amount. Which of these three amounts is reported here depends on the specific tax form used for reporting. If you create tax boxes using **Maintain Tax Box Mapping for Advanced Tax Return**, you determine which amount is reported here by selecting the **Tax Box Output Type**.

Tax Groups consist of the tax group number, the tax code, the valid-from and valid-to dates, the kinds of transactions to be reported, and the credit/debit marker. Ordinarily, the tax group number is the same as the tax box number. It's important that you maintain the tax code and valid-from date for all tax rates in your tax groups. If the code and valid-from date aren't maintained,

then no tax can be reported for any document with this tax rate in either the **Advanced Return for Tax on Sales/Purchases** app or in your tax declaration.

Please note that the validity dates in the tax groups are the validity dates of the tax code. The valid-from date of the tax code must be between the valid-from date and the valid-to date in **Tax Groups (int. Representation)**.

The **Tax Box Structure** field is an optional text field that you can use to distinguish between different grouping versions.

Your configuration experts maintain your tax box mappings and the related information. To do this, they need the same minimum authorizations as those delivered with the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template. Open your configuration landscape. Select the **Maintain Tax Box Mapping for Advanced Tax Return** configuration activity under **Finance** > **Statutory Reporting** >.

Once in the configuration activity, select the target country/region. The view that opens shows you the tax box structures for the target country/region that are currently valid. To see all validity periods for an item, select that item, then select **Expand ↔ Collapse**. All validity timeframes are shown with their validity dates and any notes in the **Tax Box Structure** column.

To add a validity period, select **New Entries**. Enter the validity dates, any note that you wish to include, and save. The system doesn't permit gaps between validity periods, so you may see an information message letting you know that items have been delimited. For example, let's say that you set a validity timeframe of January 1, 2025 to December 31, 2030. The system automatically ends the validity timeframe preceding your new timeframe as of December 21, 2024. The system automatically creates a validity timeframe beginning January 1, 2031. This prevents gaps from occurring.

You can map tax boxes for specific validity timeframes. Select the timeframe, then double-click **Tax Boxes (ext. Representation)**. Select **New Entries** and then select the **Tax Box** field. Enter the tax box corresponding to the field on your reporting form, any description that you wish, select the output type, and enter a condition. For example, you would typically enter the tax code for the condition. You can then set the tax box output type to indicate whether the amount is the tax base amount, the tax amount, or the sum of these two amounts.

Save your changes, and you can now maintain the tax group for that timeframe. Double-click **Tax Groups (int. Representation)**, create an entry, and enter the tax group, which is the same as the tax box. Then enter the tax code, the validity timeframe, the processing key, and set the credit/debit marker. Save your changes, and then map the tax box to the tax group. Double-click the mapping item, create an entry, and then enter the tax box number in both the **Tax Box** and **Tax Group** fields. Save to complete your mapping.

Tax Box Mapping for Registration for Indirect Taxation Abroad (RITA)

Your tax authority may require you to report your foreign transactions on your tax return. Tax boxes specify in which item of the tax return form this amount is posted. Once RITA is active, you need to perform tax box mapping so that your foreign transactions are reported in the specified location on your tax reporting forms. The amount reported here can be the tax base amount, the total tax amount, the sum of the tax base amount and the tax amount, or the tax base amount and nondeductible tax amount, depending on your tax authority's requirements.

Using the **Maintain Tax Box Mapping for Advanced Tax Return** configuration object, enter the country/region code for which RITA is active in your system, then map the tax codes for your foreign transactions to the correct tax box. Set the **Tax Box Output Type** to mark whether the amount is the tax base amount or the tax amount, for example, then save your changes.

Please note that you can only do this when RITA is active in all of your systems. Any inconsistency among your systems causes errors when you try to maintain tax box mappings.

Related Information

Activating Time-Dependent Taxes
Activating Time-Dependent Taxes (Two-System Landscape)

Tax Declaration Reconciliation

App ID: F2096

This app shows you tax-relevant postings that are to be declared in a VAT return. It allows you to investigate any differences between calculated and reported tax amounts.

Key Features

- Generate a list under headings such as **Tax Code**, **Tax Rate Valid-From Date**, **Transaction**, **Amount in Local Currency**, **Calculated Tax Amount**, **Tax Amount in Company Code Currency**, and **Difference Amount**.
- The calculated tax amount is the sum of amounts for each combination of tax code and tax rate validity period. This cumulative amount is multiplied by the tax rate to give the calculated tax amount. The result can differ from the posted tax amount for two reasons:
    - A document was incorrectly entered or was calculated incorrectly
    - A large number of journal entries with insignificant rounding errors aggregated into a larger total difference

When the tax base amount doesn't match the tax amount, you can investigate further by navigating to the details screen. Within each tax code and validity period aggregation, the individual journal entries are shown as individual line items. You can, for example, examine these journal entries in detail by navigating to the entry in the **Journal Entry Analyzer** or **Manage Journal Entries** app. There you can see more information and determine the cause of the difference, and then decide on the reconciliation measures you must take.

You can also filter the list to show only cases where there's a difference between calculated and posted tax amounts.

Example

A company posts 100,000 invoices, each for an amount of 2.29 Euro and subject to a 19% tax code. The system calculates a tax amount of 0.37 Euro per invoice. The tax return for this period shows following values:

- Tax Box: 47
- Rate: 19%
- Tax Base Amount: 192,000 Euros
- Tax Amount: 37,000 Euros

In this case, the app shows the following values for tax box 47:

- Rate: 19%
- Tax Base Amount: 192,000
- Calculated Tax Amount: 36, 480 Euros
- Posted Tax Amount: 37, 000 Euros
- Difference: 520 Euros

A difference of 520 Euros arises due to the calculation methods as opposed to an error.

Please note that the app doesn't support company codes in the following countries/regions:

- Brazil
- Canada
- China
- India
- United States

Please note that tax box mapping currently is not supported for this report for countries/regions in which you use the **Define Enhanced Tax Box Structure** cofiguration activity. For reports in those countries/regions, you can use the **Analyze Data** function in the Run Statutory Reports app to check the declared amounts.

Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Please note that this app is not intended to be used for reporting purposes. This app, like the Tax Reconciliation Account Balance app, should be used prior to reporting to identify issues that need attention. Once you've used these apps to identify and correct any issues, you must then perform the reporting process as required for your specific jurisdiction.

Please also note that this app doesn't support splitting values by credit/debit indicator for a single tax code. Doing so results in incorrect totals.

Example

Let's say that you want to use tax box 10 to enter debit items for tax code **V1**, and tax box 20 to enter credit items for the same tax code, V1. The system does differentiate between the two. Instead, it sums the two values.

If you enter debits for 400 EUR for tax code **V1** in box 10 and credits for 600 EUR for **V1** in tax box 20, the system returns a value of 1000 EUR in each tax box.

This app is also enabled for time-restricted access during an external tax audit. Further information about the time restriction feature can be found under Auditor Direct Access for Professional Service. When using the time restriction feature, SAP recommends always auditing complete periods. Using the time restriction feature for incomplete periods in the course of an audit results in errors in the data returned. Further information on using the time restriction feature only for complete periods can be found under Period-Based Timeframe Restrictions.

If you've activated time-dependent tax calculation (TDT), further information about maintaining your tax box mappings can be found under Tax Box Mapping.

Please be aware that this app works best for countries/regions for which tax boxes (on the return form) are mapped to only one tax group. These "simple" tax box mappings are either for the tax base amount or the tax amount, and are easily read and calculated by this app. In these cases, tax box mappings are shown in the **Tax Box Tax Amount** or **Tax Box Base Amount** column.

In other countries/regions, the aggregated items compiled under the combination of tax code and tax rate validity period can be split. This means that they can be mapped to multiple tax boxes, according to document type, for example, or according to other criteria as determined by that respective tax authority. The tax boxes in question can be tax or tax base amount, as in the "simple" case, but could also be the total of the tax and tax base amounts, the tax base amount and the nondeductible tax, or a nondeductible tax amount. In these "complex" cases, this app may return either an error or incorrect information. This app can't display tax box mappings in these cases. To prevent any confusion, in these cases, both the **Tax Box Tax Amount** column and the

Tax Box Base Amount column show an "X" for all line items. If this is the case for one of your reporting countries/regions, please check for any relevant information on Country/Region-Specific Functions.

If you've activated Registration for Indirect Taxation Abroad (RITA), review the limitations mentioned in SAP Note 2907372. Additional important information regarding FI-CA can be found in SAP Note 3409659.

Supported Device Types

- PC
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

SAP Note 2907372
SAP Note 3409659

Tax Reconciliation Account Balance

App ID: `F2095`

With this app, you can assess tax-relevant postings to verify that tax-relevant accounts are posted with tax attributes. You can also use it to check that app-calculated VAT amounts correspond to the posted amounts.

Key Features

- Verify that tax-relevant accounts are posted with tax attributes.

  You can filter by a specific Company Code, Fiscal Year, or Posting Date in order to verify that all postings on tax-relevant accounts (for example, the data reported in the current monthly VAT return) have been completed with tax codes. In addition, you can adapt the filters to your personal needs. If you require information below **Company Code** level, filters such as **Business Place** and **Profit Center** are available. When you select **All Items** in the **Accounting Document Has Difference** field, the app displays a result list with a balance for each G/L Account on which postings have been made. Please note that for this results list, the system considers only postings with a tax code. You can use this list to compare the balances shown in the Tax Base Amount column with the balances shown in the Account Balance column. Where balances don't correspond, you can use the **line item display** to isolate documents without tax codes and then decide if correction postings are required.

- Verify that app-calculated VAT amounts correspond with posted amounts.

  The app shows the posted tax amount, the tax amount calculated by the app, and the difference between these two amounts. You can limit the results list to show only those lines where differences occur by selecting **Items with Differences Only** in the **Accounting Document Has Difference** field. To investigate a difference, you can drill down to see the tax codes and to see data on the journal entry/document level. You can navigate to the **Manage Journal Entries** app and continue your investigation to isolate the reason for the difference between posted and calculated amounts, for example by checking related logistics documents.

ℹ Note

The app doesn't support company code in the following countries/regions:

- Brazil
- Canada
- India
- United States

Please note that this app shouldn't be used for reporting purposes. This app, like the Tax Declaration Reconciliation app, is used prior to reporting to identify issues that need attention. Once you've used these apps to identify and correct any issues, you should then perform the reporting process as required for your specific jurisdiction.

This app is also enabled for time-restricted access during an external tax audit. Further information about the time restriction feature can be found under Auditor Direct Access for Professional Service. When using the time restriction feature, SAP recommends always auditing complete periods. Using the time restriction feature for incomplete periods in the course of an audit results in errors in the data returned. Further information on using the time restriction feature only for complete periods can be found under Period-Based Timeframe Restrictions.

For important information on how this app interacts with FI-CA transactions, please see 3409659.

Supported Device Types

- PC
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

SAP Note 3409659

Time-Dependent Taxes (TDT)

In countries/regions where time-dependent tax calculation (TDT) is active, certain tax rates are effective within user-specified timeframes to allow you to adapt to current or planned changes to tax rates.

Typically, changes to tax rates have meant creating new tax codes and maintaining dozens of tables. In countries/regions where time-dependent tax calculation (TDT) is active, you can simply maintain existing tax rates. When you're informed about tax rate changes, you can add a new validity period to your existing tax codes. When the new tax rate becomes valid, all of your line-item calculations automatically use the correct rate. TDT reduces your tax rate maintenance and also reduces the risk of inconsistencies between your sales and finance documents.

Activating Time-Dependent Taxes

There are two methods for activating time-dependent taxes. Which method you use depends on whether you've previously activated the country/region solution in SAP S/4HANA Cloud Public Edition.

If you haven't previously activated the target country/region, time-dependent taxes are active as soon as you activate that target country/region. If you've previously activated the target country/region in SAP S/4HANA Cloud Public Edition, then you must migrate your existing custom-created and transactional data. Where TDT is active, rather than requesting expert configuration, you now create and maintain your tax codes.

ℹ Note

In countries/regions where time-dependent tax calculation is active, tax codes and tax rates delivered by SAP are standard reference content. These examples may not correspond with current legal requirements. It is your responsibility to ensure that you keep up with all changes to the tax requirements for your country/region and to create, update, and maintain tax information as necessary.

TDT must be activated in all the systems in your system landscape. Tax rate changes and new tax codes can only be transported from the development system to the test system and then to the production system when TDT is active in all systems. Tax rate changes should be made only if a real tax rate change is known. Likewise, you should create new tax codes in your development system only when you need them in your test system and your production system.

All testing needs to be performed in your test system, not your production system, at the stages of the process as described here.

You can delete tax codes as long as the changes were not released for transport. If you must maintain tax rates retroactively, be aware that any later tax rates will be deleted and will need to be recreated in chronological order. There's a system check in place to prevent modification of past tax rates. This check can be switched off using the **Message Control in Tax Area** (`103887`) configuration activity.

Please note that when you activate TDT, you can see the previous timeframes for those tax codes, along with the corresponding tax rates. If for any reason this information is confidential and shouldn't be displayed, then you shouldn't activate TDT.

For a full explanation of the migration process, see Activating Time-Dependent Taxes.

ℹ Note

The activation process for two-system landscapes and for three-system landscapes differs only in the number of system landscapes involved. That is, for two-system landscapes you need to activate TDT sequentially in your quality and then your production system. For three-system landscapes, you need to activate TDT sequentially in your development system, then test system, then production system. The activation processes are otherwise identical.

How It Works

Generally, you begin by using the Define Tax Codes for Sales and Purchases (`101016`) configuration activity to add a validity timeframe to an existing tax code. For example, let's say that you find out that the rate of tax code V1 in Germany will change from 19% to 19.5% as of December 15, 2021. In this configuration activity, enter the target country/region, the tax code, and a valid-from date. This shows you the **Validity Periods** for this tax code. Add the new rate in the **Amount** column and make the necessary changes to the validity timeframes, then save your changes. The system doesn't permit gaps between timeframes, so it automatically delimits based in the new valid-from date. In this example, where December 15, 2021 is the new valid-from date, the system automatically delimits the previous validity period, which ends as of December 14, 2021.

If you want to activate or deactivate a new tax type, you must create a new tax code. For example, you can't activate the **Travel Expenses (%)** tax type and deactivate the **Input Tax** tax type in an existing tax code. You must create a new tax code to make that change.

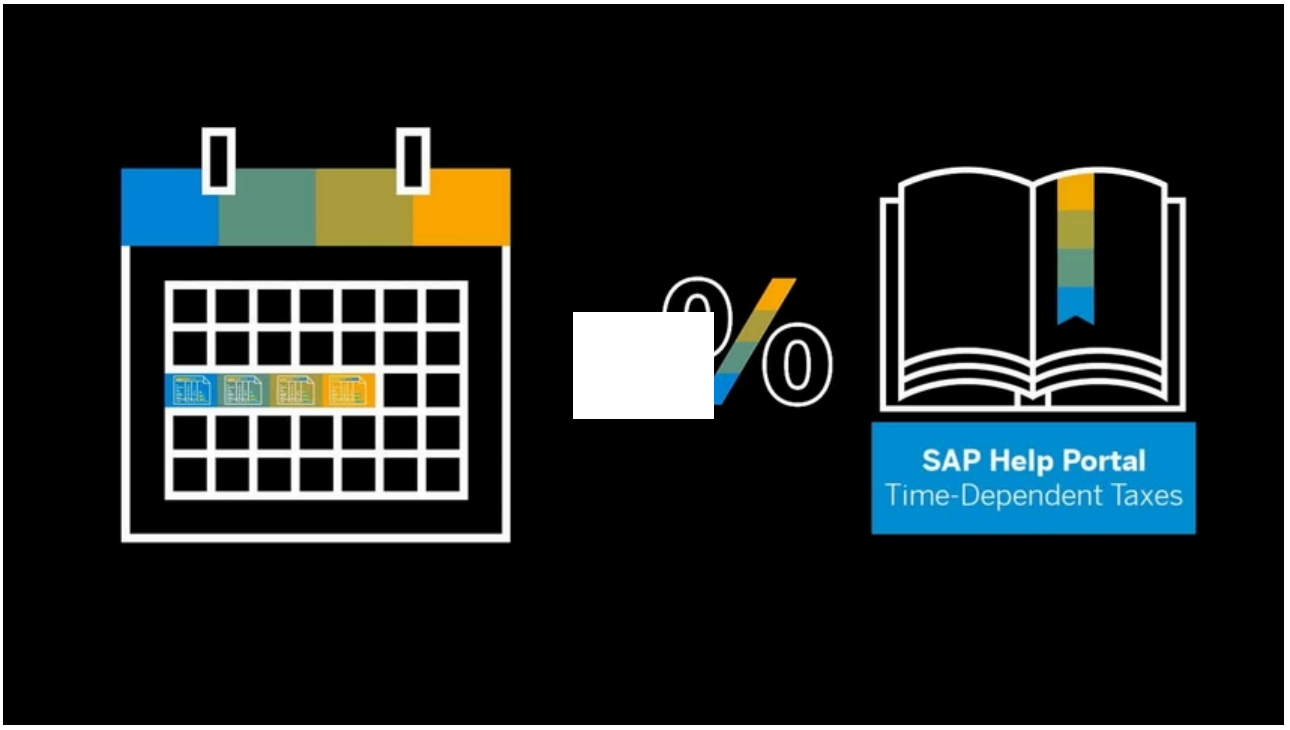
Additional Important Information

For additional important information regarding the activation of time-dependent taxes, see SAP Notes 2809073, 2818970, 2819322, and 2937776. Also see the **Configure Tax Solution** available at the SAP Roadmap Viewer.

For countries/regions where TDT is active, you must create and maintain your tax codes rather than contacting your service center for expert configuration for tax codes.

TDT doesn't allow you to maintain tax codes for a foreign country/region. For example, if you have TDT active for Germany, you can't add foreign tax codes for use with a German company code. Foreign tax codes created in this way lack the connections to the relevant foreign registration, business, and tax processes. Further, foreign tax codes created using TDT don't support either the reporting requirements of the additional countries/regions or any additional currencies and exchange mechanisms.

How to Use Time-Dependent Taxes (English Only)



Open this video in a new window

How to Activate Time-Dependent Taxes (English Only)





Open this video in a new window

> **Note**
>
> Captions are available for **multiple languages**. Use the **CC** (Closed Captions) button in the video player to check which languages are supported.
>
> You can also use the **Search within video** field to search for specific text in the English or German captions.

Integration with SAP ERP HCM Payroll

You can use the **Maintain G/L Account Tax Attributes for Time-Dependent Taxes** (103423) configuration activity to ensure that your tax-relevant HR postings contain the proper valid-from dates for the respective tax rates. This configuration activity can only be used for company codes corresponding to a country/region for which time-dependent tax calculation has been enabled. When using this configuration activity, your system checks to ensure that the tax code has been maintained for that G/L account.

If both of these conditions are met, you can use the configuration activity to maintain the tax code and the valid-from date. Before changes are saved, your system performs two more checks. It checks to verify that the tax code as maintained using the **Maintain G/L Account Tax Attributes for Time-Dependent Taxes** (103423) configuration activity is identical to the tax code as maintained in the **Manage G/L Account Master Data** app. You can also check the tax category in the **Manage Chart of Accounts** app. The system also checks the valid-from date of the tax code as maintained in the **Manage G/L Account Master Data** app against the valid-from date in the tax code master data. If both of these checks return identical results, your changes are saved.

Please note that VAT calculation must be used only after consulting your tax advisor. See also the information related to Integration with SAP ERP HCM Payroll and Postings Relevant to Value-Added Tax.

Related Information

SAP Note 2809073
SAP Note 2818970
SAP Note 2819322
SAP Note 2937776

Activating Time-Dependent Taxes

Explains how to migrate your data when you activate time-dependent taxes.

Time-dependent taxes (TDT) are activated at the country/region level. When you activate TDT for a country/region that you've previously activated in SAP S/4HANA Cloud Public Edition, you must migrate your tax-relevant transactions to new tables in your SAP S/4HANA Cloud Public Edition system.

This migration process comprises several steps and involves your configuration expert and your G/L accountant. Your configuration expert needs the same minimum authorizations as the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template. Your G/L accountant must have the same minimum authorizations as the **General Ledger Accountant** (SAP_BR_GL_ACCOUNTANT) business role template.

Your migration passes through a sequence of up to five statuses as you complete the process. It might be helpful to think of these as statuses 1 through 5. The following description of how you carry out the migration refers frequently to these statuses, as do the accompanying graphics. Status 6 is the default status if you're activating the target country/region in SAP S/4HANA Cloud Public Edition for the first time.

Status 0	**Migration not yet initiated**
Status 1	**Migration initiated (but not yet started)**
Status 2	**Migration running**
Status 3	**Error(s) occurred during migration**
Status 4	**Migration complete (pending verification)**
Status 5	**Active (manual verification complete)**
Status 6	**Active (via content deployment)**

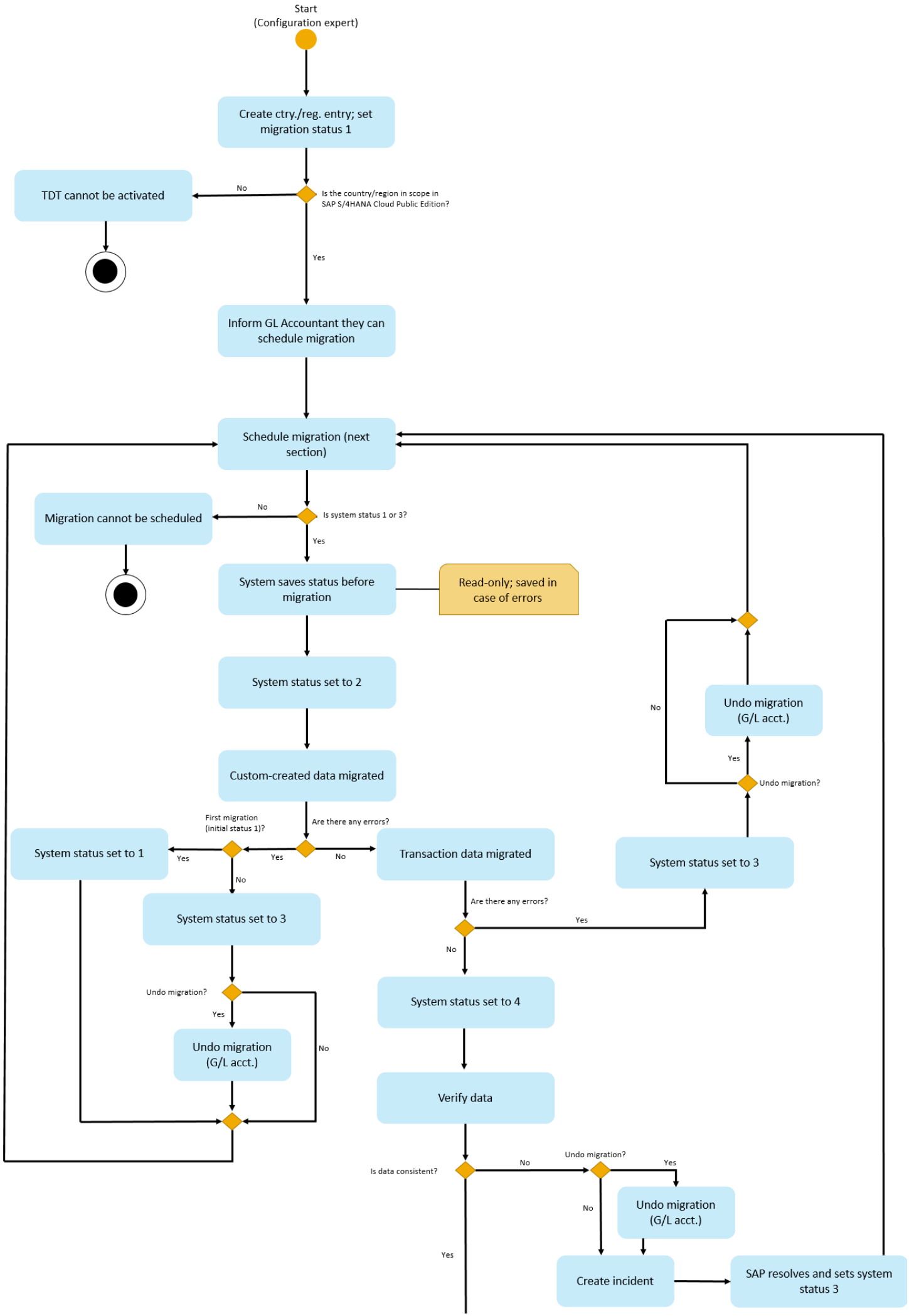
Please note that your system is closed to postings in statuses 2, 3, and 4. You likewise can't perform any maintenance on your tax codes, tax rates, or conditions in statuses 2, 3, or 4. Further, you shouldn't perform such maintenance if your system reverts to status 1, as is explained in the corresponding sections.

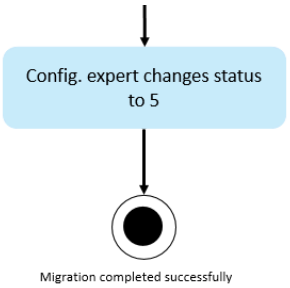
→ Remember

The activation process for two-system landscapes and for three-system landscapes differs only in the number of system landscapes involved. That is, for two-system landscapes you need to activate TDT sequentially in your quality and then your production system. For three-system landscapes, you need to activate TDT sequentially in your development system, then test system, then production system. The activation processes are otherwise identical.

The following graphic shows a simplified, complete task diagram of the migration process:

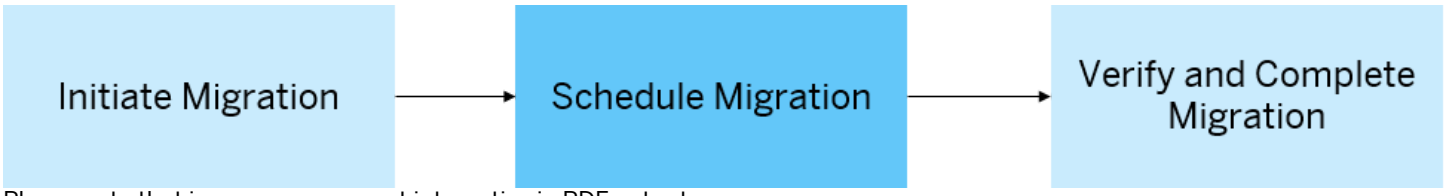
Migration Process for Time-Dependent Taxes (Diagram)


Start
(Configuration expert)
Create ctry./reg. entry; set migration status 1
Is the country/region in scope in SAP S/4HANA Cloud Public Edition?
No
TDT cannot be activated
Yes
Inform GL Accountant they can schedule migration
Schedule migration (next section)
Is system status 1 or 3?
No
Migration cannot be scheduled
Yes
System saves status before migration
Read-only; saved in case of errors
System status set to 2
Custom-created data migrated
Are there any errors?
First migration (initial status 1)?
Yes
No
System status set to 1
System status set to 3
Undo migration?
Undo migration (G/L acct.)
Transaction data migrated
Are there any errors?
Yes
No
System status set to 3
Undo migration?
Undo migration (G/L acct.)
System status set to 4
Verify data
Is data consistent?
No
Undo migration?
Yes
No
Undo migration (G/L acct.)
Yes
Create incident
SAP resolves and sets system status 3



You can think of the migration as occurring in three main stages, as depicted in the following interactive graphic. You can roll over each element in the graphic for more information, or select the element to link directly to the information relevant to that stage in the migration process:

This image is interactive. Hover over each area for a description. Click highlighted areas for more information.



Please note that image maps are not interactive in PDF outputs.

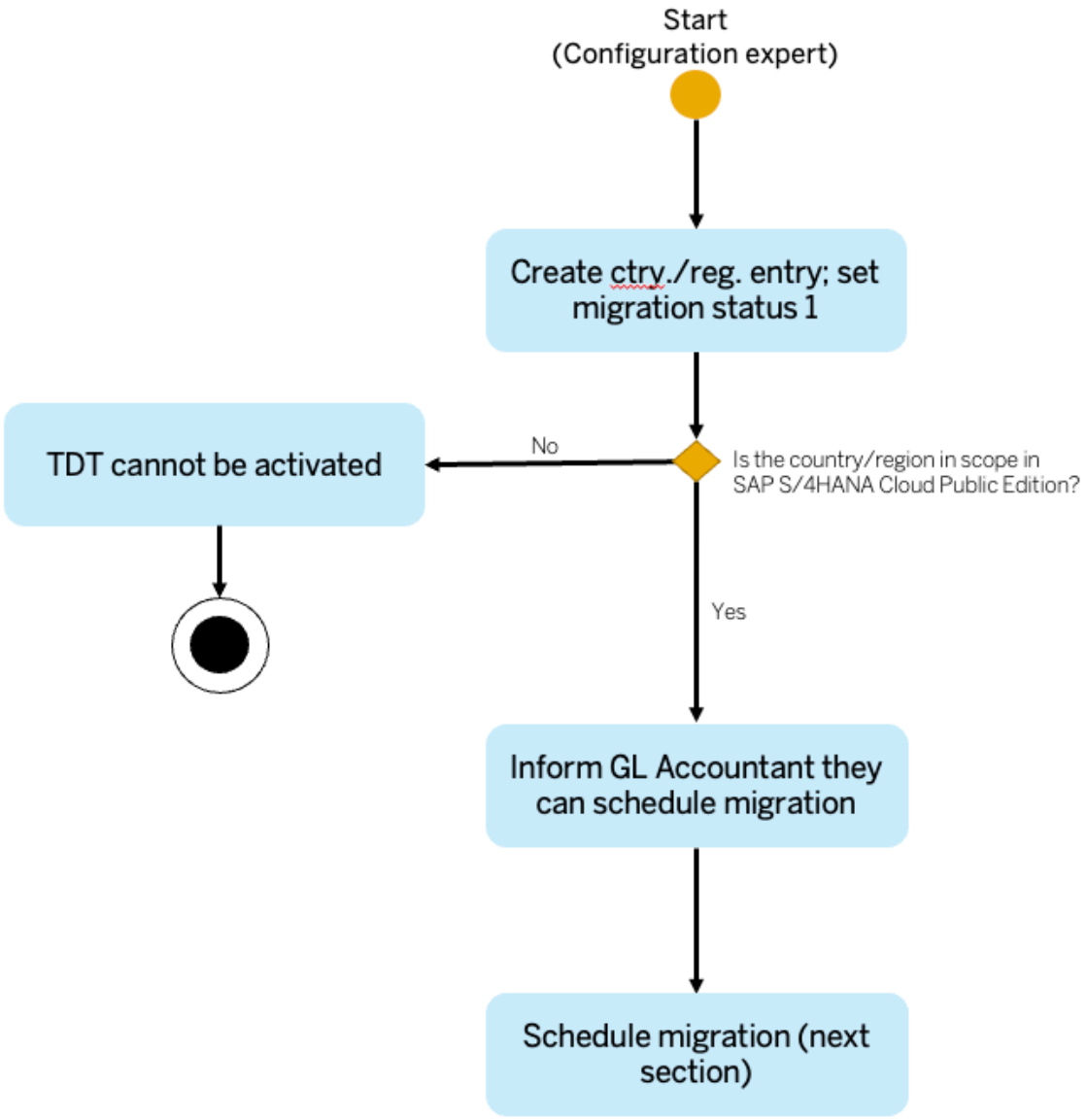
⚠ Caution

To activate TDT properly, you need to conduct the migration as described here sequentially in every system you develop or test in and then your production system. Don't release any solution builder projects or transport requests containing any tax information (changed tax codes, tax rates, validity periods, tax box mappings, etc.) until TDT is active in all of your systems. Otherwise, you'll create potentially serious data inconsistencies across your systems.

Initiating the Migration to Time-Dependent Taxes

The first phase of your migration to time-dependent taxes is initiating the migration process.

Diagram: Initiating the Migration (select to expand)



Your configuration expert initiates the migration. From your SAP Fiori launchpad, open the **Maintain Migration Status for Time-Dependent Taxes** app. Select **New Entries**, enter the country/region key for the country/region for which you want to activate time-dependent taxes, and then, under **Migration Status**, select **Migration initiated (but not yet started)**. This status (status 1) enables the G/L accountant to schedule and begin the migration.

ℹ Note

You cannot carry out TDT migration while Intermediate Data Retention (IDR) recording is running. If you have already started IDR recording, either complete it before starting the TDT migration or reset the IDR initial load.

We recommend that you first carry out the TDT migration and then start IDR recording. For more information, see SAP S/4HANA Cloud Mapping Entity FINS_CFIN_MWSKZ_TIMEDEP (Tax Rate Key (Time-Dependent)).

Related Information

Activating Time-Dependent Taxes
Scheduling and Running the Migration to Time-Dependent Taxes
Verifying and Completing the Migration to Time-Dependent Taxes

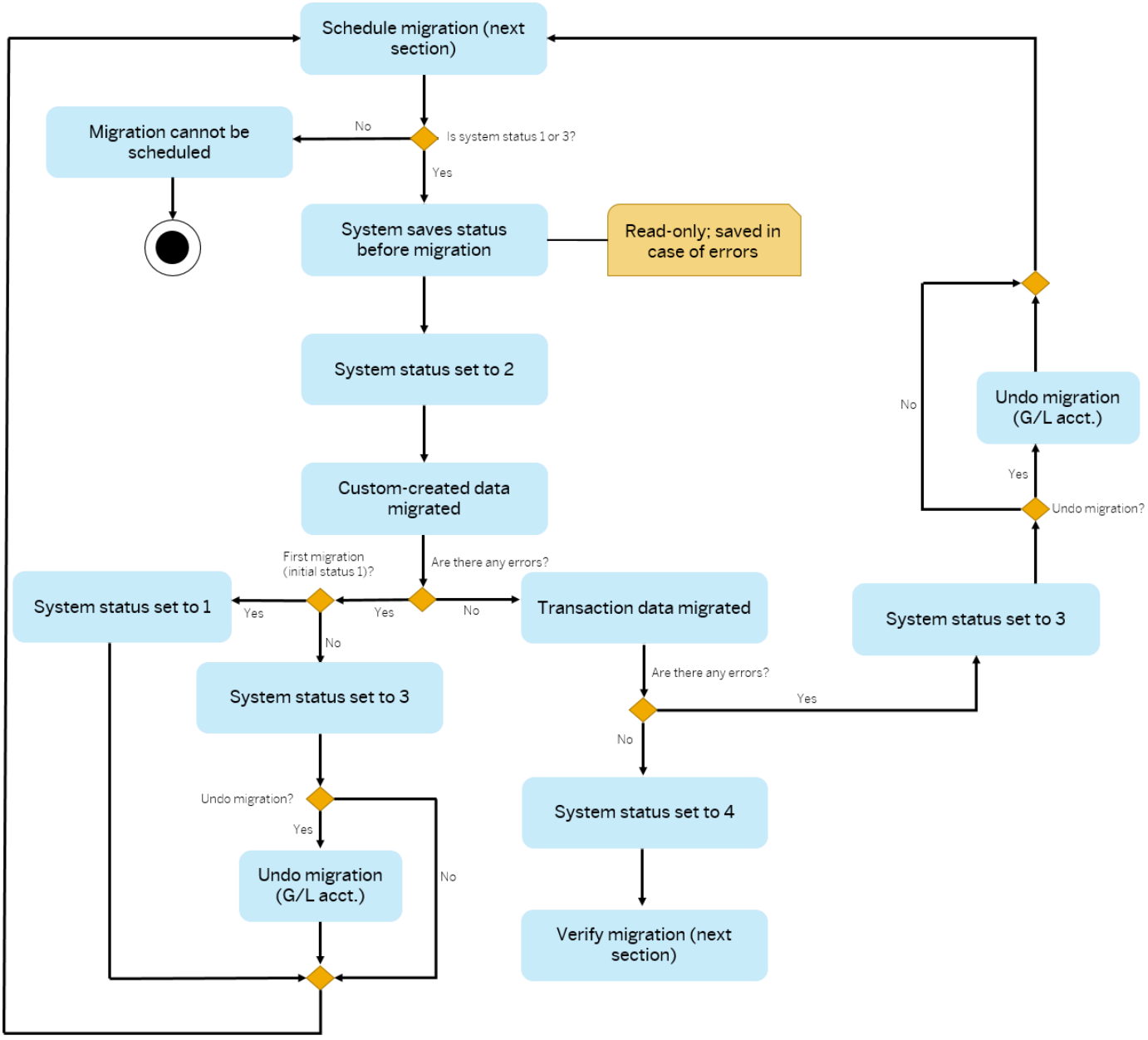
Scheduling and Running the Migration to Time-Dependent Taxes

Once you initiate the migration to time-dependent taxes, you can schedule and run it.

Prerequisites

Before you can schedule the migration, you must first initiate it.

Diagram: Scheduling the Migration (Select to Expand)



Once your configuration expert initiates the migration and sets the migration status to status 1, your G/L accountant can schedule the migration. The migration can also be scheduled from status 3, as is described in the following, but generally is run from status 1.

To schedule the migration, log on to the SAP Fiori launchpad and select the **Schedule Tax Jobs** app under **Tax Processing**. Choose the plus sign (+) to create an entry, and select the Schedule Migration of Time-Dependent Taxes job scheduling template. Enter the country/region key for the migration country/region, such as DE. SAP recommends first scheduling a **Simulation Run**. This option is selected by default. This simulation tells you how long you can expect the migration to take and the date as of when time-dependent taxes are available in your system. It also tells you whether it has identified any errors in your transaction data or in your custom-created data. You can use the information from this report to correct any such errors before scheduling the migration. During the simulation, as during the later migration, the system is checking your line items for a company code corresponding to the migration country/region and a tax code. If either are missing, the simulation report indicates an error. The

report likewise indicates an error if mandatory fields aren't filled in the tables to be migrated. The system also checks for errors your custom-created data that is to be migrated, such as custom tax rates or tax box mappings.

Once you've resolved any identified errors to your satisfaction, your G/L accountant can schedule the migration. Uncheck **Simulation Run** when you initiate the migration. Several things occur in your system when the migration is initiated. First, the migration report is initiated. The system records which status the migration was started from, that is, whether it was status 1 or status 3, which are the only statuses from which you can schedule migration. This status information is important if there are any errors in the migration of your custom-created data. The system then triggers status 2, **Migration running**. When your migration status is 2, your system is locked to new postings. This lock prevents problematic data inconsistencies.

⚠ Caution

Do not, under any circumstances, manually revert to status 1 while the migration is running. Doing so causes serious errors, including but not limited to a data dump. If you need to reopen your system to postings, or if you discover that you needed to perform other maintenance before scheduling the migration, you must let the migration finish. You can then undo the migration (see **Verifying the Migration**) and rerun it, or verify and complete the migration.

Once in status 2, the system first migrates your custom-created data. If there are no errors in this phase of the migration, then the system migrates your transactional data. If there are no errors during the migration of your transactional data, then the system moves to status 4. In this status, you verify the migration.

If the system encounters any errors during either phase of the migration, there are a number of things that you can do. If the error occurs during the migration of custom-created data, the system checks to see which status the migration was initiated from. If the migration was initiated from system status 1, the system treats it as an initial migration attempt. This means that it generates the migration log and reverts the system status back to status 1. This reopens your system to new postings, allowing you to continue your daily business while you resolve the errors in your custom-created data that prevented that data from being migrated. Please note, however, that if your system reverts to status 1, you can't change tax codes, tax rates, or conditions, because any new custom-created data won't be included in a subsequent migration.

Otherwise, the system generates the log and sets the status to status 3. This is also the status if there are errors during the migration of your transaction data. These errors can include, for example, missing data in mandatory fields. If you reach status 3, you should rerun the migration. In most cases, simply rerunning the migration resolves the error. If it doesn't, undo the migration and rerun it. If you still have errors, undo the migration to open your system to new postings and create an incident for component **FI-GL-GL-F-2CL**.

Once you undo a migration, you shouldn't change custom tax codes or perform tax rate maintenance until you complete your migration. As with a reversion to status 1, tax codes, tax rates, or conditions modified after undoing a migration aren't included in a subsequent migration. For example, let's say you have tax code **Z9** with one condition, that condition being that **Z9** is a 19% input tax. Now let's say that you initiate the migration, then wish to undo it because you want to change the conditions for **Z9**. When you change the conditions for **Z9**, you give it a 10% nondeductible component and a 9% input component. When you migrate your data, this new condition isn't migrated.

To undo the migration, simply open the **Schedule Migration of Time-Dependent Taxes** job scheduling template. Enter the **Migration Country**, make sure that **Simulation Run** is unchecked, and check **Undo Migration**. Scheduling this job reverts the migration of both your custom-created and transactional data.

Typically, however, issues flagged in the migration report are information messages, not errors. These messages are generated in cases where there are inconsistencies or missing data that you may wish to correct in your production system. These messages might tell you, for example, that the version is missing. Another example might be if you used a previous tax procedure and changed to a new tax procedure, or edited the conditions of your tax procedure. The migration report may inform you that these conditions weren't migrated because they don't match the conditions of the current version of the tax procedure. An example of this kind of message would be a message telling you that "Condition Type A in Procedure B doesn't exist for tax code C".

Additionally, you can safely ignore a message letting you know that "Migrator A has decided to skip the migration".

Otherwise, the expected result is setting the system status to 4, **Migration complete (pending verification)**.

Related Information

Activating Time-Dependent Taxes
Initiating the Migration to Time-Dependent Taxes
Verifying and Completing the Migration to Time-Dependent Taxes

Verifying and Completing the Migration to Time-Dependent Taxes

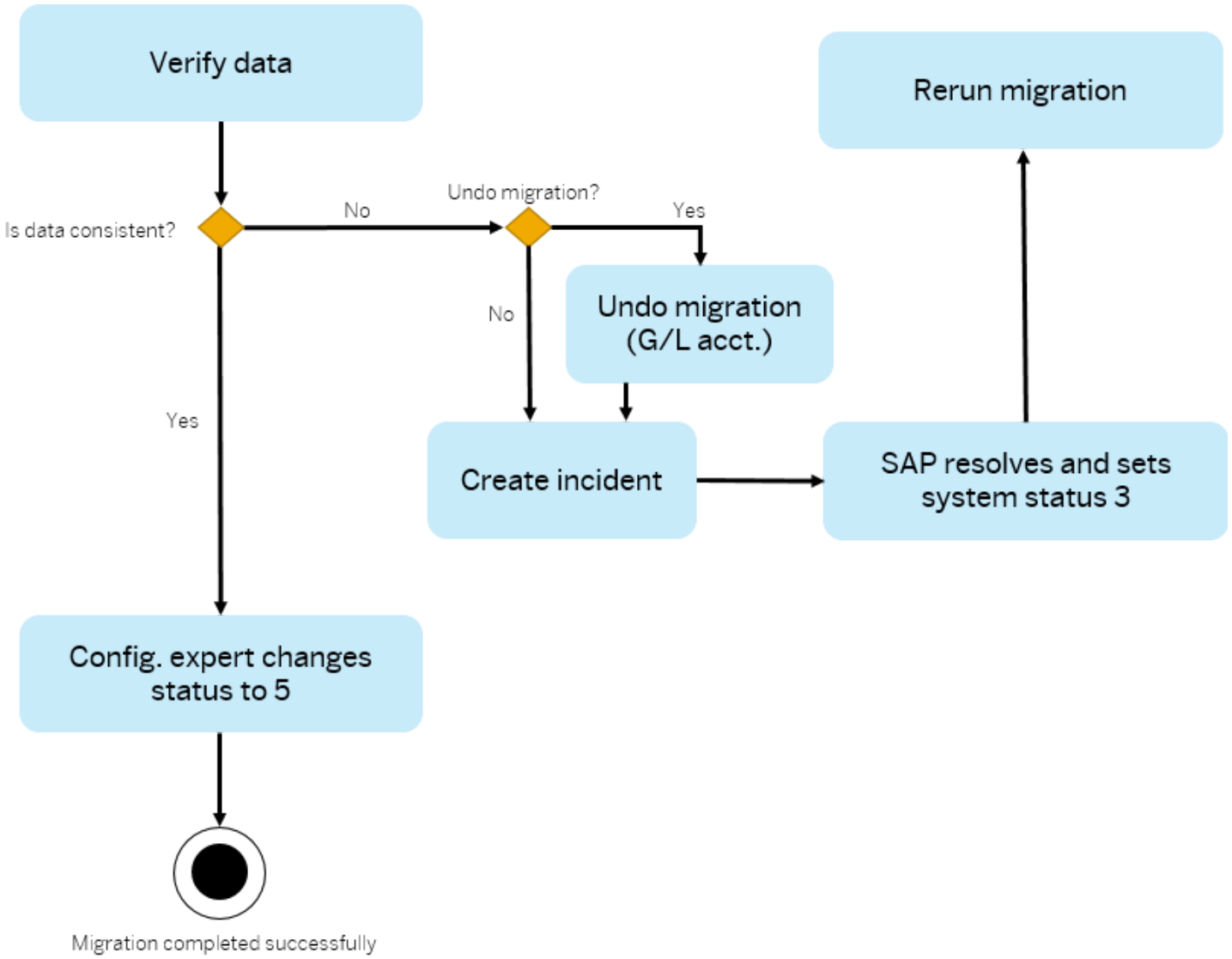
Once you've scheduled and run the migration to time-dependent taxes, you need to verify and complete the migration.

Prerequisites

Before verifying the migration, you must first initiate and then schedule the migration. Once your migration status is 4, you can verify and complete the migration.

You can undo the migration from status 4 in your system, but once you set system status 5 - **Active (manual verification complete)**, you can no longer undo the migration. If for any reason, you don't want to activate TDT, you must undo the migration from status 4. The process for undoing the migration is described here: Scheduling and Running the Migration to Time-Dependent Taxes.

Diagram: Completing the migration from status 4 (select to expand)



Typically, when you schedule the migration and run the migration report, the system status is 4 - **Migration complete (pending verification)**. In this phase, you should first run the Post-Migration Check Report, which displays the log of the migration of your transactional data. You then should test to make sure that the migration completed successfully. You can, for example, make test postings in your testing system using apps like **Post General Journal Entries** and check the relevant tax information there. You can also run tax reports or use the **Display Tax Information per Country** app to verify that the data was migrated properly. For tax codes that you didn't maintain, the valid-from date should be January 1, 1900.

If your data is correct and consistent, your configuration expert can use the **Maintain Migration Status for Time-Dependent Taxes** app to set the migration status to status 5 - **Active (manual verification complete)**. The migration is complete in this system at this point. If after testing you decide not to activate TDT, then undo the migration. The process for undoing the migration is described here: Scheduling and Running the Migration to Time-Dependent Taxes.

Please note that you can only undo the migration from status 4. Once you set your system status to 5 - **Active (manual verification complete)**, the migration can no longer be undone.

→ Remember

The migration needs to be complete in all systems you use for development or testing before you migrate in your production system.

Now, with the migration complete in any system you use for development or testing, you must repeat this process in your production system, as mentioned in the topic on Activating Time-Dependent Taxes. Initiate, run, verify, and complete the migration in your production system before releasing any solution builder projects or transport requests containing tax information, such as changed tax codes, tax rates, tax box mappings, or validity periods. For verification in your production system, use the **Display Tax**

Information per Country app and the Post-Migration Check Report job to verify that your data was migrated correctly, as previously described.

Once the migration is complete in your production system and your TDT status is 5 - **Active**, your system is open to new postings. At this point you can also use the **Define Tax Codes for Sales and Purchases** (`101016`) configuration activity to maintain tax codes, rates, and conditions and transport these changes to your production system. You can also maintain your tax box mappings using the **Maintain Tax Box Mapping for Advanced Tax Return** (`103188`) configuration activity. Please note that this activity may not be necessary or available, depending on your local tax requirements. It is your responsibility to verify whether this activity is necessary. Please note as well that as with the migration in your other systems, you likewise can't undo the migration from status 5 in your production system.

If there are any inconsistencies in the migrated data, please either open an incident for component **FI-GL-GL-F-2CL** or undo the migration and then open an incident. Once your incident is resolved, SAP reverts the system status to 3, enabling you to rerun and complete your migration.

Important Information About Verifying and Completing the Migration in Your Production System

There are important differences in how you should test and complete the migration in your testing and production systems. You can't use the **Define Tax Codes for Sales and Purchases** (`101016`) configuration activity in your test and production system to make changes to your settings. In your production system, postings are blocked for the migrating country/region during the migration in status 4. This kind of system behavior prevents you from potentially serious data inconsistencies. As mentioned, for verification in your production system, use the **Display Tax Information per Country** app and the Post-Migration Check Report job.

When verifying the migration in your production system, please be aware of the potential impacts of particular web services. The calls of these services need to be adapted to function properly with TDT. Information on how to make the necessary changes to these web services is available in SAP Notes 2819322, 2818970, and 2809073.

Activation means the same thing in your production system that it meant in your development and testing systems. That is, once you set your system status to 5 - **Active**, you can no longer undo the migration. To avoid any potential problems, please read the SAP Notes linked in this topic and make any necessary adaptations to the impacted web services before using the **Maintain Migration Status for Time-Dependent Taxes** app to set the system status to status 5 - **Active**. Once TDT is active in your production system, you can use the **Define Tax Codes for Sales and Purchases** (`101016`) configuration activity to perform tax rate maintenance. For further information, see SAP Note 2937978.

→ Remember

Do not use any transactional apps while your TDT activation is in status 4 in your production system. Once you begin the TDT migration, you can't post any tax-relevant transactions for the respective country/region until the migration and activation are complete. To prevent potentially serious data inconsistencies, the system blocks postings from transactional apps when your TDT migration status is 2, 3, or 4. Postings for the respective country/region are enabled again once that country/region is active (status 5).

Related Information

Activating Time-Dependent Taxes
Initiating the Migration to Time-Dependent Taxes
Scheduling and Running the Migration to Time-Dependent Taxes
Tax Box Mapping
SAP Note 2819322
SAP Note 2818970
SAP Note 2809073
SAP Note 2937978

Defining Tax Codes for Time-Dependent Taxes

When time-dependent tax calculation (TDT) is active, you can maintain tax codes, rates, and tax code properties.

Once time-dependent tax calculation (TDT) is active for a target country/region, you can use the **Define Tax Codes for Sales and Purchases** (101016) configuration activity to maintain tax rates and tax codes. This option is especially useful for maintaining multiple validity periods for a single tax code and for preparing for upcoming changes to tax rates. You should not delete or add conditions to existing tax codes. If you want to change the active conditions, you need to create a new tax code. This configuration activity allows you to add validity periods to existing tax rates to prepare for current or forthcoming changes to those tax rates. Please note, however, that you can use this configuration activity to perform tax code maintenance only in system status 5 or 6. For more information on these system statuses, see Activating Time-Dependent Taxes.

Performing Tax Code Maintenance

Your configuration experts maintain your tax codes and the related information using the configuration activity to maintain tax rates and tax codes. This option is especially useful for maintaining multiple validity periods for a single tax code and for preparing for upcoming changes to tax rates. You should not delete or add conditions to existing tax codes. If you want to change the active conditions, you need to create a new tax code. This configuration activity allows you to add validity periods to existing tax rates to prepare for current or forthcoming changes to those tax rates. Please note, however, that you can use this configuration activity to perform tax code maintenance only in system status 5 or 6. For more information on these system statuses, see **Define Tax Codes for Sales and Purchases** (101016) configuration activity. To do this, they need the same minimum authorizations as those delivered with the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template.

Once in the configuration activity, select the target country/region. To change a tax rate, enter the date from which the new tax rate is valid, then select the tax code that you want to update. When you select a **Tax Percentage Rate** box to update, you can also select **Periods** to see which tax rates correspond with this tax type and when they're valid. It's vital that you ensure that the valid-from and valid-to dates used in the **Tax Group** definition of the Maintain Tax Box Mapping for Advanced Tax Return (103188) configuration activity constitute a range that includes the valid-from date of the tax rate maintenance.

With TDT, individual tax codes are likely to have multiple validity periods, each with a different tax rate. The descriptions for the tax codes, however, are shown for all validity periods. To avoid confusion, you may wish to remove the rate from the description when maintaining your tax codes. For example, if the current description for tax code **V1** is "V1 – 19% Input Tax Domestic", you may want to change the description to "V1 – Input Tax Domestic". This way, the description is clear and accurate regardless of the validity period of the tax rate you're maintaining.

To create a new tax code, enter the target country/region and then the desired tax code identifier. If the tax code exists for that country/region, the system directs you to the maintenance view, as previously described. If the tax code doesn't exist, you're prompted to enter the mandatory information for the new tax code, including the tax type. If you use this configuration activity to create tax codes, you also must maintain the relevant tax properties, such as tax box mappings and tax account determination.

Please note that when you create or maintain a tax code, you must enter the rate and/or code information in your sales pricing records in your development, your test, and your production systems separately.

→ Tip

To display a list of tax codes for a country/region, enter the country/region key and then enter '*' in the **Tax Code** configuration field. This opens up a list of tax codes for that country/region.

Undoing Changes Made During Testing

Let's say that you know of a new tax rate change or you need to create and test a new tax code. When you perform your tax code maintenance, you may discover that the tax code doesn't function as intended. For example, the validity period may have the

wrong dates, or a percentage may have been entered incorrectly. If you discover such errors, you have two options for correcting your tax codes.

If you need to deactivate conditions, simply select the condition and use the **Deactivate Line** function. This function is only available when the tax code has one validity period. If you need to undo changes made for a tax code with multiple validity periods, use **Delete Last Rate Change**. This option reverts the tax rates for this tax code to the previous saved settings.

ℹ Note

Once time-dependent taxes (TDT) are active for a target country/region you can maintain your tax box mappings, tax groups, and tax box structures. For more information, see Tax Box Mapping.

Related Information

Tax Box Mapping

Countries/Regions Where Time-Dependent Taxes Is Enabled

Time-Dependent Taxes (TDT) is enabled for the following countries/regions. In the **Link** column, you can find a link to the detailed description on the configuration of TDT in the given country/region.

Country/Region	Link
Argentina	Argentina TDT is enabled for Argentina. No specific configuration is needed.
Australia	Configuration for GST Calculation Sheet for BAS Report
Austria	Configuration for Annual VAT Return - U1 Configuration for Advance VAT Return - U30 Deferred Tax Processing
Belgium	Setting Up the VAT Return
Bulgaria	Configuration for VAT Declaration
Chile	Configuring the Tax Box Mappings for the Sales Ledger
China	China TDT is enabled for China and Hong Kong. No specific configuration is needed.
Colombia	Configuring Tax Box Mappings for VAT Declaration
Croatia	Configuring the Tax Box Mappings for Form PDV Configuring the Tax Box Mappings for Form U-RA Configuring the Tax Box Mappings for Form PPO
Czech Republic	Configuration for VAT Declaration
Denmark	Setting Up the VAT Return Report TDT is enabled for the EC Sales List. No specific configuration is needed.

Country/Region	Link
Egypt	Making Additional Settings for VAT Return
Finland	Configuration for VAT Declaration
France	Setting Up the VAT Return
Germany	Setting Up the Advance VAT Return
Greece	Configuring the Tax Box Mappings for VAT Return
Hungary	Configuration for VAT Return TDT is enabled for the EC Sales and Purchases List. No specific configuration is needed.
India	Configuring Tax Box Mappings for GSTR3B With TDT
Indonesia	Setting Up the VAT Return Setting Up the Exports VAT Setting Up the Imports VAT Setting Up the VAT IN Report Setting Up the VAT OUT Report
Ireland	Configuration for Return on Trading Details Configuration for VAT Report
Israel	Israel TDT is enabled for Israel. No specific configuration is needed.
Italy	Configuration for VAT Declaration
Japan	Japan TDT is enabled for Japan. No specific configuration is needed.
Kazakhstan	Configuring Tax Box Mappings for the Post Journal Entries for VAT Paid for Other Party App
Luxembourg	Setting Up the Periodic VAT Return Report Setting Up the Annual VAT Return Report TDT is enabled for the SAF-T report. No specific configuration is needed.
Malaysia	Setting Up SST Report Deferred Tax Processing
Mexico	Mexico TDT is enabled for Mexico. No specific configuration is needed.
Netherlands	Configuration for VAT Return
New Zealand	Configuration of Goods and Services Tax (GST) Report
Norway	Setting Up the VAT Return Making Additional Settings for the SAF-T Report

Country/Region	Link
Oman	Tax Box Configuration for VAT Return
Peru	Configuring the Tax Box Mappings for the Purchase Ledger Configuring the Tax Box Mappings for the Sales Ledger
Philippines	Setting Up the VAT Declaration - Monthly Report Configuration for Purchase Journal Configuration for Sales Journal Configuration for Summary List of Sales Configuration for Summary List of Purchases Configuration for Summary List of Importation
Poland	Poland TDT is enabled for Poland. No specific configuration is needed.
Portugal	Configuring the Tax Box Mappings for the Periodic VAT Return and Annexes Configuring the Tax Box Mappings for the Annual VAT Declaration (Annex L and M) SAF-T files, see details in the additional settings section for each file in SAF-T
Qatar	Qatar TDT is enabled for Qatar. No specific configuration is needed.
Romania	Configuration for Romania Sales & Purchase Journal Configuration for Romania VAT 300 Declaration Configuration for Domestic Sales Purchase List
Saudi Arabia	Making Additional Settings for VAT Return
Serbia	Configuring the Tax Box Mappings for the VAT Return
Singapore	Setting Up GST Return Setting Up GST Return Submission Configuration for GST Transaction Listing (IAF)
Slovakia	Configuration for VAT Return Configuration for VAT Control Statement
Slovenia	Configuring the Tax Box Mappings for VAT Return - Form DDV-O Configuring the Tax Box Mappings for VAT Return - Outgoing Invoices Tax Book (KIR) - after 1.7.2025 Configuring the Tax Box Mappings for VAT Return - Incoming Invoices Tax Book(KPR) - after 1.7.2025)
South Africa	Configuration for VAT Declaration
South Korea	Configuring VAT Declaration
Spain	Setting Up the VAT Return - Form 303 Report Configuring the Tax Box Mappings for Form 390

Country/Region	Link
Sweden	Configuration for VAT Return
Switzerland	Setting Up the VAT Return
Taiwan	Configuration for VAT Declaration
Thailand	Deferred Tax Processing Setting Up the VAT Return - PP30 Configuration for VAT Return - PP36
Turkey	Turkey TDT is enabled for Turkey. No specific configuration is needed.
Ukraine	Configuring Tax Box Mappings for VAT Return Configuring Tax Box Mappings for Outgoing Tax Invoices Configuring Tax Box Mappings for Incoming Tax Invoices
United Arab Emirates	Setting Up the VAT Declaration Report
United Kingdom	Making Additional Settings for the VAT Return Report
Vietnam	Configuring Tax Box Mappings for VAT Declaration

Time-Dependent Taxes (Two-System Landscape)

In countries/regions where time-dependent tax calculation (TDT) is active, certain tax rates are effective within user-specified timeframes to allow you to adapt to current or planned changes to tax rates.

Typically, changes to tax rates have meant creating new tax codes and maintaining dozens of tables. In countries/regions where time-dependent tax calculation (TDT) is active, you can simply maintain existing tax rates. When you're informed about rate changes, you can add a new validity period to your existing tax codes. When the new tax rate becomes valid, all of your line-item calculations automatically use the correct rate. TDT reduces your tax rate maintenance and also reduces the risk of inconsistencies between your sales and finance documents.

Activating Time-Dependent Taxes

There are two methods for activating time-dependent taxes. Which method you use depends on whether you've previously activated the country/region solution in SAP S/4HANA Cloud Public Edition.

If you haven't previously activated the target country/region, time-dependent taxes are active as soon as you activate that target country/region. If you've previously activated the target country/region in SAP S/4HANA Cloud Public Edition, then you must migrate your existing custom-created and transactional data. Where TDT is active, rather than requesting expert configuration, you now create and maintain your tax codes.

ℹ Note

In countries/regions where time-dependent tax calculation is active, tax codes and tax rates delivered by SAP are standard reference content. These examples may not correspond with current legal requirements. It is your responsibility to ensure that you keep up with all changes to the tax requirements for your country/region and to create, update, and maintain tax information as necessary.

TDT must be activated in both your quality and production systems. Tax rate changes and new tax codes can only be transported from the quality system to the production system when TDT is active in both systems. Tax rate changes and new tax codes are transported from the quality to the production systems when the solution builder project is released. Tax rate changes should be made only if a real tax rate change is known. Likewise, you should create new tax codes in your quality system only when you need them in your production system. Any changes to the tax configuration in the quality system are automatically transported to the production system and can't be changed or deleted.

These same cautions should be applied when you're creating or maintaining tax codes for testing purposes. Changes that you make in your testing system for testing purposes are transported to your production system when the solution builder project is released unless you revert the changes.

All testing needs to be performed in your testing system, not your production system, at the stages of the process as described here.

Deletion of tax codes isn't currently supported. If you must maintain tax rates retroactively, be aware that any later tax rates will be deleted and will need to be recreated in chronological order. There's a system check in place to prevent modification of past tax rates. This check can be switched off. Contact your service center to request that this check be switched off.

Please note that when you activate TDT, you can see the previous timeframes for those tax codes, along with the corresponding tax rates. If for any reason this information is confidential and shouldn't be displayed, then you shouldn't activate TDT.

For a full explanation of the migration process, see Activating Time-Dependent Taxes (Two-System Landscape).

How It Works

Generally, you begin by using the Define Tax Codes for Sales and Purchases (`101016`) configuration activity to add a validity timeframe to an existing tax code. For example, let's say that you find out that the rate of tax code V1 in Germany will change from 19% to 19.5% as of December 15, 2021. In this configuration activity, enter the target country/region, the tax code, and a valid-from date. This shows you the **Validity Periods** for this tax code. Add the new rate in the **Amount** column and make the necessary changes to the validity timeframes, then save your changes. The system doesn't permit gaps between timeframes, so it automatically delimits based in the new valid-from date. In this example, where December 15, 2021 is the new valid-from date, the system automatically delimits the previous validity period, which ends as of December 14, 2021.

If you want to activate or deactivate a new tax type, you must create a new tax code. For example, you can't activate the **Travel Expenses (%)** tax type and deactivate the **Input Tax** tax type in an existing tax code. You must create a new tax code to make that change.

Additional Important Information

For additional important information regarding the activation of time-dependent taxes, see SAP Notes 2809073, 2818970, 2819322, and 2937776. Also see the **Configure Tax Solution** available at the SAP Roadmap Viewer.

For countries/regions where TDT is active, you must create and maintain your tax codes rather than contacting your service center for expert configuration for tax codes.

TDT doesn't allow you to maintain tax codes for a foreign country/region. For example, if you have TDT active for Germany, you can't add foreign tax codes for use with a German company code. Foreign tax codes created in this way lack the connections to the relevant foreign registration, business, and tax processes. Further, foreign tax codes created using TDT don't support either the reporting requirements of the additional countries/regions or any additional currencies and exchange mechanisms.

How to Use Time-Dependent Taxes (English Only)





Open this video in a new window

How to Activate Time-Dependent Taxes (English Only)



Open this video in a new window

ℹ Note

Captions are available for **multiple languages**. Use the **CC** (Closed Captions) button in the video player to check which languages are supported.

You can also use the **Search within video** field to search for specific text in the English or German captions.

Integration with SAP ERP HCM Payroll

You can use the **Maintain G/L Account Tax Attributes for Time-Dependent Taxes** (103423) configuration activity to ensure that your tax-relevant HR postings contain the proper valid-from dates for the respective tax rates. This configuration activity can only be used for company codes corresponding to a country/region for which time-dependent tax calculation has been enabled. When using this configuration activity, your system checks to ensure that the tax code has been maintained for that G/L account.

If both of these conditions are met, you can use the configuration activity to maintain the tax code and the valid-from date. Before changes are saved, your system performs two more checks. It checks to verify that the tax code as maintained using the **Maintain G/L Account Tax Attributes for Time-Dependent Taxes** (103423) configuration activity is identical to the tax code as maintained in the **Manage G/L Account Master Data** app. You can also check the tax category in the **Manage Chart of Accounts** app. The system also checks the valid-from date of the tax code as maintained in the **Manage G/L Account Master Data** app against the valid-from date in the tax code master data. If both of these checks return identical results, your changes are saved.

Please note that VAT calculation must be used only after consulting your tax advisor. See also the information related to Integration with SAP ERP HCM Payroll and Postings Relevant to Value-Added Tax.

Related Information

SAP Note 2809073
SAP Note 2818970
SAP Note 2819322
SAP Note 2937776

Activating Time-Dependent Taxes (Two-System Landscape)

Explains how to migrate your data when you activate time-dependent taxes.

Time-dependent taxes (TDT) are activated at the country/region level. When you activate TDT for a country/region that you've previously activated in SAP S/4HANA Cloud Public Edition, you must migrate your tax-relevant transactions to new tables in your SAP S/4HANA Cloud Public Edition system.

This migration process comprises several steps and involves your configuration expert and your G/L accountant. Your configuration expert needs the same minimum authorizations as the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template. Your G/L accountant must have the same minimum authorizations as the **General Ledger Accountant** (SAP_BR_GL_ACCOUNTANT) business role template.

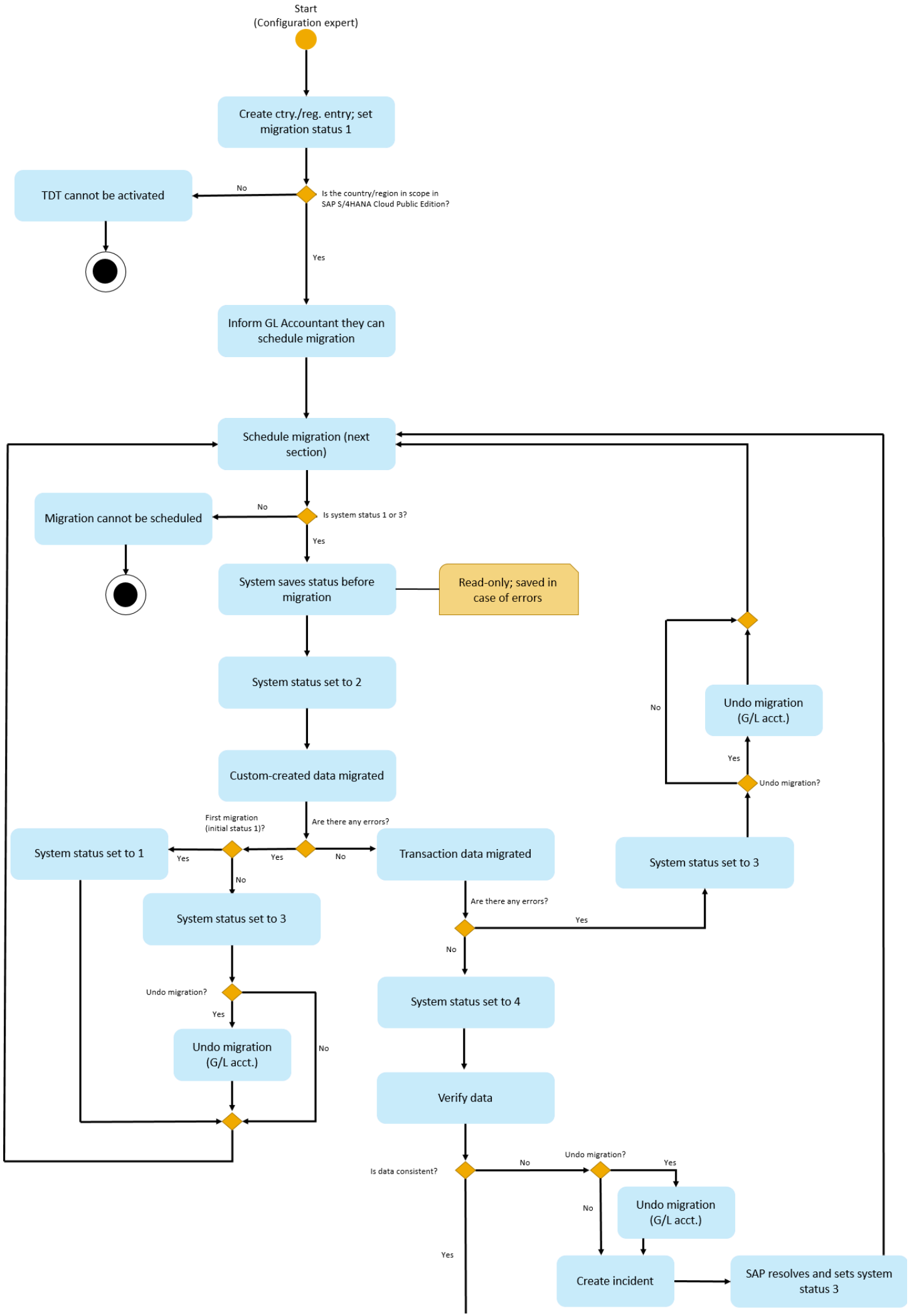
Your migration passes through a sequence of up to five statuses as you complete the process. It might be helpful to think of these as statuses 1 through 5. The following description of how you carry out the migration refers frequently to these statuses, as do the accompanying graphics. Status 6 is the default status if you're activating the target country/region in SAP S/4HANA Cloud Public Edition for the first time.

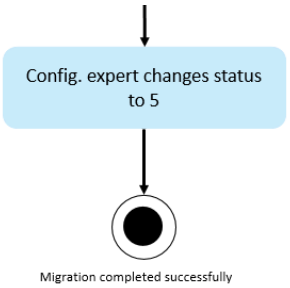
Status 1	**Migration initiated (but not yet started)**
Status 2	**Migration running**
Status 3	**Error(s) occurred during migration**
Status 4	**Migration complete (pending verification)**
Status 5	**Active (manual verification complete)**
Status 6	**Active (via content deployment)**

Please note that your system is closed to postings in statuses 2, 3, and 4. You likewise can't perform any maintenance on your tax codes, tax rates, or conditions in statuses 2, 3, or 4. Further, you shouldn't perform such maintenance if your system reverts to status 1, as is explained in the corresponding sections.

The following graphic shows a simplified, complete task diagram of the migration process:

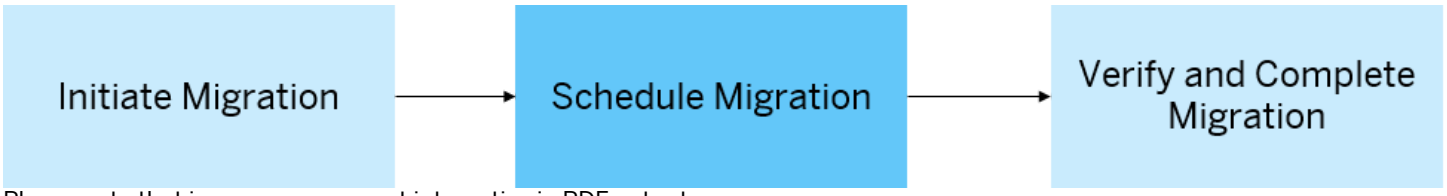
Migration Process for Time-Dependent Taxes (Diagram)


Start
(Configuration expert)
Create ctry./reg. entry; set migration status 1
Is the country/region in scope in SAP S/4HANA Cloud Public Edition?
No
TDT cannot be activated
Yes
Inform GL Accountant they can schedule migration
Schedule migration (next section)
Is system status 1 or 3?
No
Migration cannot be scheduled
Yes
System saves status before migration
Read-only; saved in case of errors
System status set to 2
Custom-created data migrated
Are there any errors?
First migration (initial status 1)?
Yes
No
System status set to 1
System status set to 3
Undo migration?
Undo migration (G/L acct.)
Transaction data migrated
Are there any errors?
Yes
No
System status set to 3
Undo migration?
Undo migration (G/L acct.)
System status set to 4
Verify data
Is data consistent?
No
Undo migration?
Yes
No
Undo migration (G/L acct.)
Yes
Create incident
SAP resolves and sets system status 3



You can think of the migration as occurring in three main stages, as depicted in the following interactive graphic. You can roll over each element in the graphic for more information, or select the element to link directly to the information relevant to that stage in the migration process:

This image is interactive. Hover over each area for a description. Click highlighted areas for more information.



Please note that image maps are not interactive in PDF outputs.

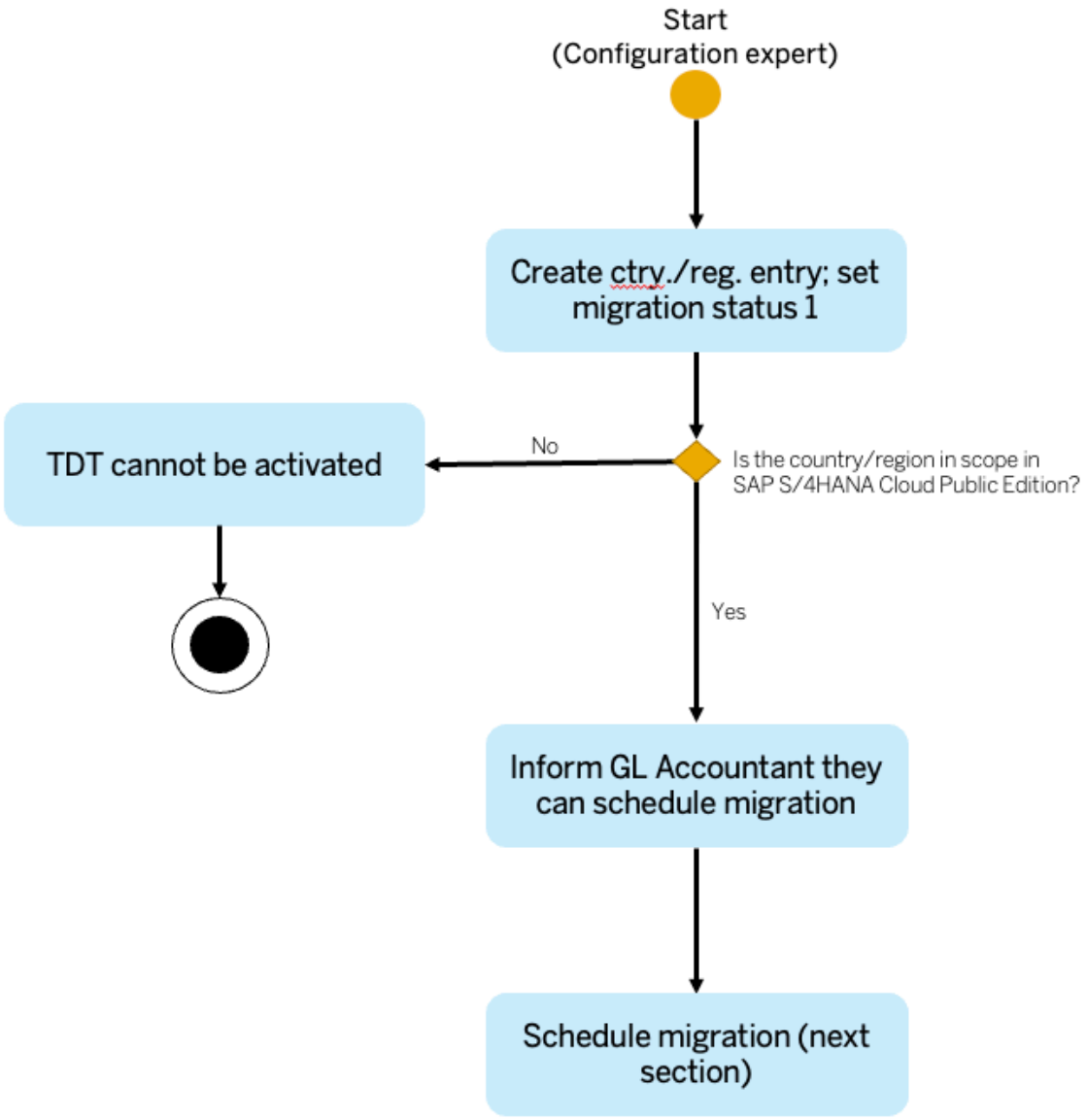
⚠ Caution

To activate TDT properly, you need to conduct the migration as described here sequentially in any system you develop or test in and then your production system. Don't release any solution builder projects containing any tax information (changed tax codes, tax rates, validity periods, tax box mappings, etc.) until TDT is active in all of your systems. Otherwise, you'll create potentially serious data inconsistencies across your systems.

Initiating the Migration to Time-Dependent Taxes (Two-System Landscape)

The first phase of your migration to time-dependent taxes is initiating the migration process.

Diagram: Initiating the Migration (select to expand)



Your configuration expert initiates the migration. From your SAP Fiori launchpad, open the **Maintain Migration Status for Time-Dependent Taxes** app. Select **New Entries**, enter the country/region key for the country/region for which you want to activate time-dependent taxes, and then, under **Migration Status**, select **Migration initiated (but not yet started)**. This status (status 1) enables the G/L accountant to schedule and begin the migration.

ℹ Note

You cannot carry out TDT migration while Intermediate Data Retention (IDR) recording is running. If you have already started IDR recording, either complete it before starting the TDT migration or reset the IDR initial load.

We recommend that you first carry out the TDT migration and then start IDR recording. For more information, see SAP S/4HANA Cloud Mapping Entity FINS_CFIN_MWSKZ_TIMEDEP (Tax Rate Key (Time-Dependent)).

Related Information

Activating Time-Dependent Taxes (Two-System Landscape)
Scheduling and Running the Migration to Time-Dependent Taxes (Two-System Landscape)
Verifying and Completing the Migration to Time-Dependent Taxes (Two-System Landscape)

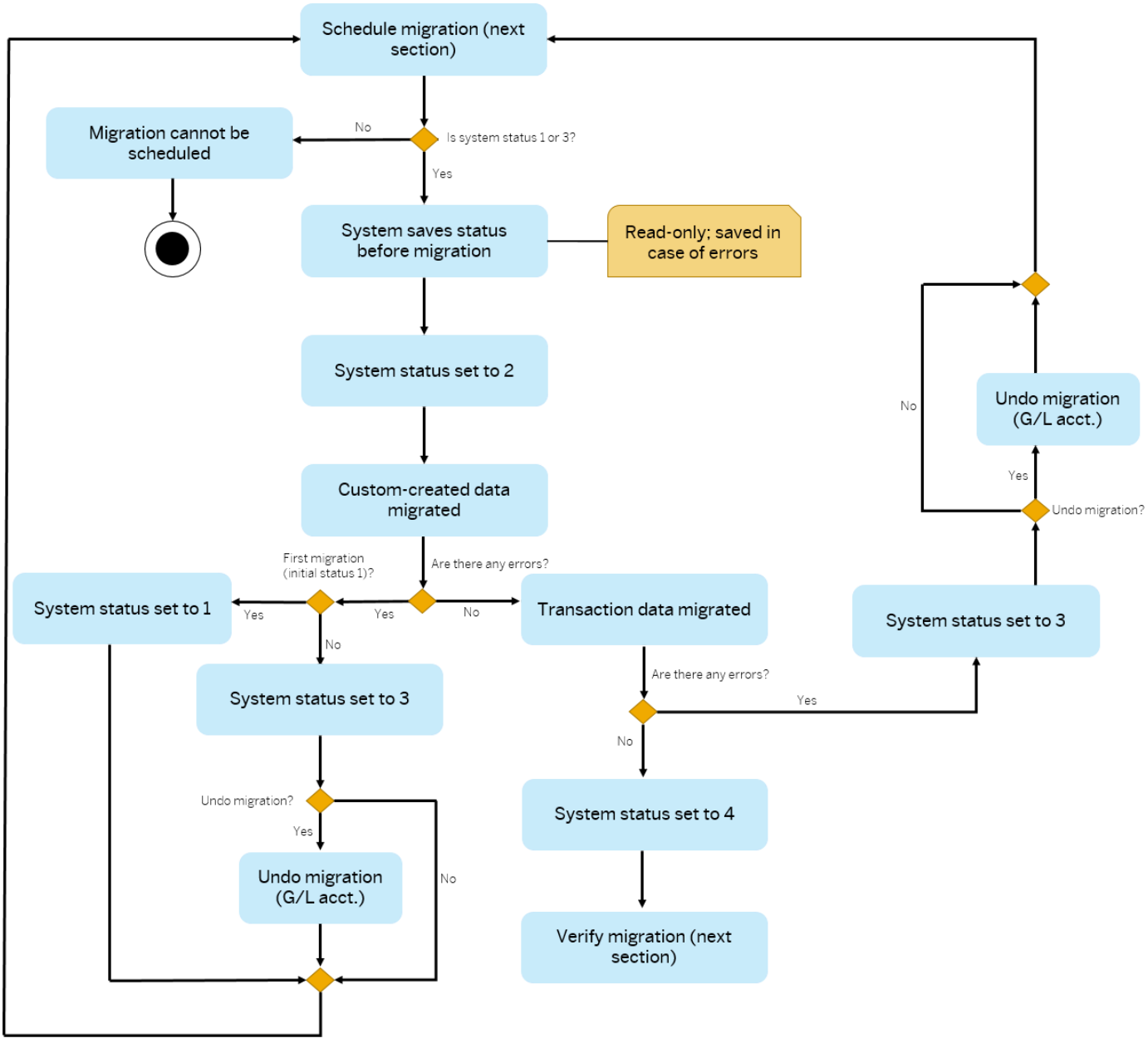
Scheduling and Running the Migration to Time-Dependent Taxes (Two-System Landscape)

Once you initiate the migration to time-dependent taxes, you can schedule and run it.

Prerequisites

Before you can schedule the migration, you must first initiate it.

Diagram: Scheduling the Migration (Select to Expand)



Once your configuration expert initiates the migration and sets the migration status to status 1, your G/L accountant can schedule the migration. The migration can also be scheduled from status 3, as is described in the following, but generally is run from status 1.

To schedule the migration, log on to the SAP Fiori launchpad and select the **Schedule Tax Jobs** app under **Tax Processing**. Choose the plus sign (+) to create an entry, and select the Schedule Migration of Time-Dependent Taxes job scheduling template. Enter the country/region key for the migration country/region, such as DE. SAP recommends first scheduling a **Simulation Run**. This option is selected by default. This simulation tells you how long you can expect the migration to take and the date as of when time-

dependent taxes are available in your system. It also tells you whether it has identified any errors in your transaction data or in your custom-created data. You can use the information from this report to correct any such errors before scheduling the migration. During the simulation, as during the later migration, the system is checking your line items for a company code corresponding to the migration country/region and a tax code. If either are missing, the simulation report indicates an error. The report likewise indicates an error if mandatory fields aren't filled in the tables to be migrated. The system also checks for errors your custom-created data that is to be migrated, such as custom tax rates or tax box mappings.

Once you've resolved any identified errors to your satisfaction, your G/L accountant can schedule the migration. Uncheck **Simulation Run** when you initiate the migration. Several things occur in your system when the migration is initiated. First, the migration report is initiated. The system records which status the migration was started from, that is, whether it was status 1 or status 3, which are the only statuses from which you can schedule migration. This status information is important if there are any errors in the migration of your custom-created data. The system then triggers status 2, **Migration running**. When your migration status is 2, your system is locked to new postings. This lock prevents problematic data inconsistencies.

⚠ Caution

Do not, under any circumstances, manually revert to status 1 while the migration is running. Doing so causes serious errors, including but not limited to a data dump. If you need to reopen your system to postings, or if you discover that you needed to perform other maintenance before scheduling the migration, you must let the migration finish. You can then undo the migration (see **Verifying the Migration**) and rerun it, or verify and complete the migration.

Once in status 2, the system first migrates your custom-created data. If there are no errors in this phase of the migration, then the system migrates your transactional data. If there are no errors during the migration of your transactional data, then the system moves to status 4. In this status, you verify the migration.

If the system encounters any errors during either phase of the migration, there are a number of things that you can do. If the error occurs during the migration of custom-created data, the system checks to see which status the migration was initiated from. If the migration was initiated from system status 1, the system treats it as an initial migration attempt. This means that it generates the migration log and reverts the system status back to status 1. This reopens your system to new postings, allowing you to continue your daily business while you resolve the errors in your custom-created data that prevented that data from being migrated. Please note, however, that if your system reverts to status 1, you can't change tax codes, tax rates, or conditions, because any new custom-created data won't be included in a subsequent migration.

Otherwise, the system generates the log and sets the status to status 3. This is also the status if there are errors during the migration of your transaction data. These errors can include, for example, missing data in mandatory fields. If you reach status 3, you should rerun the migration. In most cases, simply rerunning the migration resolves the error. If it doesn't, undo the migration and rerun it. If you still have errors, undo the migration to open your system to new postings and create an incident for component **FI-GL-GL-F-2CL**.

Once you undo a migration, you shouldn't change custom tax codes or perform tax rate maintenance until you complete your migration. As with a reversion to status 1, tax codes, tax rates, or conditions modified after undoing a migration aren't included in a subsequent migration. For example, let's say you have tax code **Z9** with one condition, that condition being that **Z9** is a 19% input tax. Now let's say that you initiate the migration, then wish to undo it because you want to change the conditions for **Z9**. When you change the conditions for **Z9**, you give it a 10% nondeductible component and a 9% input component. When you migrate your data, this new condition isn't migrated.

To undo the migration, simply open the **Schedule Migration of Time-Dependent Taxes** job scheduling template. Enter the **Migration Country**, make sure that **Simulation Run** is unchecked, and check **Undo Migration**. Scheduling this job reverts the migration of both your custom-created and transactional data.

Typically, however, issues flagged in the migration report are information messages, not errors. These messages are generated in cases where there are inconsistencies or missing data that you may wish to correct in your production system. These messages might tell you, for example, that the version is missing. Another example might be if you used a previous tax procedure and changed to a new tax procedure, or edited the conditions of your tax procedure. The migration report may inform you that these

conditions weren't migrated because they don't match the conditions of the current version of the tax procedure. An example of this kind of message would be a message telling you that "Condition Type A in Procedure B doesn't exist for tax code C".

Additionally, you can safely ignore a message letting you know that "Migrator A has decided to skip the migration".

Otherwise, the expected result is setting the system status to 4, **Migration complete (pending verification)**.

Related Information

Activating Time-Dependent Taxes (Two-System Landscape)
Initiating the Migration to Time-Dependent Taxes (Two-System Landscape)
Verifying and Completing the Migration to Time-Dependent Taxes (Two-System Landscape)

Verifying and Completing the Migration to Time-Dependent Taxes (Two-System Landscape)

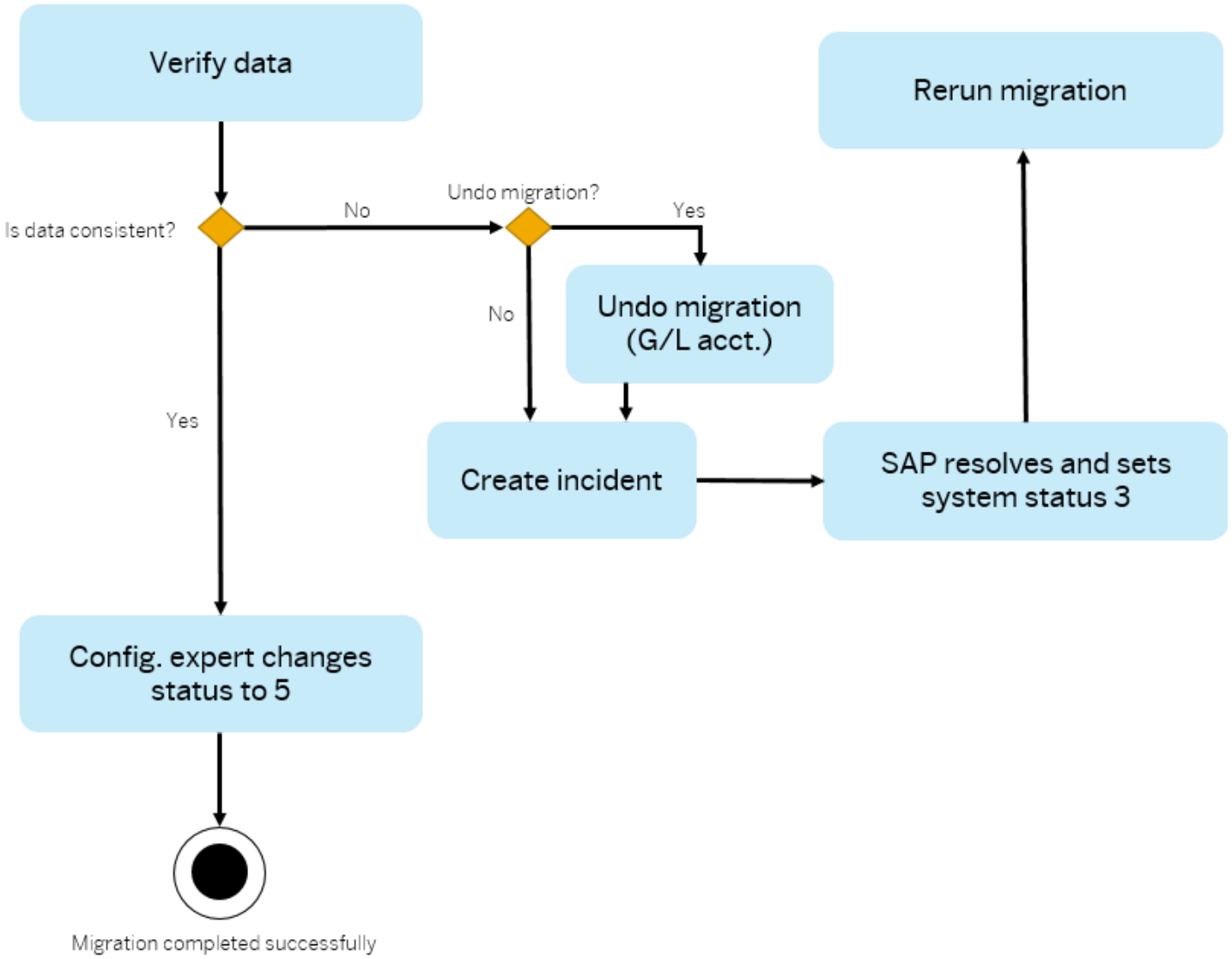
Once you've scheduled and run the migration to time-dependent taxes, you need to verify and complete the migration.

Prerequisites

Before verifying the migration, you must first initiate and then schedule the migration. Once your migration status is 4, you can verify and complete the migration.

You can undo the migration from status 4 in your testing system, but once you set system status 5 - **Active (manual verification complete)**, you can no longer undo the migration. If for any reason, you don't want to activate TDT, you must undo the migration from status 4. The process for undoing the migration is described here: Scheduling and Running the Migration to Time-Dependent Taxes (Two-System Landscape).

Diagram: Completing the migration from status 4 (select to expand)



Typically, when you schedule the migration and run the migration report, the system status is 4 -**Migration complete (pending verification)**. In this phase, you should first run the Post-Migration Check Report, which displays the log of the migration of your transactional data. You then should test to make sure that the migration completed successfully. You can, for example, make test postings in your testing system using apps like **Post General Journal Entries** and check the relevant tax information there. You can also run tax reports or use the **Display Tax Information per Country** app to verify that the data was migrated properly. For tax codes that you didn't maintain, the valid-from date should be January 1, 1900.

If your data is correct and consistent, your configuration expert can use the **Maintain Migration Status for Time-Dependent Taxes** app to set the migration status to status 5 - **Active (manual verification complete)**. The migration is complete in this system at this point. If after testing you decide not to activate TDT, then undo the migration. The process for undoing the migration is described here: Scheduling and Running the Migration to Time-Dependent Taxes (Two-System Landscape).

Please note that you can only undo the migration from status 4. Once you set your system status to 5 - **Active (manual verification complete)**, the migration can no longer be undone.

→ Remember

The migration needs to be complete in all systems you use for development or testing before you migrate in your production system.

Now, with the migration complete in any system you use for development or testing, you must repeat this process in your production system, as mentioned in the topic on Activating Time-Dependent Taxes (Two-System Landscape). Initiate, run, verify, and complete the migration in your production system before releasing any solution builder projects containing tax information, such as changed tax codes, tax rates, tax box mappings, or validity periods. For verification in your production system, use the

Display Tax Information per Country app and the Post-Migration Check Report job to verify that your data was migrated correctly, as previously described.

Once the migration is complete in your production system and your TDT status is 5 - **Active**, your system is open to new postings. At this point you can also use the **Define Tax Codes for Sales and Purchases** (`101016`) configuration activity to maintain tax codes, rates, and conditions and transport these changes to your production system. You can also maintain your tax box mappings using the **Maintain Tax Box Mapping for Advanced Tax Return** (`103188`) configuration activity. Please note that this activity may not be necessary or available, depending on your local tax requirements. It is your responsibility to verify whether this activity is necessary. Please note as well that as with the migration in your other systems, you likewise can't undo the migration from status 5 in your production system.

If there are any inconsistencies in the migrated data, please either open an incident for component **FI-GL-GL-F-2CL** or undo the migration and then open an incident. Once your incident is resolved, SAP reverts the system status to 3, enabling you to rerun and complete your migration.

Important Information About Verifying and Completing the Migration in Your Production System

There are important differences in how you should test and complete the migration in your testing and production systems. In your production system, you can't use the **Define Tax Codes for Sales and Purchases** (`101016`) configuration activity to make test postings in status 4 in your production system. This kind of testing is blocked by the system to prevent potentially serious data inconsistencies. The block also prevents you from creating tax rates and making postings that can't be reversed if you decide to undo the migration after completing your testing. As mentioned, for verification in your production system, use the **Display Tax Information per Country** app and the Post-Migration Check Report job.

When verifying the migration in your production system, please be aware of the potential impacts of particular web services. The calls of these services need to be adapted to function properly with TDT. Information on how to make the necessary changes to these web services is available in SAP Notes 2819322, 2818970, and 2809073.

Activation means the same thing in your production system that it meant in your development and testing systems. That is, once you set your system status to 5 - **Active**, you can no longer undo the migration. To avoid any potential problems, please read the SAP Notes linked in this topic and make any necessary adaptations to the impacted web services before using the **Maintain Migration Status for Time-Dependent Taxes** app to set the system status to status 5 - **Active**. Once TDT is active in your production system, you can use the **Define Tax Codes for Sales and Purchases** (`101016`) configuration activity to perform tax rate maintenance. For further information, see SAP Note 2937978.

→ Remember

Do not use any transactional apps while your TDT activation is in status 4 in your production system. Once you begin the TDT migration, you can't post any tax-relevant transactions for the respective country/region until the migration and activation are complete. To prevent potentially serious data inconsistencies, the system blocks postings from transactional apps when your TDT migration status is 2, 3, or 4. Postings for the respective country/region are enabled again once that country/region is active (status 5).

Related Information

Activating Time-Dependent Taxes (Two-System Landscape)
Initiating the Migration to Time-Dependent Taxes (Two-System Landscape)
Scheduling and Running the Migration to Time-Dependent Taxes (Two-System Landscape)
Tax Box Mapping
SAP Note 2819322
SAP Note 2818970
SAP Note 2809073
SAP Note 2937978

Defining Tax Codes for Time-Dependent Taxes (Two-System Landscape)

When time-dependent tax calculation (TDT) is active, you can maintain tax codes, rates, and tax code properties.

Once time-dependent tax calculation (TDT) is active for a target country/region, you can use the **Define Tax Codes for Sales and Purchases** (101016) configuration activity to maintain tax rates and tax codes. This option is especially useful for maintaining multiple validity periods for a single tax code and for preparing for upcoming changes to tax rates. You should not delete or add conditions to existing tax codes. If you want to change the active conditions, you need to create a new tax code. This configuration activity allows you to add validity periods to existing tax rates to prepare for current or forthcoming changes to those tax rates. Please note, however, that you can use this configuration activity to perform tax code maintenance only in system status 5 or 6. For more information on these system statuses, see Activating Time-Dependent Taxes (Two-System Landscape).

Performing Tax Code Maintenance

Your configuration experts maintain your tax codes and the related information using the **Define Tax Codes for Sales and Purchases** (101016) configuration activity. To do this, they need the same minimum authorizations as those delivered with the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template.

Once in the configuration activity, select the target country/region. To change a tax rate, enter the date from which the new tax rate is valid, then select the tax code that you want to update. When you select a **Tax Percentage Rate** box to update, you can also select **Periods** to see which tax rates correspond with this tax type and when they're valid. It's vital that you ensure that the valid-from and valid-to dates used in the **Tax Group** definition of the Maintain Tax Box Mapping for Advanced Tax Return (103188) configuration activity constitute a range that includes the valid-from date of the tax rate maintenance.

With TDT, individual tax codes are likely to have multiple validity periods, each with a different tax rate. The descriptions for the tax codes, however, are shown for all validity periods. To avoid confusion, you may wish to remove the rate from the description when maintaining your tax codes. For example, if the current description for tax code **V1** is "V1 – 19% Input Tax Domestic", you may want to change the description to "V1 – Input Tax Domestic". This way, the description is clear and accurate regardless of the validity period of the tax rate you're maintaining.

To create a new tax code, enter the target country/region and then the desired tax code identifier. If the tax code exists for that country/region, the system directs you to the maintenance view, as previously described. If the tax code doesn't exist, you're prompted to enter the mandatory information for the new tax code, including the tax type. If you use this configuration activity to create tax codes, you also must maintain the relevant tax properties, such as tax box mappings and tax account determination.

Please note that when you create or maintain a tax code, you must enter the rate and/or code information in your sales pricing records in your quality and production systems separately.

→ Tip

To display a list of tax codes for a country/region, enter the country/region key and then enter '*' in the **Tax Code** field. This opens up a list of tax codes for that country/region.

Undoing Changes Made During Testing

Let's say that you know of a new tax rate change or you need to create and test a new tax code. When you perform your tax code maintenance and testing in your quality system, you may discover that the tax code doesn't function as intended. For example, the validity period may have the wrong dates, or a percentage may have been entered incorrectly. If you discover such errors before the changes are transported to your production system, you have two options for correcting your tax codes.

If you need to deactivate conditions, simply select the condition and use the **Deactivate Line** function. This function is only available when the tax code has one validity period. If you need to undo changes made for a tax code with multiple validity periods,

use **Delete Last Rate Change**. This option reverts the tax rates for this tax code to the previous saved settings.

> **Note**
>
> Once time-dependent taxes (TDT) are active for a target country/region you can maintain your tax box mappings, tax groups, and tax box structures. For more information, see Tax Box Mapping.

Related Information

Tax Box Mapping

Additional Tax Information

Audit-Based Data Restrictions

The time-restricted access feature for external auditors is enabled for the following apps to limit the data external auditors can access.

- **Create Add. List for Advance Return on Sales/Purchase Tax**
- **Create Advance Return on Sales/Purchase Tax**
- **EC Sales List in Data Medium Exchange (DME) Format**
- **Manage Proposed Tax Postings**
- **Tax Declaration Reconciliation**
- **Tax Reconciliation Account Balance**

To activate this feature, you must create a **Generic Audit Filter** using the **Manage Generic Audit Filter** app. With this filter, you specify the audit period and the company code filtering criteria.

The date interval in the audit period filter will restrict the accessible data to journal entries only, with posting dates, that is for the **Tax Reconciliation Account Balance**, and **Manage Proposed Tax Posting** apps, or the tax reporting date, that is for **Create Add. List for Advance Return on Sales/Purchase Tax**, **Create Advance Return on Sales/Purchase Tax**, and **EC Sales List in DME Format** apps, that are in that audit period interval.

For the **Tax Declaration Reconciliation** app, the date interval in the audit period filter will restrict the accessible data to journal entries only, with posting dates that fall into that audit period interval. This means, when the audit period is specified as part of a full posting period, such as 14. March 2024 to 05. April 2024, the data will be restricted to full periods March and April of 2024, containing data for the posting date interval from 01. March 2024 to 30. April 2024.

The company code criteria will restrict the data in the apps accordingly to journal entries only that have been posted with that company codes.

The defined audit filters must be assigned to the external audit user with the **Manage Generic Audit Filter Users** app. After the filter activation for the audit user, data displayed in the apps is restricted to the filter criteria in the active generic audit filters.

You can create several filters for the same audit user and activate them simultaneously. If you do so, the combined filter criteria will be applied as restriction condition.

Related Information

Generic Audit Filter

F7285 - Manage Generic Audit Filter

F7503 - Manage Generic Audit Filter Users

External Tax Audit

Automatic Tax Posting

When posting a document, the system creates the tax items automatically. The data required to do this, the posting key, and the account number of the tax account must be defined in the system.

The posting keys are already defined in the system. The accounts are chart of account-specific. To post taxes, you must therefore define the account numbers of your chart of accounts in the system.

To enable the tax accounts to be specified, an account key has been assigned to the tax types. You enter your tax accounts in the system for each chart of accounts and account key. For the tax types “Input tax” and for “Travel expenses”, for example, the same account key (VST) is specified. You can enter a tax account for all three tax types.

You can distinguish tax accounts by tax codes. That is, you can determine whether for a tax transaction represented by an account key, a single tax account should always be posted to, or separate accounts according to the tax code in each case. Since the advance return for tax on sales/purchases is created from the documents, you don't need to differentiate tax accounts according to the tax code.

If the non-deductible portion of the input tax can be assigned, it can be apportioned to the G/L accounts and fixed asset accounts that have the same tax code. If it can't be assigned, it's posted to a separate account. Whether or not the posting can be assigned is predefined for the tax types that the system defaults. If you want to post the input tax amount to a separate account, you define the account number for the automatic posting in the system.

If you have developer extensibility enabled, you can use API class `CL_FOT_ACCOUNT_DETERMINATION` to check the account determinations in your system, including in any custom implementations. API class `CL_FOT_ACCOUNT_DETERMINATION` has a method to determine a tax account (`DETERMINE_TAX_ACCOUNT`) that uses specific parameters, such as **Company Code**, **Tax Code**, **Transaction Key**, and **Tax Reporting Country/Region** to return that tax account. For more information on developer extensibility, see Developer Extensibility.

Base Amount and Cash Discount

The tax amount that you input when entering an invoice is checked by the system when the invoice is posted. Alternatively, you can have the system calculate the tax amount automatically. The tax amount is usually calculated from the expense or revenue item. This is the tax base amount. The composition of the base amount varies based on the country/region. The base amount can (but does not have to) include the cash discount amount. This information must be defined for each company code.

Reporting to the Tax Authority

You are required to create an **advance return for tax on sales/purchases** on a regular basis. To do this, you can make use of the various country/region-specific programs in the system.

To credit the tax accounts, you must transfer the tax amounts to a tax payable account. To do this, you can opt for one of the following methods:

- Creating the postings using the program for the advance return for tax on sales/purchases
- You post the tax amounts to a tax payable account manually, using the Post Tax Payables function.

For more information on this subject, see the documentation on Closing Operations, Statutory Reporting, and Reporting and Analysis.

Specifications in G/L Accounts

You can make specifications for calculating, checking, and posting taxes on sales/purchases in three fields in **G/L accounts**. They are:

Tax category

By means of this field, you determine in the master record of a G/L account whether the account is a tax account, a tax-relevant G/L account, or a G/L account that is not tax-relevant. For a tax-relevant G/L account, you can determine the tax codes that can be used to post to the account.

Posting without taxes allowed

By means of this field, you can indicate the accounts that are tax-relevant, but for which posting of non-tax-relevant transactions without a tax code is allowed. This is especially necessary for postings with a jurisdiction code to avoid having to define “dummy” jurisdictions. For tax processing with a jurisdiction code, the jurisdiction code is also ready for input on the G/L accounts/asset screen, in addition to the tax code.

Automatic posting only

For each account, you can use this field to determine whether you want to have the account posted to by the system only, that is automatically, or manually as well.

See also: Reporting and Analysis

Specifications for the Tax Type

When you define your tax codes, the system defaults certain tax types. These tax types that have been defined in the system for specific countries/regions. Input tax, output tax, and non-deductible input tax are examples of tax types used in Germany.

The system determines which tax types are to be displayed by means of the country/region key. A calculation procedure is specified for each country/region key, and this procedure contains the country/region-specific specifications for calculating and posting the different tax types.

When you define the calculation procedure, you must answer the following questions concerning each tax type:

- What is the **base amount** for calculating the tax? This can be the expense or revenue amount or, as with sales equalization tax in Belgium, a tax amount.
- Which **calculation type** is used to determine the base amount: percentage included or percentage separate? With very few exceptions (such as for travel expense accounting in Germany), the base amount is normally determined percentage included.

Example

The tax amount is 15%.

Percentage included

Tax amount = invoice gross amount * (tax rate/100 + tax rate)

150 = 1150 * (15 / 100 + 15)

Percentage separate

Tax amount = invoice net gross * tax rate/100

150 = 1000 * 15 / 100

- To which **side of the account** must the tax amount be posted? The input and output tax is always posted in accordance with the G/L account and asset line items. For the tax to be posted additionally, the side of the account is determined depending on the input or output tax. For the acquisition and investment tax, for example, you post to the opposite side of the account.
- Should a possible **tax expense** be divided between the G/L account and asset line items or posted separately? If, for example, you have a non-deductible input tax amount, you can choose whether to post to a separate expense account or apportion the tax expense between the G/L account and asset line items.

The type of tax calculation and posting depends on the answers to these questions and the combination of those answers.

Account Key

Additional information about account keys used in tax code maintenance.

When you use the **Define Tax Codes for Sales and Purchases** configuration activity to maintain your tax codes, you see abbreviations in the **Account Key** column. Here is some additional information about the account keys.

VST: Input Tax

MWS: Output Tax

Input and output tax is calculated on revenue or expense items (base amount). The tax amounts are posted to separate tax accounts and refunded by the tax office (input tax) or paid to the tax office (output tax). The tax percentage rates vary based on the country/region and are determined when you define the tax codes.

The tax amount is determined as a percentage of the base amount, meaning that the tax amount is included in the invoice amount. Given a tax rate of 15 percent, the invoice amount, or the total of the expense or revenue items and the tax items together, would be 115 percent. To calculate the tax amount, the invoice amount is divided by 115 and multiplied by 15. The result is an amount corresponding to 15 percent of the base amount.

The tax amounts are automatically posted to tax accounts. The system always posts the amounts to the side of the account to which the other G/L account amounts are also posted.

The input tax can be completely or partially non-deductible. This part cannot be claimed from the tax office. The amount can be posted to a separate expense account, or it can be distributed to the G/L account and asset line items.

NAV: Non-Deducitible Input Tax

NVV: Non-Deductible Input Tax Distribution

If part or all of the input tax is non-deductible, you can post the tax amount to a separate expense account or distribute it to the G/L account and asset line items. You enter the tax percentage rates for the input tax portion and the non-deductible portion

under a shared tax code. If the entire input tax is non-deductible, you must specify for the tax code that zero percent input tax is to be calculated.

ESA: Output Acquisition Tax

ESE: Input Acquisition Tax

Acquisition tax is due on the cross-border movement of goods and services within the European Union (EU).

The receiving party must apply the acquisition tax at the local rate. This acquisition tax can also be posted as input tax. Any company that is entitled to reclaim input tax does not ultimately pay acquisition tax. When the incoming invoice is posted, the tax amount is posted both as a payable and as a receivable on the tax account.

Acquisition tax is calculated on the base amount of the invoice when it is issued. This calculation occurs at the latest by the 15th day of the month following the month when the goods/services were acquired, but may be earlier. In Germany, for example, this calculation occurs at the end of the month when the goods/services were acquired.

The tax rates vary between EU member states, but correspond to the standard domestic rates in each country/region.

Tax Codes

Tax codes are used to:

- Check the tax on sales/purchases amount in the document
- Calculate the amount of tax on sales/purchases automatically on request
- Calculate the non-deductible input tax portion
- Check if a tax account with tax type (input or output tax) can be posted to
- Determine the tax account

Tax Code Maintenance

Tax Code Maintenance enables you to handle various tax code properties. This functionality is possible for time-dependent taxes and tax jurisdiction code maintenance.

Use

In your system, you can maintain tax codes, tax rates, and tax code properties.

You can use the **Define Tax Codes for Sales and Purchases** configuration activity to maintain tax rates and tax codes. This option is especially useful for maintaining multiple validity periods for a single tax code and for preparing for upcoming changes to tax rates. You should not delete or add conditions to existing tax codes. If you want to change the active conditions, you need to create a new tax code. The configuration activity allows you to add validity periods to existing tax rates to prepare for current or forthcoming changes to those tax rates. For more information, see Time-Dependent Taxes (TDT).

The tax jurisdiction code maintenance is possible in some countries/regions. Further information for Canada can be found under Configuring the Processing of Indirect Taxes. For the United States, please see Sales and Use Tax.

Tax Reporting Date

The tax reporting date is the date on which taxes must be reported to the tax authority. The tax reporting date can be identical to the posting date or the document date. You can also define your own rules to determine the date.

Tax Reporting Determination

The logic described in this topic is valid only when the tax reporting date is active for a company code in a country/region where the tax fulfillment date is not relevant. For any other case, please see the country-/region-specific documentation. The process may vary slightly depending on the specific requirements of the respective country/region.

The tax reporting date is derived and checked as follows:

In some apps, when you post an invoice, you can enter the tax reporting date for the tax items. However, when the tax reporting date cannot be entered, the tax reporting date is derived from the posting date. You can also derive the tax reporting date from the document date. To do so, you can check the settings in the **Assign Company Code to Document Date for Tax Determination (106259)** configuration activity. The tax reporting date can also be changed using the **SAP Document and Reporting Compliance (DRC)**.

When you cancel an invoice, the tax reporting date is copied from the original document. As a key user, you can use custom logic for the **Reversal: Tax Reporting Date Derivation** Business Add-In (BAdI) to change the derivation logic. For more information, see SAP Note 2825513.

When you enter the tax reporting date manually, or the system copies it from the original document, the tax reporting date is checked according to the country/region requirements. In general, the tax reporting date must not be before the document date or the posting date. If this is the case, you get an error message when the tax reporting date is checked.

Exchange Rate Determination in Currency Translation of the Tax Amount

You can also use the tax reporting date to determine the exchange rate when performing currency translation of the tax amount. To do this, you use the **Edit Tax Information for Company Codes (105675)** configuration activity, and choose the option **Exchange Rate Determination According to Tax Reporting Date** in the field **Tx Crcy Transl**. Even if you have selected this option, you can change the tax reporting date in the document for reporting purposes later. The tax amount is not recalculated again if you do this.

Note

Changes to how the tax reporting date is derived may also impact the behavior of currency translations within RITA. For more information, please see Information on Currency Translation Where RITA Is Active.

Dependencies

You use these configuration activities to define and edit the tax reporting date:

- **Assign Company Code to Document Date for Tax Determination (106259)** to define the document date as the basis for the tax determination
- **Edit Tax Information for Company Codes (105675)** to activate the tax reporting date, and to define the exchange rate determination

Related Information

Tax Reporting Date and Tax Fulfillment Date
What Is SAP Document and Reporting Compliance?

Tax on Sales/Purchases for Down Payments

In the SAP system, down payments are posted to special reconciliation accounts (special G/L accounts). The following section describes how the tax on sales/purchases is to be dealt with for down payments.

Depending on the legal specifications of your country/region, you may or may not have to post tax on down payments. If as a general rule you **do not post any tax on sales/purchases**, you can hide the fields for the tax specifications. You do this via the special G/L account (down payment account):

You can create the master records with an account group for which the Tax Category field does not appear. You cannot then fill the field when you create the master record.

You achieve the same by leaving the Tax Category field in the master record blank. By doing this, all fields on tax are suppressed in the entry screens. For more information on the screen layout, see the documentation for Master Data.

Define Tax Code as Refund-Relevant Value Added Tax

Use

In the **Define Tax Code as Refund-Relevant Value Added Tax** (`103491`) configuration activity, you define which tax codes are relevant for VAT refund. You can also define the tax refund country/region for line items.

> **Note**
> The cross-country/-region tax ID is not available in SAP S/4HANA Cloud Public Edition.

The VAT refund directive requires Mandatory Data per Invoice in a VAT refund application. This includes the tax refund country/region of an invoice. Because FI documents don't include this information by default, you need to assign this information to a tax code for VAT refund.

Related Information

VAT Refund (EU)
Define Code for Goods and Services for Each VAT Refund Country/Region
Assign Code for Goods and Services to a G/L Account

Define Code for Goods and Services for Each VAT Refund Country/Region

Use

With the **Define Code for Goods and Services for Each VAT Refund Country/Region** (`103490`) configuration activity, you define the relevant VAT refund codes for each country/region. You can define subcodes for each VAT refund code, as needed.

The VAT refund directive requires the Mandatory Data per Invoice that is included in the VAT refund application. This includes the identification of a line item according to the nature of the acquired goods and services. These VAT Refund Codes for Acquired Goods and Services and Subcodes for VAT Refund for the relevant EU countries can be created in this configuration activity.

Mandatory Data per Invoice

The following data is mandatory in every invoice included in a VAT refund application:

- Name and full address of the supplier or service provider
- VAT identification number of the supplier
- Country/region of refund
- Date and number of the invoice or importation document
- Tax base and amount of VAT expressed in the currency of the country/region of refund
- Nature of the goods and services acquired, described according to VAT refund codes (VATRCd)

VAT Refund Codes for Acquired Goods and Services

In a VAT refund application, the nature of the acquired goods and services in an invoice must be indicated using VAT refund codes.

Example Invoices

Net Amount	VAT Refund Code (VATRCd)	Description
100 EUR	1	Fuel
70 EUR	6	Accommodation
55 EUR	10	Other

Subcodes for VAT Refund

Definition

Subcode of a VAT refund code (VATRCd) for acquired goods and services.

Use

In a VAT refund application, the nature of the acquired goods and services must be indicated according to VAT refund codes and subcodes in an invoice.

Example Invoices

Amount	VATRCd	Subcode	Description
100 EUR	1 = Fuel	1.1.3	Fuel for vehicles with a mass of over 3.5 tonnes and not used for the transport of persons - liquid propane gas
70 EUR	6 = Accommodation	6.1	Expenditure on lodging and accommodation for officers and employees of the enterprise
55 EUR	10 = Other	10.3	Flat rate rebate

Related Information

VAT Refund (EU)

Define Tax Code as Refund-Relevant Value Added Tax
Assign Code for Goods and Services to a G/L Account

Assign Code for Goods and Services to a G/L Account

Use

With the **Assign Code for Goods and Services to a G/L Account** (103492) configuration activity, you assign the tax refund code and, if required, the subcode to the combination of tax refund country/region, chart of accounts, and G/L account.

To avoid a VAT refund code having to be assigned to each line item manually, you can assign the line item to a G/L account here. If a line item is posted to a corresponding account that is assigned to a VAT refund code and any required subcode, the relevant code for the line item can be determined with the VAT Refund application.

Related Information

VAT Refund (EU)
Define Tax Code as Refund-Relevant Value Added Tax
Define Code for Goods and Services for Each VAT Refund Country/Region

Withholding Tax

Withholding tax is tax that is charged at the beginning of the payment flow in some countries/regions. Generally, the party subject to the tax doesn't directly pay the withholding tax to the tax authorities. When a customer that is authorized to deduct withholding tax pays invoices from a supplier subject to withholding tax, the customer reduces the payment amount by the withholding tax amount. The customer then pays with withheld tax directly to the appropriate tax authorities. An exception to this is self-withholding. In this case, suppliers subject to the tax have the right to pay the tax directly to the authorities.

Business Context

Withholding tax is calculated and posted to the appropriate withholding tax accounts at different stages, depending on the legal requirements in each country/region. As a rule, withholding tax is posted at the same time that the payment is posted. In other words, the outgoing payment (Accounts Payable) or incoming payment (Accounts Receivable), is reduced by the withholding tax amount.

In Accounts Payable, the supplier is subject to tax, and the company code is obligated to deduct withholding tax and pay it to the tax authorities on the supplier's behalf. In Accounts Receivable, the company code itself is subject to tax. Customers that do business with this company code deduct withholding tax and pay it to the tax authorities on the company code's behalf. In both cases, the business partner of the person/entity subject to tax deducts the tax and pays it over to the tax authorities.

In certain countries/regions, such as Brazil, the Philippines, and Spain, withholding tax can or must be posted when the invoice is posted. This means that the amount receivable or payable is reduced by the withholding tax amount.

In some countries/regions, such as Argentina and Italy, other kinds of postings are required for certain business transactions. Instead of the payment amount being reduced by the withholding tax amount, the withholding tax is posted as an offsetting entry to an expense account. You make the relevant settings for this when you maintain the withholding tax code.

Where cleared items are reset, the clearing document is automatically reversed if it contains withholding tax data. For withholding tax types with accumulation, the accumulation base amount is adjusted if the payment document is reversed.

Features

The key concept in withholding tax in SAP S/4HANA Cloud Public Edition, also referred to as **extended withholding tax**, is the distinction between withholding tax type and withholding tax code. Withholding tax types represent basic calculation rules. The withholding tax code represents specific features of these rules, particularly the percentage rate.

If a particular transaction requires more than one kind of withholding tax, this is covered in the SAP System by defining more than one withholding tax type. When entering a line item, you can enter withholding tax data for each of these withholding tax types. Please note, however, that in cases where you have two or more sets of withholding tax codes and types in your invoices, you must decide whether all proposed withholding tax codes and types are relevant for the transaction. If you must not calculate and post some of the proposed withholding taxes, then you must remove the withholding tax code that isn't relevant to the transaction.

Related Information

Statutory Reporting
Automatic Account Determination (Two-System Landscape)
Schedule Accounts Payable Jobs
Schedule Accounts Receivable Jobs
Schedule General Ledger Jobs
Schedule Tax Jobs

Example of Withholding Tax in Accounts Payable

Prerequisites

- Extended withholding tax is active in your company code
- Withholding tax types and codes have been defined for each country/region
- The relevant withholding tax types have been defined in the supplier master record
- The company code is authorized to deduct withholding tax for its suppliers for these withholding tax types
- The withholding tax accounts have been defined for account determination

Process Flow

Invoice Entry

When entering documents, you can now enter withholding tax data for each supplier line item. The withholding tax is calculated and, where necessary, posted, for each withholding tax type for which a withholding tax code is defined in the withholding tax dialog box. If no withholding tax code is entered for a withholding tax type, the system doesn't calculate withholding tax.

Depending on the settings you've made for the withholding tax type, you can also enter the withholding tax base and withholding tax amounts manually. If you don't enter any amounts, the system calculates them automatically.

Where withholding tax is to be calculated at the time payment is made, only the base amount is calculated when the invoice is posted. Where withholding tax is to be calculated at the time the invoice is posted, the system calculates both the base amount and the withholding tax amount when the invoice is posted.

Payment

For the withholding tax type **Posting at time of payment,** withholding tax is calculated using the data in the open items (withholding tax types, codes, and base amounts). This is the case whether payment is made manually or automatically. The payment amounts are reduced by the withholding tax amounts.

Where outgoing payments are made manually or where payment proposals created by the payment program are processed, the withholding tax amounts calculated can be displayed in detail per open item. If you change your open item selection or edit the payment proposal, the withholding tax is recalculated automatically if necessary.

Result

When the payments are posted, the withholding tax data can be displayed in detail in the clearing line items in the payment document.

Withholding tax types with posting on invoice entry aren't taken into account for payments. This means that there's no withholding tax data for these types in the payment document.

Setting Up Withholding Tax in the Sales Process

This topic explains how to configure and check withholding tax in the sales process. Before you begin, you must first have enabled extended withholding tax for your respective company code and defined withholding tax types and codes for each respective country/region for which you are using extended withholding tax. You'll then need to make a series of configuration settings and maintain specific master data as described in the following sections.

Configuring withholding tax for your sales processes involves a series of configuration steps followed by some discrete changes to specific master data. Once these configurations are made and the master data updated, you can run your sales processes normally and verify that the withholding tax is being calculated and posted at various points.

When Should Withholding Tax be Calculated?

Withholding tax can be calculated either at the time of the invoice or at the time of the posting, depending on the specific requirements of the respective country/region.

To begin, open the **Define Withholding Tax Type for Invoice Posting** (`104225`) configuration activity or the **Define Withholding Tax Type for Payment Posting** (`104226`) configuration activity.

In both cases, you need to enter the country/region key and then either create a new withholding tax type or maintain an existing one, according to your specific needs. For new entries, enter the type and description and maintain the calculation parameters as necessary. To take the net amount as the tax base, under **Base Amount**, make sure that **Net amount** is selected. In most cases, withholding tax must be both calculated and posted, so the **Post w/tax amount** box is checked by default. In some countries/regions, this isn't mandatory, so you can uncheck this box when you're maintaining withholding tax types for those countries/regions.

> **Note**
> In some circumstances, you may need to enable withholding tax calculation at both invoice time and posting time. If this is the case, then simply complete the steps described here for both invoice and payment time withholding tax calculation.

Configuration Activities

Unless expressly indicated, the following configuration activities are relevant for both invoice- and payment-based withholding tax calculation.

1. Define Withholding Tax Codes

Open the **Define Withholding Tax Codes** (104227) configuration activity. Enter the country/region key. For new entries, enter the required **General Data**, **Base Amount**, **Postings**, **Reporting Information**, and **Calculation** information.

ℹ Note

Please note that the **Posting indicator** field is mandatory.

If you set the posting indicator to "1", the withholding tax amount is deducted from the customer/supplier line item amount and/or bank line item, and a withholding tax line item automatically created.

If the posting code is set to "2" ("grossing up"), the system automatically creates two withholding tax line items with opposing debit/credit signs. The withholding tax amount is then increased by the factor 1/(1-p), where p is the withholding tax rate. You cannot choose this option if withholding tax scales apply.

If the posting code is set to "3", the system automatically creates two withholding tax items with opposing debit/credit signs.

2. Set Pricing Condition Types

Once you've defined the withholding tax type and withholding tax code, open the **Set Pricing Condition Types - Purchasing** (101094) configuration activity. Enter the name and description of the condition type, and maintain the access sequence so that condition tables are read for the correct data in the correct sequence. Then set the other parameters that are needed for your scenario. The **Condition Class** and **Condition Type** are mandatory. Generally, for withholding tax, the **Condition Type** should be A (percentage).

3. Assign Condition Type to Withholding Tax Type

Open the **Assign Condition Type to Withholding Tax Type** (104408) configuration activity and enter the country/region key. Then assign the required **Condition Type** to the withholding tax type.

→ Remember

You can't assign multiple withholding tax types to a single condition type. You need a different condition type for each withholding tax type.

4. Set Pricing Procedures

The final configuration activity needed in this sequence is **Set Pricing Procedures** (101117). From the results list, select the procedure that you want to maintain, then double-click the **Procedures - Control Data** option. Maintain the relevant control data for this procedure in the respective **Step Number** lines.

For further information on pricing procedures, see Pricing Procedures.

Master Data Maintenance

Once you've completed the configuration activities, you need to perform some master data maintenance. First, you need to maintain the condition record for the withholding tax type. In the Set Tax Rates - Sales app, select the condition type that you defined for invoice time withholding tax calculation or for payment time withholding tax calculation. Specify the departure country/region and the validity date. In the next step, maintain the relevant information for the withholding tax code and save your changes. If needed, repeat this process for the other calculation type.

Once you've maintained the condition record for the withholding tax type, you can assign the withholding tax information to your business partners as needed. In the Manage Business Partner Master Data (F3163) app or in the Manage Customer Master Data

(F0850A) app, open the business partner that you want to maintain. Under **Company Codes**, select and open the relevant company code. You can maintain the necessary withholding tax information under **Withholding Taxes**.

Verifying Your Withholding Tax Settings in Your Documents

Once you've made the needed configurations and master data updates, you'll be able to see the withholding tax information reflected in multiple places in your document flows. Some examples of places you can check include:

- In the Manage Sales Orders - Version 2app, you can see the withholding tax information for a sales order by checking the Price Elements section.
- In the Display Billing Documents app, open up an item in a billing document and check the **Conditions**. The table displays the withholding tax information, and you can double-click the withholding tax line item to see further information about the withholding tax as calculated and posted for that item.
- In the Display Journal Entries app, you can see the withholding tax information in the **Line Items** section of one of your billing document transfers, for example. Open the item and open one of the line items to see the withholding tax information for that line item, including the withholding tax type and code, tax base amount, and tax amount in company code currency.

Overview of Settings for Withholding Tax

In order to be able to use withholding tax in SAP S/4HANA Cloud Public Edition, also called **extended withholding tax**, you must make various settings using the configuration activities provided. The specific configuration activities needed and the sequence in which you need to make the changes varies according to the legal requirements of your country/region. You also must maintain the master data of your business partners for each of the company codes for which you wish to activate extended withholding tax.

Once you activate withholding tax in SAP S/4HANA Cloud Public Edition, you can begin to make the necessary configurations using the configuration activities available for your country/region. Some of the most important configuration activities include:

- Defining Withholding Tax Types
- Defining Withholding Tax Codes
- Defining Minimum and Maximum Amounts
- Defining Liability to Tax and Authorization to Deduct Tax
- Configuring Certificate Numbering for Withholding Tax

To make any of these configuration settings, you need to have a user with the same minimum authorization as the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template.

Activating Withholding Tax

To use withholding tax in SAP S/4HANA Cloud Public Edition, also called **extended withholding tax**, you must first activate it.

Your configuration expert activates withholding tax using the **Activate Extended Withholding Tax** configuration activity.

The results table shows the company codes and descriptions active in your system. Check the box to enable extended withholding tax for that company code. Save your changes, and you're ready to move on to the next step in your withholding tax configuration.

Please note that for some countries/regions, such as Argentina, Japan, and the United States, you may need to use the **Check Withholding Tax Countries/Regions** configuration activity to ensure that the country/region ID in your system is consistent with

the country/region ID prescribed by the respective tax authorities.

Defining Withholding Tax Types

Use

In one business transaction, several kinds of withholding tax may have to be withheld. Your SAP S/4HANA Cloud Public Edition system uses withholding tax types to reflect this. Several withholding tax types can be defined in the system; one or more can be assigned in the supplier master record.

The withholding tax type governs the way in which extended withholding tax is calculated and is defined at country level. As far as the time of posting for withholding tax amounts is concerned, there are two different categories of withholding tax types: **Withholding Tax Type for Invoice Posting** and **Withholding Tax Type for Payment Posting**.

Withholding Tax Type for Invoice Posting

Begin by selecting the **Define Withholding Tax Type for Invoice Posting** configuration activity. Enter the country/region key for the work area. From here, you can either double-click an existing entry to maintain it or select **New Entries** to add a new withholding tax type.

Let's say you're adding a new withholding tax type. Under **General Data**, enter the withholding tax code as defined by your tax authority, and enter a description for the tax type. When you save your tax type, the system automatically assigns the withholding tax type number.

Under **Calculation**, you define the details for calculating the withholding tax base amounts and the rounding rules for the withholding tax amount. You also determine whether the withholding tax amount is to be both calculated and posted, or whether it should only be calculated. You make this determination based on the legal requirements of the respective tax authority.

These options are available to you when defining the tax type:

- **Base amount**

Field	Meaning
Net amount	The withholding tax base amount is the line item net amount.
Modified net amount	The withholding tax base amount is equal to line item net amount plus a number of specific tax amounts. The processing keys for the tax amounts to be totaled have to be specified for this withholding tax type using the **Define Processing Key for Modified Net Amount** configuration activity.
Gross amount	The withholding tax base amount equals the line item gross amount.
Tax amount	The withholding tax base amount equals the tax amount of the line item.
Modified tax amount	The withholding tax base amount is equal to the total of certain specific tax amounts that you specify to be used as the tax base. You make these specifications using the **Define Processing Key for Modified Tax Amount** configuration activity.

You can define dependencies between withholding tax types using the **Reduced base amount** or **Inherit base** fields. Selecting the **Reduce base amount** field means that the withholding tax base amount is reduced by the withholding tax amount of the dependent type. Selecting the **Inherit base** field means that the withholding tax base amount corresponds to the withholding tax amount of the dependent type. You maintain the dependencies between withholding tax types using the **Maintain Dependencies Between Withholding Tax Types** configuration activity.

ℹ Note

The final amount used for the withholding tax calculation is calculated by applying the proportion subject to tax (defined in the withholding tax code) to the base amount defined here in the withholding tax type.

- **Rounding rule**

You have the following options for rounding withholding tax amounts:

- Commercial (**W/tax comm. round.**)
- Rounding up (**Round w/tax amount up**)
- Rounding down (**Round w/tax amount**)

You define the rounding rules using the **Define Rounding Rules for Withholding Tax Types** configuration activity. Rounding rules that you define using this configuration activity apply only to the posting of withholding tax amounts for the company code for which they're defined. These rounding rules don't apply to any other amounts posted for that company code.

- **Accumulation type**

Here you define whether withholding tax base amounts and withholding tax amounts should be accumulated for this withholding tax type, and if so, for what period.

If your respective tax authority permits withholding tax-exempt amounts over a specific time period, the amounts posted in this period must be retained. This ensures that withholding tax is posted as soon as the exempt amount is exceeded. In your SAP S/4HANA Cloud Public Edition system, this is reflected by accumulation. You can accumulate amounts for calendar years, quarters, or months but you should ensure that you accumulate over for the correct periods according to your tax authority.

⚠ Caution

Because accumulated amounts are already included in the calculation of the withholding tax amounts for the current payment in the period, the accumulation **cannot** be used for summation. Using the accumulation for summation results in incorrect results.

If you've activated accumulation for a withholding tax type, the accumulated withholding tax base amount in the current period (month, quarter, year) is added to the withholding tax base amount of the line item for which the withholding tax amount is to be calculated. The withholding tax amount is determined by applying the withholding tax rate or formula (scale) to this total and subtracting the withholding tax amount accumulated in the period concerned. A formula is a series of staggered withholding tax rates valid for different withholding tax base amount intervals. The current withholding tax base amount and the tax amount itself are added to the corresponding values in the accumulation table. Accumulation is entered per customer/supplier account, withholding tax type, and withholding tax code in the local currency of the company code concerned.

To prevent a withholding tax posting as soon as the accumulated withholding tax amount exceeds a defined maximum, select the field **Acc. w/tax to max**.

- **Control**

Here you define whether manual entry of the withholding tax base amount or the withholding tax amount is permitted during document entry. You can also select whether you want to disable withholding tax certificate numbering.

- **Information for regional withholding tax**

You can enter regional codes here. The regional code ensures that the withholding tax is reported and paid to the relevant tax authorities.

- **Definition of minimum and maximum amounts**

Here you define whether you want to maintain minimum and maximum amounts at withholding tax type level or withholding tax code level.

Withholding Tax Type for Payment Posting

The settings for withholding tax posting at time of payment are generally the same as for posting at the time of invoice entry with the exception of the following:

- **Calculation**

In addition to defining the details for calculating the base amount and the rounding rules, you also define how **cash discount** is treated in connection with withholding tax. You determine whether the withholding tax amount is to be calculated before or after subtraction of cash discount.

- **Accumulation type**

Here you can also select combined accumulation (**Combined Accum.**) if amounts are to be accumulated over several suppliers or customers.

- **Control**

Additional fields:

- **Self-withholding**

This means that self-withholding is permitted for this withholding tax type. That is, suppliers subject to tax can pay over the tax themselves.

- **Withholding tax already withheld**

Here you enter a withholding tax amount that has already been withheld, for example, by a subcompany. This amount is then deducted from the calculated withholding tax amount on payment. You can only select this option in combination with **No accumulation** (under **Accumulation type**) and **Central invoice proportion.** (under **Central invoice**).

- **Withholding tax for payments**

Here you can enter the withholding tax amount manually for incoming and outgoing payments for this withholding tax type.

- **Central invoice**

The central invoice function is a special procedure for calculating withholding tax that is used in Argentina. Invoices and debit/credit memos that are linked via the field **Invoice reference** are processed separately.

Here you can make the following settings:

- No central invoice (**No Centr. Invoice**)

The central invoice entry method isn't used for this withholding tax type.

- Central invoice and first partial payment (**Cent.Inv.& 1st P.Pmt**)

If you use this withholding tax type, the whole withholding tax amount is posted when the first partial payment is made for the open item. This function is used to calculate the withholding tax based on tax on sales/purchases (Sales Tax Withholding) in Argentina.

The withholding tax base amount is compared to the minimum amount using the total amount of the withholding tax base amounts of the open item together with the related documents, whether or not these were previously selected.

- Proportional distribution of withholding tax (**Centr. Invoice prop.**)

The withholding tax amount is distributed across all partial payments in proportion to the payment amount in the open items. In Argentina, this function is used to calculate withholding tax on income tax and social insurance tax.

- **Minimum check**

Here you define whether minimum checks are carried out at the invoice level or at the payment level. This specification is valid for either the minimum base amount check or for the minimum amount check.

- If you select **Minimum check at item level**, the minimum amount and withholding tax amount checks are carried out for each item to be cleared.

- If you elect to **Check minimum base amount at payment document level**, the system uses the full withholding tax base amount for all items as the basis for the payment proposal for the relevant payment. The minimum base amount is then checked against this total withholding tax base amount. This function is used in Argentina to calculate withholding tax on income tax.

- If you select **Minimum base amount check at invoice document level**, when you pay a given invoice item, the system calculates the amount for the minimum base amount check using the total of all items in the invoice. The minimum base amount is then checked against this total withholding tax base amount.

- If you select **Minimum amount check** at payment document level, the system uses the full withholding tax amount for all items as the basis for the payment proposal for the relevant payment. The minimum amount is then checked against this total withholding tax amount.

Defining Withholding Tax Codes

Use

You can use this configuration activity to define the tax base and tax rate for each withholding tax code. These settings are made for each country/region and withholding tax type. Using this configuration activity, you can define as many withholding tax codes are required for each withholding tax type for that country/region.

Procedure

Make the following settings:

- **General data**

Define the description of the withholding tax code, and where necessary, the official withholding tax key. Official withholding tax keys are used on official forms when reporting taxes. You can define these keys using the **Define Withholding Tax Keys** configuration activity. Using the information provided by your tax authority, enter the **Official Withholding Tax Key**, **Name**, and **National Tax Code** as required, then save your entry.

- **Base amount**

Define the portion to be taxed. This percentage rate is used to determine the final withholding tax base amount and is applied to the withholding tax base amount calculated as a result of the setting in the withholding tax type.

- **Posting**

Define a posting indicator. This can have one of the following values:

Value	Name	Description
1	Normal posting	The withholding tax amount is deducted from the supplier line item amount (posting at invoice entry) or from the payment amount (posting at time of payment), and the system creates a line item for the withholding tax.
2	Offsetting entry to G/L account/No reduction in subledger	The withholding tax amount is multiplied by the factor 1/(1-p), where p stands for the withholding tax rate of the withholding tax code. The system creates two withholding tax line items with opposing debit/credit signs. This option can't be used with withholding tax scales. (This function is only relevant for Argentina, when using the “grossing up” option).
3	Offsetting entry to G/L account	The system creates two withholding tax line items with opposing debit/credit signs.

- **Calculation**

Define the withholding tax rate or the information for using calculation scales (formulas).

For the withholding tax rate, you can enter either a percentage rate from 0 through 100, or you can enter a fraction. The system then uses this rate to calculate the withholding tax amount from the withholding tax base amount.

If you set the indicator **Withholding Tax Formulas**, the system calculates the withholding tax amount from the withholding tax base amount using one of the scales defined for this withholding tax type/code combination. With this indicator set, you can also use the **Define Formulas for Calculating Withholding Tax** configuration activity to make changes to existing formulas. If you need to create new formulas, please create an incident for component **FI-AP-AP-Q**.

ℹ Note

All calculations are made in the respective local currency. This means that you must maintain the minimum and maximum for the withholding tax amount, the minimum base amount, the withholding tax exempt base amount, and the scales in the local currency of the company code.

- **Reporting information**

Where necessary, define the region, the provincial code, and the type of income.

Defining Minimum and Maximum Amounts

Use

Some tax authorities permit minimum, maximum, or exempt amounts for the withholding tax base amount or for the withholding tax amount. You can define these amounts using either the **Define Min/Max Amounts for Withholding Tax Types** and **Define Min/Max Amounts for Withholding Tax Codes** configuration activity.

Define Min/Max Amounts for Withholding Tax Types

The requirements for calculating withholding tax vary according to country/region. This configuration activity simplifies your withholding tax calculation by enabling you to define minimum and maximum amounts for the withholding tax for each tax type. You can also define a minimum tax base amount below which no withholding tax is deducted. If a journal entry with this tax type is posted, the system calculates the withholding tax amount based on the minimum and maximum settings you've defined, the tax base amount, and the tax rate.

There are four basic results of this check. If the calculated tax amount is less than the minimum amount defined, the withholding tax amount is zero. If the expected tax amount lies between the minimum and maximum amounts you've defined, the calculated tax amount is the expected tax amount. If the expected tax amount exceeds the maximum amount defined, the maximum tax amount is used. If the tax base amount in the document is less than the defined minimum tax base amount, no tax is deducted and the withholding tax amount is zero.

Please note that if you want to change the valid-from date for a tax type, you need to create a new entry for this tax type and specify the new valid-from date.

Define Min/Max Amounts for Withholding Tax Codes

In the withholding tax base exemption amount field, you can specify an amount that is deducted when calculating the withholding tax base. The amount of the tax exemption doesn't have any effect when matching the withholding tax base with the minimum, because the base and the minimum are matched before the tax-exempt amount is deducted.

All calculations for extended withholding tax are made in the first local currency of the respective company code. This means that you must maintain amounts in the local currency of the company code.

Procedure

Once you select the country/region version for which you want to maintain minimum/maximum amounts, enter a withholding tax type, withholding tax code, and currency. Then make the following settings as needed:

- **Minimum withholding tax amount**

If the withholding tax amount calculated is lower than the minimum amount you specify here, then the system calculates the withholding tax amount as being zero.

- **Maximum withholding tax amount**

If the withholding tax amount calculated is higher than the withholding tax maximum amount you specify here, then the system uses this maximum amount in the withholding tax calculation.

- Minimum base amount

If the withholding tax base amount is lower than the minimum base amount you specify here, then the system calculates the withholding tax amount as being zero. If the withholding tax base amount exceeds the minimum base amount specified here, the system uses the whole base amount to calculate the withholding tax.

- Withholding tax base exempt amount

This setting is only available in the Define Min/Max Amounts for Withholding Tax Codes configuration activity.

If the withholding tax base amount is lower than the withholding tax base exempt amount, then the system calculates the withholding tax amount as being zero.

If the withholding tax base amount exceeds the withholding tax base exempt amount specified here, then the system uses the base amount as reduced by the exempt amount for the withholding tax calculation.

Note

For accumulation, the total accumulated base amount is checked against the minimum base amount or the withholding tax base exempt amount. In contrast, the withholding tax amount as reduced by the values already accumulated is checked against the withholding tax minimum amount or the withholding tax maximum amount.

Defining Liability to Tax and Authorization to Deduct Tax

Use

Withholding tax is only posted for a withholding tax type if the supplier is defined as subject to tax for this withholding tax type, and the customer is defined as authorized to deduct tax for this type.

Prerequisites

Each withholding tax type assigned to a company code must have been defined for the country of the company code.

Procedure

The following differences apply to supplier and customer business transactions.

Supplier Business Transactions

In order to be able to post withholding tax in supplier business transactions, for each withholding tax type, the company code must be authorized to deduct withholding tax, and the supplier must be subject to withholding tax.

Use the Assign Withholding Tax Types to Company Codes configuration item to make the necessary settings.

1. For Accounts Payable, you specify whether and for how long the company code is authorized to deduct withholding tax for the specified withholding tax type.
2. Define the following in the supplier master record:

- Make an entry for each withholding tax type.
- Define the supplier as subject to withholding tax.

- If necessary, also define the withholding tax code, type of recipient, withholding tax ID, and details of any withholding tax exemption.

Customer Business Transactions

In order to post withholding tax in customer business transactions, the company code must be subject to withholding tax for the type concerned, and the customer must be authorized to deduct withholding tax.

Use the **Assign Withholding Tax Types to Company Codes** configuration item to make the necessary settings.

1. For Accounts Payable, you specify whether and for how long the company code is authorized to deduct withholding tax for the specified withholding tax type.
2. Define the following in the customer master record:

- Make an entry for each withholding tax type.
- Define the customer as being authorized to deduct withholding tax and define the validity period for the authorization.
- If necessary, also define the withholding tax code and the withholding tax ID.

Additional Notes

In the withholding tax master data of the company code and the business partner (customer/supplier), you define which withholding tax types are relevant for a business transaction.

A withholding tax type is relevant if the following conditions apply:

- The withholding tax type is entered in the master record of the business partner and defined as subject to withholding tax (supplier) or entitled to deduct withholding tax (customer).
- For this withholding tax type, the company code is defined as entitled to deduct withholding tax for suppliers, and subject to withholding tax for customers.
- The posting date is within the validity period for the deduction authorization (customer master record or withholding tax data for the company code).

Withholding tax master data is time-dependent and is based on the validity periods that you define. This means that the withholding tax information saved in an open item may be different from the current relevant withholding tax types.

In the document display, the system displays appropriate warnings about the validity of the withholding tax information in the withholding tax dialog box.

If you change the list of relevant withholding tax types between the time a document is entered and the time it's cleared, the system doesn't clear the document.

The following situations can occur:

- A withholding tax type is no longer relevant.

This is the case where the company code is no longer authorized to deduct tax for a withholding tax type, although it was authorized to do so at the time the document was entered. The item in question is displayed in the withholding tax dialog box with all the withholding tax data stored in the database. The system displays a message telling you that this withholding tax type is no longer relevant.

- A withholding tax type is new.

This is the case if you've entered a new withholding tax type for a company code since the time of document entry. The system displays the withholding tax data not yet saved to the database in the dialog box with a message that the withholding tax type is new.

You have the following options for clearing documents despite these warnings:

- Change the posting date for clearing, so that the relevant withholding tax types are the same on the posting date and on document entry.
- Change individual documents using the document change function: To do this, you delete the withholding tax code in withholding tax types that are no longer relevant, and then save new withholding tax types.
- Run the **Generic Withholding Tax Reporting** job.

  Once you've changed the relevant withholding tax types, this report adjusts the open items to take account of the current relevant withholding tax types. It either creates new withholding tax information, or changes existing information. For more information, see Generic Withholding Tax Reporting

Configuring Certificate Numbering for Withholding Tax

Use

Withholding tax certificates are proof for the vendor and the tax authorities that tax was withheld. In certain countries/regions, such as Argentina, it's a legal requirement that withholding tax certificates are numbered clearly and consecutively.

To be able to exercise as much control as possible over the way withholding tax certificates are numbered, your SAP S/4HANA Cloud Public Edition system offers you four different numbering methods. You can assign one of these methods to any given country/region.

Each number is taken in sequence from a number range interval assigned to a numbering group.

The numbering groups are assigned to numbering classes. The number is then determined according to the numbering class the method is assigned to.

Numbering Concept Option 1: Assign Numbering Class

Numbering class assigned to company codes, with no distinction as to withholding tax type

Example

Company Code	Numbering Class
0001	A
0002	A

Numbering Concept Option 2: Assign Numbering Class

Numbering class assigned to combinations of withholding tax type/company code

Example

Company Code	Withholding Tax Type	Numbering Class

0001	T1	A
0001	T2	B
0002	T1	A

Numbering Concept Option 3: Assign Numbering Class

Numbering class assigned to a combination of withholding tax type/branch/company code

Example

Company Code	Branch	Withholding Tax Type	Numbering Class
0001	XXXX	T1	A
0001	YYYY	T2	B
0002	YYYY	T1	A

Numbering Concept 4: Assign Numbering Group

Numbering class assigned to combinations of company code, account type, business place identifier, and recipient type. These four dimensions determine the numbering group, which you can then use to find the number ranges. If the + field is selected, this enables a fiscal year column specifically for reporting for Thailand. If you're not reporting for Thailand, this field should be left unchecked.

Example

Company Code	Account Type	Business Place	Recipient Type	Numbering Group	+
0001	K	5555	02	000001	
0002	D	4444	03	000002	+

Procedure

1. Use the available numbering options to select the suitable numbering method and assign it to your company code country/region. Please note that the available options may differ based on your country/region.
2. Define numbering classes, for example, one class per withholding tax type used.
3. Assign numbering groups to the numbering classes.
4. Specify the company code and numbering class. When you save the data, the system creates the numbering group and assigns it to a numbering class automatically.
5. Assign your numbering classes in accordance with the numbering method chosen.

Once you've made your assignments, you can use the **Manage Withholding Tax Certification Number Ranges** app to make any necessary changes or updates to your number ranges. To use this app, you need a user with the same minimal authorizations as those delivered with the **Configuration Expert** (SAP_BR_BPC_EXPERT) business role template.

Setting Up Withholding Tax for Customer and Supplier Business Partners

Once you've made the basic settings for withholding tax, you need to set withholding tax up for your customer and supplier business partners.

To ensure that withholding tax is calculated, displayed, and posted correctly for relevant transactions, you need to set up your customer and supplier business partners for withholding tax.

1. Log in with a user with the same minimum authorizations as the **Master Data Specialist - Business Partner Data** (`SAP_BR_BUPA_MASTER_SPECIALIST`) business role template.
2. In the **Manage Business Partner Master Data** app, select and open your business partner.
3. Under **Roles**, select and open one of your customer or supplier business partners.
4. Under **Company Codes**, select the respective company code.
5. Click **Edit**, and then, under **Withholding Taxes**, click **Create**.
6. Select the relevant **Withholding Tax Type** and **Withholding Tax Code**, then click the chevron to open the next set of settings.
7. For suppliers, make sure that the **Subject to Withholding Tax** flag is set, then click **Apply** to save and apply your changes.

   For customers, make sure that the **Withholding Tax Agent** flag is set and that the **Obligate From** date and **Obligate To** date fields are maintained, then click **Apply** to save and apply your changes.

For further information, see:

- FIeld mapping for customer company codes: Company Code
- Field mapping for supplier company codes: Company Code

Related Information

Manage Customer Master Data (F0850A)
Manage Business Partner Master Data (F3163)
Manage Supplier Master Data (F1053A)

Additional Settings for Extended Withholding Tax

Describes additional settings for extended withholding tax.

Activate Withholding Tax Reporting Date

In some cases, you may need to specify whether withholding tax items for a specific company code need to be assessed based on the document date or based on the posting date.

To activate the withholding tax reporting date for a company code, use the **Activate Withholding Tax Reporting Date** (`105376`) configuration activity. Select a company code, then select the box in the **Activate Withholding Tax Reporting Date** column. Then, in the dropdown in the **Withholding Tax Reporting Date** column, select either the posting date or the document date as the reporting date for that company code and save your changes.

Check Recipient Types

Under some circumstances, or for reporting for specific countries/regions, you may be obligated to define specific recipient types. You can use the **Check Recipient Types** (`104094`) configuration activity to define specific supplier or customer recipient types, as defined in your corresponding supplier or customer master data. Choose the respective country/region version and create a new entry. Enter the withholding tax type, the recipient type, and a short descriptive text. Then save your entries.

Message Control for Withholding Tax

You can use the **Change Message Control for Withholding Tax** configuration activity (`104402`) to change the status of certain system messages. For example, you can change certain warning messages into error messages, disable warning messages, or switch off certain error messages. Please note that in the withholding tax context, this configuration activity allows you to change messages in message class `7Q` (**Messages for Withholding Tax Functions**).

> ⚠ **Caution**
>
> You cannot use the **Change Message Control for Withholding Tax** configuration activity to changes messages only for specific countries or regions. Any change that you make using this configuration activity is valid in your system for all active countries/regions.

Automatic Account Determination for Withholding Tax

This video shows you how to automatically determine accounts for withholding tax.

When you receive new withholding tax codes in response to legal changes, you need to assign specific accounts to those tax codes. This video shows you how to use the **Automatic Account Determination** configuration activity to make these assignments.

How to Determine Automatic Account for Withholding Tax (English Only)



Open this video in a new window

> ℹ **Note**

Captions are available for **multiple languages**. Use the **CC** (Closed Captions) button in the video player to check which languages are supported.

You can also use the **Search within video** field to search for specific text in the English or German captions.

Related Information

Automatic Account Determination (Two-System Landscape)

Retrieving Withholding Tax Information

SAP enables you in retrieving the required withholding tax information from the `WITH_ITEM` table using the `CL_FIWTGEN_WITH_ITEM` class and `GET_WITH_ITEM` method.

You can also use this class method in your business add-in (BADI) to retrieve the required withholding tax information. You are provided with the ease to filter the data based on company code, document number, fiscal year, withholding tax type, and withholding tax code. Refer to the following sections for information about this class method.

Class Method Information

- **Class**: `CL_FIWTGEN_WITH_ITEM`
- **Method**: `GET_WITH_ITEM`

Sample Code

Sample Code

```
DATA : iv_bukrs TYPE bukrs,
               iv_belnr TYPE belnr_d,
               iv_gjahr TYPE gjahr,
               iv_witht TYPE witht,
               iv_withcd TYPE wt_withcd,
               lt_with_item TYPE STANDARD TABLE OF with_item.

CALL METHOD cl_fiwtgen_with_item=>get_with_item

  EXPORTING
               iv_bukrs     = iv_bukrs
               iv_belnr     = iv_belnr
               iv_gjahr     = iv_gjahr
               iv_witht     = iv_witht
               iv_wt_withcd = iv_withcd

  IMPORTING
               et_with_item = lt_with_item.
```

Input Parameters

Parameter	Mandatory	Associated Type	Description	Parameter Type
IV_BUKRS	No	BUKRS	Company code	Single value query parameter
IV_BELNR	No	BELNR_D	Accounting document number	Single value query parameter

Parameter	Mandatory	Associated Type	Description	Parameter Type
IV_GJAHR	No	GJAHR	Fiscal year	Single value query parameter
IV_WITHT	No	WITHT	Indicator for withholding tax type	Single value query parameter
IV_WT_WITHCD	No	WT_WITHCD	Withholding tax code	Single value query parameter

Output Parameters

Parameter	Associated Type	Description	Parameter Type
ET_WITH_ITEM	WITH_ITEM	Withholding tax information based on withholding tax type and line item	Table type
ET_MSG	STRING	Error message	Error response paramter

Output Format

- ET_WITH_ITEM is an internal table of the type WITH_ITEM which will contain all the records retrieved from WITH_ITEM table as per the input parameters.
- ET_MSG contains the message values in case of any errors or exceptions.

Check Withholding Tax Settings and Simulate Calculation

Check your withholding tax settings and simulate withholding tax calculation.

App ID: WHT_CAL_SIM

Once you've enabled withholding tax in SAP S/4HANA Cloud Public Edition, also referred to as **extended withholding tax**, and have made your configuration settings as necessary, you can use the **Check Withholding Tax Settings and Simulate Calculation** app to get an aggregated overview of your withholding tax settings. You can use this overview to check the settings for consistency, see the tax-relevant settings for your business partners, and track the calculation of withholding tax amounts.

Using this app, you can check your withholding tax settings by company code or a combination of company code and either supplier or customer. You can drill down into the results table to see corresponding business partner, customizing settings, and company code data.

You can also use this app to simulate a withholding tax calculation. Enter the data for a calculation that you want to check, for example, a supplier invoice number, company code, and fiscal year, and then select **Simulate Calculation**. The simulation returns the results based on the configuration settings you previously defined.

Users should have the same minimum authorizations as the **G/L Accountant** (SAP_BR_GL_ACCOUNTANT) and the **Configuration Expert** (SAP_BR_BPC_EXPERT) to use this app. This combination of authorizations enables full access to the data displayed in the app, as well as the available drill-down functions. For example, a user with only the **G/L Accountant** business role template can't drill down into the withholding tax information by company code.

Withholding Tax Calculation Analysis

App ID: F7977

With this app, you can quickly and easily see how withholding tax is calculated and posted for your withholding tax-relevant transactions with your customers and suppliers. The app provides you transparent information about how withholding tax is calculated, including a table showing the steps by which withholding tax is calculated and information about any relevant calculation rules or formulas that are applied. It also provides information about cases in which withholding tax isn't calculated, enabling you to identify where you need to correct errors in your business partner configuration.

How to Use This App

Log in with a user with the same minimum authorization as the G/L Accountant (`SAP_BR_GL_ACCOUNTANT`) business role template. Open the app and search for documents using the **Company Code**, **Journal Entry**, and **Fiscal Year** filters. In the results table, open line items to display detailed withholding tax calculation information on the **Withholding Tax Detail** page.

The **Withholding Tax Detail** page provides you a comprehensive overview of how withholding tax is calculated. It includes the relevant header information for the document, such as the withholding tax type, withholding tax code, country/region for which withholding tax is obligated, and whether the withholding tax is collected at the time of the invoice or the time of the payment.

The **Formula** section shows you the step-by-step process by which withholding tax is calculated. It shows you the formulas that were applied, the concrete figures used in the calculation, and any minimum/maximum or exemption tests that were applied.

The **Basic Information** section contains two important sets of information. The **General Information** displays the document posting date, the posting date of any related clearing document, and the base percentage used for calculation. The **Period Configuration** section shows the dates for which you or your business partner are obligated to withhold tax, any relevant exemption period, and the validity dates of the relevant formula by which the withholding tax is calculated.

The **Rules Applied** section shows a detailed breakdown of any withholding tax formulas that you've maintained for withholding tax calculation for this business partner.

Please note that the historical data range of this app extends backward only to the time that this app was activated in your system. This means that documents processed before this time cannot be displayed and analyzed here.

For information on cases that aren't unsupported, please see SAP Note 3611281.

Note

This app presently doesn't display accounting documents for partial or residual payments.

When you're using the **Withholding Tax Calculation Analysis** app to drill down into your withholding tax information, please be aware that you must search for journal entries singly. Searching for multiple journal entries simultaneously returns an error. Searching for a single journal entry may sometimes return several documents, because the related payment and reversal documents for that invoice are also returned. In this case, use the chevrons included with the invoice line items to open the invoices and check the withholding tax information there.

Moreover, while you can search for any journal entry type, the withholding tax information is most completely and clearly displayed for invoices. One payment document may clear multiple invoices, for example, so checking your withholding tax information in discrete invoices gives you a clearer picture of how the withholding tax amount is calculated.

When Withholding Tax Isn't Calculated

When withholding tax isn't calculated for an item, a message tells you why and offers a link to click for more information. The link opens a separate message that provides more specific information about the reason withholding tax wasn't calculated and what actions you can take to address the error. This message might tell you, for example, that the **Subject to Withholding Tax** flag

wasn't set for the respective withholding tax type and that you can use the **Maintain Business Partner Master Data** app to set that flag and remedy the error.

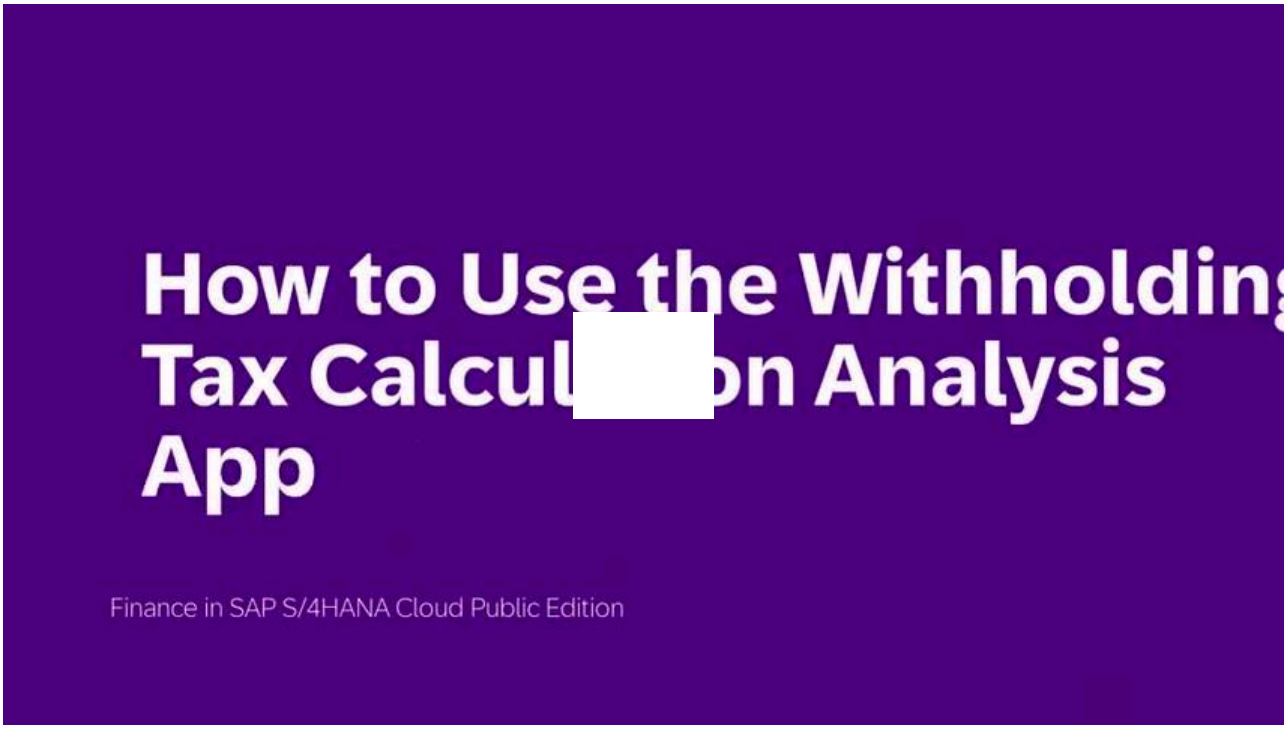
The message also offers a direct link to the app in which you can correct your withholding tax settings. In some cases, you may receive an error message when trying to use the provided link, or nothing happens when you click the link. This is because you don't have the permissions to access the app to which the message is linking you. If this happens, please contact your system administrator and ask them to grant you access to the app in question.

Information on Data Archiving

Data returned by and consumed by this app is archived as part of the `FI_DOCUMNT` data archiving object. For more information on this data archiving object, see Archiving Financial Accounting Documents Using FI_DOCUMNT.

How-To Video (English only)

The following multimedia content displays screens and interfaces in English only. It shows sequences based on the UI as delivered standard by SAP and is best viewed in full screen.



Open this video in a new window

Supported Device Types

- Desktop
- Tablet

Related Information

SAP Note 3611281

Withholding Tax Validation Checks

Summarizes the automatic checks performed on financial postings made using APIs that contain withholding tax-relevant data.

Multiple OData services post financial documents containing information that may be relevant for your withholding tax calculation, recording, and reporting. Some of these services can post documents directly into your database tables, so it's important that checks are in place to block postings that contain incorrect withholding tax information.

Checks are in place for the Supplier Invoice service and for the Journal Entry - Post (Asynchronous) and Journal Entry - Post (Synchronous) services.

The check for the Supplier Invoice service checks the following:

- Do the relevant database tables contain the respective withholding tax code and withholding tax type information?
- Does invoice information that can be called by this service contain duplicate withholding tax type information?
- Is the tax type is assigned in the supplier master data?
- If the withholding tax amount is manually maintained, is the withholding tax base amount value empty?
- Is the withholding tax base amount value smaller than the manually entered withholding tax amount?

The check for the Journal Entry - Post (Asynchronous) and Journal Entry - Post (Synchronous) services checks whether journal entries posed using these services contain valid withholding tax codes for all withholding tax-relevant items. Valid withholding tax codes are those maintained in your system, which you can verify using the **Define Withholding Tax Codes** configuration activity.

By default, journal entries posted by this service without valid withholding tax codes are permitted. In some cases, however, withholding tax regulations in your specific country/region may dictate that you should block such postings. To do this for withholding tax-relevant translations in Australia, use the **Message Control in Tax Area** configuration activity. You can then modify message **444** in message class **7Q** and set it as an error message, which blocks these postings.

To make this change for any other country/region, please contact SAP Support.

Related Information

Journal Entry - Post (Asychronous)
Journal Entry - Post (Asynchronous)
Journal Entry - Post (Synchronous)
Journal Entry - Post (Synchronous)
Supplier Invoice

Manage External Tax Items

Technical name: `API_EXTERNAL_TAX`

This synchronous inbound service enables you to create, update and read External Tax Items data from an external system. The service is based on the OData protocol, and can be consumed by external systems.

This service is published on the SAP Business Accelerator Hub. For more information about APIs, see APIs on SAP Business Accelerator Hub.

Technical Details

A service group contains services belonging to the same business object model and so it shares similar environment conditions. This means the configuration and administration of a service group apply to all services in a service group, that is, routing,

authorization, and so on, so you only have to do them once.

In the OData version 4 (V4) runtime implementation of the SAP Gateway Foundation, framework services originate from repositories.

Service Group	Repository ID	Service Name	Version
API_EXTERNAL_TAX	srvd_a2x	API_EXTERNAL_TAX	0001

Deep Insert Requests

You can create a complete External Tax Data record including header and item in one single call. You can send a request, for example, in the following sample code:

JSON

```
{
  "CompanyCode": "string",
  "ReferenceDocumentType": "string",
  "OriginalReferenceDocument": "string",
  "PostingDate": "2017-04-13",
  "DocumentDate": "2017-04-13",
  "TaxReportingDate": "2017-04-13",
  "TaxFulfillmentDate": "2017-04-13",
  "AccountingDocumentType": "string",
  "ReverseDocument": "string",
  "ReverseDocumentFiscalYear": "string",
  "IsReversed": true,
  "IsReversal": true,
  "AbsoluteExchangeRate": 0,
  "DocumentReferenceID": "string",
  "AlternativeReferenceDocument": "string",
  "AccountingDocumentHeaderText": "string",
  "SenderCompanyCode": "string",
  "SenderAccountingDocument": "string",
  "SenderFiscalYear": "string",
  "SenderLogicalSystem": "string",
  "AccountingDocumentCategory": "string",

  "_TaxItem": [
    {
      "TaxationType": "string",
      "TaxSection": "string",
      "BusinessPlace": "string",
      "DebitCreditCode": "string",
      "FinancialAccountType": "string",
      "Supplier": "string",
      "Customer": "string",
      "BusinessPartner": "string",
      "DocumentItemText": "string",
      "ClearingDate": "2017-04-13",
      "ClearingJournalEntry": "string",
      "ClearingJournalEntryFiscalYear": "string",
      "ClearingItem": 0,
      "Ledger": "string",
      "LedgerGroup": "string",
      "GLAccount": "string",
      "SpecialGLCode": "string",
      "SpecialGLTransactionType": "string",
      "Reference3IDByBusinessPartner": "string",
      "InvoiceReference": "string",
      "InvoiceReferenceFiscalYear": "string",
      "InvoiceItemReference": "string",
      "CompanyCodeCurrency": "string",
      "TransactionCurrency": "string",
      "AdditionalCurrency1": "string",
      "AdditionalCurrency2": "string",
      "AmountInCompanyCodeCurrency": 0,
```

```
        "AmountInTransactionCurrency": 0,
        "CashDiscountAmtInCoCodeCrcy": 0,
        "CashDiscountAmount": 0,
        "TaxCode": "string",
        "VATRegistration": "string",
        "TaxJurisdiction": "string",
        "TaxRate": 0,
        "TaxRateValidityStartDate": "2017-04-13",
        "TaxCountry": "string",
        "TaxReturnCountry": "string",
        "LowestLevelTaxJurisdiction": "string",
        "ConditionType": "string",
        "TaxItemAcctgDocItemRef": "string",
        "TaxItemGroup": "string",
        "CountryCurrency": "string",
        "TaxBaseAmountInCoCodeCrcy": 0,
        "TaxBaseAmountInTransCrcy": 0,
        "TaxAmountInCoCodeCrcy": 0,
        "TaxAmount": 0,
        "TaxAmountInAdditionalCurrency1": 0,
        "TaxAmountInAdditionalCurrency2": 0,
        "TaxBaseAmtInAdditionalCrcy1": 0,
        "TaxBaseAmtInAdditionalCrcy2": 0,
        "TransactionTypeDetermination": "string",
        "TaxBaseAmountInCountryCrcy": 0,
        "TaxAmountInCountryCrcy": 0,
        ]
 }
```


Service Structure

The service metadata file can be retrieved through

`/sap/opu/odata4/sap/ui_external_tax/srvd/sap/externaltax/$metadata`

Service Message Header

The service message header contains information on the service, the involved sender and receiver as well as date and time.

Entities

The entities contain the business data of the service.

Entity	Description	Link to details
`A_ExternalTaxHeader`	Header information for ETI Header	METI Header Details
`A_ExternalTaxItem`	Item information for ETI Item	METI Item Data

Authentication

The authentication methods used are basic.

Additional Information

Link to the API on the SAP Business Accelerator Hub: External Tax Items.

ℹ Note

For more details about Communication Management, see Communication Management.

METI Header Details

Technical name: `A_ExternalTaxHeader`.

Properties

Property	Description
`ExternalTaxHeaderUUID`	External Tax Header UUID
`CompanyCode`	Company Code
`AccountingDocument`	Accounting Document
`FiscalYear`	Fiscal Year
`ReferenceDocumentType`	Reference Document Type
`OriginalReferenceDocument`	Original Reference Document
`PostingDate`	Posting Date
`DocumentDate`	Document Date
`WithholdingTaxReportingDate`	Withholding Tax Reporting Date
`TaxReportingDate`	Tax Reporting Date
`TaxFulfillmentDate`	Tax Fulfillment Date
`AccountingDocumentType`	Accounting Document Type
`ReverseDocument`	Reverse Document
`ReverseDocumentFiscalYear`	Reverse Document Fiscal Year
`IsReversed`	Is Reversed
`IsReversal`	Is Reversal
`AbsoluteExchangeRate`	Absolute Exchange Rate
`DocumentReferenceID`	Document Reference ID
`AlternativeReferenceDocument`	Alternative Reference Document
`AccountingDocumentHeaderText`	Accounting Document Header Text
`SenderCompanyCode`	Sender Company Code
`SenderAccountingDocument`	Sender Accounting Document
`SenderFiscalYear`	Sender Fiscal Year
`SenderLogicalSystem`	Sender Logical System
`AccountingDocumentCategory`	Accounting Document Category

Property	Description
CreationDateTime	Creation Date Time
CreatedByUser	Created By User
LoclInstanceLastChangeDateTime	Local Instance Last Change Date Time
LastChangeDateTime	Last Change Date Time
LastChangedByUser	Last Changed By User

Note

To display more information about the properties on the SAP Business Accelerator Hub, open an operation of the entity and select **Model**.

METI Item Data

Technical name: A_ExternalTaxItem

Properties

Property	Description
ExternalTaxHeaderUUID	External tax header UUID of the item.
ExternalTaxItemUUID	External tax item UUID of the item.
CompanyCode	Company code associated with the tax item.
AccountingDocument	Accounting document linked to the item.
FiscalYear	Fiscal year of the accounting document.
AccountingDocumentItem	Item number within the accounting document.
TaxationType	Type of taxation applicable to this item.
TaxSection	Tax section relevant to this item.
BusinessPlace	Business place associated with the transaction.
DebitCreditCode	Indicator showing debit or credit.
FinancialAccountType	Type of financial account used.
Supplier	Supplier associated with the transaction.
Customer	Customer associated with the transaction.
BusinessPartner	Business partner involved in the transaction.
DocumentItemText	Text describing the document item.
ClearingDate	Date on which the item was cleared.
ClearingJournalEntry	Journal entry used for clearing.

Property	Description
ClearingJournalEntryFiscalYear	Fiscal year of the clearing journal entry.
ClearingItem	Item number within the clearing journal entry.
Ledger	Ledger in which the posting exists.
LedgerGroup	Group of ledgers relevant to this posting.
GLAccount	General ledger account used for posting.
SpecialGLCode	Special G/L indicator used.
SpecialGLTransactionType	Special G/L transaction type.
Reference3IDByBusinessPartner	Reference ID provided by the business partner.
InvoiceReference	Reference invoice number.
InvoiceReferenceFiscalYear	Fiscal year of the referenced invoice.
InvoiceItemReference	Reference to the invoice item.
CompanyCodeCurrency	Currency of the company code.
TransactionCurrency	Currency in which the transaction was posted.
AdditionalCurrency1	First additional reporting currency.
AdditionalCurrency2	Second additional reporting currency.
AmountInCompanyCodeCurrency	Amount expressed in company code currency.
AmountInTransactionCurrency	Amount expressed in transaction currency.
CashDiscountAmtInCoCodeCrcy	Cash discount amount in company code currency.
CashDiscountAmount	Cash discount amount granted.
TaxCode	Tax code applied to the item.
VATRegistration	VAT registration number.
TaxJurisdiction	Tax jurisdiction used for tax calculation.
TaxRate	Percentage rate at which tax is calculated.
TaxRateValidityStartDate	Date from which the tax rate is valid.
TaxCountry	Country applicable for taxation.
TaxReturnCountry	Country where the tax return is filed.
LowestLevelTaxJurisdiction	Lowest-level tax jurisdiction code.
ConditionType	Type of condition applied for tax or pricing.
TaxItemAcctgDocItemRef	Reference accounting document item for tax.
TaxItemGroup	Group to which the tax item belongs.
CountryCurrency	Country-level reporting currency.

Property	Description
TaxBaseAmountInCoCodeCrcy	Tax base amount in company code currency.
TaxBaseAmountInTransCrcy	Tax base amount in transaction currency.
TaxAmountInCoCodeCrcy	Tax amount in company code currency.
TaxAmount	Tax amount in transaction currency.
TaxAmountInAdditionalCurrency1	Tax amount in first additional currency.
TaxAmountInAdditionalCurrency2	Tax amount in second additional currency.
TaxBaseAmtInAdditionalCrcy1	Tax base amount in first additional currency.
TaxBaseAmtInAdditionalCrcy2	Tax base amount in second additional currency.
TransactionTypeDetermination	Type of transaction for tax determination.
TaxBaseAmountInCountryCrcy	Tax base amount in country currency.
TaxAmountInCountryCrcy	Tax amount in country currency.
CreationDateTime	Timestamp when the item was created.
CreatedByUser	User who created the item.
LoclInstanceLastChangeDateTime	Local instance timestamp of last change.
LastChangeDateTime	System timestamp of last modification.
LastChangedByUser	User who last modified the item.
CreatedByUserName	Name of the user who created the item.
ChangedByUserName	Name of the user who last changed the item.
DebitCreditCodeName	Text description of the debit/credit code.
FinancialAccountTypeName	Text description of the financial account type.
SpecialGLCodeName	Description of the special G/L indicator.

ℹ Note

To display more information about the properties on the SAP Business Accelerator Hub, open an operation of the entity and select **Model**.

Operations for Manage External Tax Items

The External Tax Items API offers the following operations:

Operation	HTML Method	Sample URL
Create Data	POST	</sap/opu/odata4/sap/api_external_tax/srvd_a2x/sap/externaltaxheader/0001/ExternalTax>

Operation	HTML Method	Sample URL
Update Data	PATCH	</sap/opu/odata4/sap/api_external_tax/srvd_a2x/sap/externaltaxheader/0001/ExternalTax(E
Delete Data	DELETE	</sap/opu/odata4/sap/api_external_tax/srvd_a2x/sap/externaltaxheader/0001/ExternalTax(E

Create Data

Request

These fields must be provided when creating an External Tax document::

Property	Necessity
CompanyCode	Mandatory
PostingDate	Mandatory
DocumentDate	Mandatory
AccountingDocumentType	Mandatory
SenderCompanyCode	Mandatory
SenderAccountingDocument	Mandatory
SenderFiscalYear	Mandatory
SenderLogicalSystem	Mandatory

Response

The operation returns a text message with operation result.

Examples

Http Method	Post
URL	/sap/opu/odata4/sap/api_directdebitmandate/srvd_a2x/sap/directdebitmandate/0001/DirectDebitMandat
Content-Type of Request Header	application/json

Request

```
{
"CompanyCode":"1010",
"PostingDate":"2025-01-04",
"DocumentDate":"2025-01-04",
"AccountingDocumentType":"EX",
"SenderCompanyCode":"0001",
"SenderAccountingDocument":"ertf412d4",
"SenderFiscalYear":"2025",
"SenderLogicalSystem":"EBJ",
"_TaxItem":[
{
"TaxationType":"VAT",
"DebitCreditCode":"S",
"CompanyCodeCurrency":"EUR",
"TransactionCurrency":"EUR",
"AmountInCompanyCodeCurrency": 23.12,
"AmountInTransactionCurrency":23.12,
"TaxCode":"V0",
"TransactionTypeDetermination" : "ABC",
"TaxRateValidityStartDate" : "2025-01-04"
}
]
}
```


Response


```
{
"@odata.context": "$metadata#ExternalTax(_TaxItem())/$entity",
"@odata.metadataEtag": "W/\"20260204015044\"",
"ExternalTaxHeaderUUID": "fa163ede-b767-1fd1-81ae-51b7027294b4",
"CompanyCode": "1010",
"AccountingDocument": "200000002",
"FiscalYear": "2025",
"FiscalPeriod": "1",
"ReferenceDocumentType": "",
"OriginalReferenceDocument": "",
"PostingDate": "2025-01-04",
```

```
  "DocumentDate": "2025-01-04",
  "TaxReportingDate": "2025-01-04",
  "TaxFulfillmentDate": "2025-01-04",
  "AccountingDocumentType": "EX",
  "ReverseDocument": "",
  "ReverseDocumentFiscalYear": "0",
  "IsReversed": false,
  "IsReversal": false,
  "AbsoluteExchangeRate": 0.00000,
  "DocumentReferenceID": "",
  "AlternativeReferenceDocument": "",
  "AccountingDocumentHeaderText": "",
  "SenderCompanyCode": "0001",
  "SenderAccountingDocument": "ERTF412D4",
  "SenderFiscalYear": "2025",
  "SenderLogicalSystem": "EBJ",
  "AccountingDocumentCategory": "",
  "CreationDateTime": "2026-02-09T04:48:19.217354Z",
  "CreatedByUser": "CC0000000072",
  "LoclInstanceLastChangeDateTime": "2026-02-09T04:48:19.217354Z",
  "LastChangeDateTime": "2026-02-09T04:48:19.217354Z",
  "LastChangedByUser": "CC0000000072",
  "CompanyCodeName": "Company Code 1010",
  "AccountingDocumentTypeName": "External Number",
  "AccountingDocumentCategoryName": "Normal document",
  "CreatedByUserName": "User for Scenario SAP_COM_0B27",
  "ChangedByUserName": "User for Scenario SAP_COM_0B27",
  "SAP__Messages": [],
  "_TaxItem": [
  {
  "ExternalTaxHeaderUUID": "fa163ede-b767-1fd1-81ae-51b7027294b4",
  "ExternalTaxItemUUID": "fa163ede-b767-1fd1-81ae-51b70272b4b4",
  "CompanyCode": "1010",
  "AccountingDocument": "200000002",
  "FiscalYear": "2025",
  "AccountingDocumentItem": "1",
  "TaxationType": "VAT",
```

```
  "TaxSection": "",
  "BusinessPlace": "",
  "DebitCreditCode": "S",
  "FinancialAccountType": "",
  "Supplier": "",
  "Customer": "",
  "BusinessPartner": "",
  "DocumentItemText": "",
  "ClearingDate": null,
  "ClearingJournalEntry": "",
  "ClearingJournalEntryFiscalYear": "0",
  "ClearingItem": 0,
  "Ledger": "",
  "LedgerGroup": "",
  "GLAccount": "",
  "SpecialGLCode": "",
  "SpecialGLTransactionType": "",
  "Reference3IDByBusinessPartner": "",
  "InvoiceReference": "",
  "InvoiceReferenceFiscalYear": "0",
  "InvoiceItemReference": "0",
  "CompanyCodeCurrency": "EUR",
  "TransactionCurrency": "EUR",
  "AdditionalCurrency1": "USD",
  "AdditionalCurrency2": "",
  "AmountInCompanyCodeCurrency": 23.12,
  "AmountInTransactionCurrency": 23.12,
  "CashDiscountAmtInCoCodeCrcy": 0.00,
  "CashDiscountAmount": 0.00,
  "TaxCode": "V0",
  "VATRegistration": "",
  "TaxJurisdiction": "",
  "TaxRate": 0.00,
  "TaxRateValidityStartDate": "2025-01-04",
  "TaxCountry": "",
  "TaxReturnCountry": "",
  "LowestLevelTaxJurisdiction": "",
```

```
"ConditionType": "",
"TaxItemAcctgDocItemRef": "0",
"TaxItemGroup": "0",
"CountryCurrency": "",
"TaxBaseAmountInCoCodeCrcy": 0.00,
"TaxBaseAmountInTransCrcy": 0.00,
"TaxAmountInCoCodeCrcy": 0.00,
"TaxAmount": 0.00,
"TaxAmountInAdditionalCurrency1": 0.00,
"TaxAmountInAdditionalCurrency2": 0.00,
"TaxBaseAmtInAdditionalCrcy1": 0.00,
"TaxBaseAmtInAdditionalCrcy2": 0.00,
"TransactionTypeDetermination": "ABC",
"TaxBaseAmountInCountryCrcy": 0.00,
"TaxAmountInCountryCrcy": 0.00,
"CreationDateTime": "2026-02-09T04:48:19.217354Z",
"CreatedByUser": "CC0000000072",
"LoclInstanceLastChangeDateTime": "2026-02-09T04:48:19.217354Z",
"LastChangeDateTime": "2026-02-09T04:48:19.217354Z",
"LastChangedByUser": "CC0000000072",
"CreatedByUserName": "User for Scenario SAP_COM_0B27",
"ChangedByUserName": "User for Scenario SAP_COM_0B27",
"DebitCreditCodeName": "Debit",
"FinancialAccountTypeName": "",
"SpecialGLCodeName": "",
"SAP__Messages": []
}
]
}
```


Update Data

The **Update** operation lets you modify an existing External Tax document. Only the fields you provide in the **Patch** body are updated.

Request

You can include the following properties in the URL of the request:

Property	Necessity
ExternalTaxHeaderUUID	Mandatory
CompanyCode	Mandatory
AccountingDocument	Mandatory
FiscalYear	Mandatory

Response

The operation returns a text message with operation result.

Examples

Http Method	Patch
URL	/sap/opu/odata4/sap/api_external_tax/srvd_a2x/sap/externaltaxheader/0001/ExternalTax(ExternalTax
Content-Type of Request Header	application/json

Request

```
{
"DocumentDate":"2025-01-14"
}
```

Response

```
{
"@odata.context": "$metadata#ExternalTax/$entity",
"@odata.metadataEtag": "W/\"20260204015044\"",
"ExternalTaxHeaderUUID": "fa163ede-b767-1fd1-81ae-51b7027294b4",
"CompanyCode": "1010",
"AccountingDocument": "200000002",
"FiscalYear": "2025",
"FiscalPeriod": "1",
```

```
"ReferenceDocumentType": "",
"OriginalReferenceDocument": "",
"PostingDate": "2025-01-04",
"DocumentDate": "2025-01-14",
"TaxReportingDate": "2025-01-04",
"TaxFulfillmentDate": "2025-01-04",
"AccountingDocumentType": "EX",
"ReverseDocument": "",
"ReverseDocumentFiscalYear": "0",
"IsReversed": false,
"IsReversal": false,
"AbsoluteExchangeRate": 0.00000,
"DocumentReferenceID": "",
"AlternativeReferenceDocument": "",
"AccountingDocumentHeaderText": "",
"SenderCompanyCode": "0001",
"SenderAccountingDocument": "ERTF412D4",
"SenderFiscalYear": "2025",
"SenderLogicalSystem": "EBJ",
"AccountingDocumentCategory": "",
"CreationDateTime": "2026-02-09T04:48:19.217354Z",
"CreatedByUser": "CC0000000072",
"LoclInstanceLastChangeDateTime": "2026-02-09T04:53:44.877009Z",
"LastChangeDateTime": "2026-02-09T04:53:44.877009Z",
"LastChangedByUser": "CC0000000072",
"CompanyCodeName": "Company Code 1010",
"AccountingDocumentTypeName": "External Number",
"AccountingDocumentCategoryName": "Normal document",
"CreatedByUserName": "User for Scenario SAP_COM_0B27",
"ChangedByUserName": "User for Scenario SAP_COM_0B27",
"SAP__Messages": []
}
```


Delete Data

Request

You can include the following properties in the URL of the request:

Property	Necessity
ExternalTaxHeaderUUID	Mandatory
CompanyCode	Mandatory
AccountingDocument	Mandatory
FiscalYear	Mandatory

Response

The operation returns a text message with operation result.

Examples

Http Method	Delete
URL	`/sap/opu/odata4/sap/api_external_tax/srvd_a2x/sap/externaltaxheader/0001/ExternalTax(ExternalTaxH`
Content-Type of Request Header	application/json

Response

```
HTTP Code : 20*
```